



Focus Future

Annual Report
2024/2025



Nordzucker

A photograph of two men standing in a lush green field of sugar beets. The man on the left, wearing a brown polo shirt and khaki shorts, is holding a large sugar beet plant with both hands. The man on the right, wearing a light blue button-down shirt and dark jeans, is looking at the plant with interest. The background shows a line of trees under a clear sky.

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Dear shareholders,

In the 2024/2025 financial year, we generated with sales revenues of 2.770 billion Euro positive consolidated earnings and an EBIT of 100.5 million Euro. At the Annual General Meeting on 10 July 2025, the Executive Board and Supervisory Board will propose a dividend of 0.40 Euro per share.

In Europe, this result was notably achieved in the first half of the 2024/2025 financial year, as we were still benefiting from the high prices in the 2023/2024 sugar marketing year. The earnings position weakened with a significant decline in prices at the start of the new sugar marketing year on 1 October 2024. The price drop in the EU was sharper than expected. The reasons were twofold: firstly, the exceptionally good beet yields in most EU countries and secondly, lower demand for sugar in the EU due to high food prices. Imports from Ukraine also had an effect on price trends.

“Due to the very large beet harvests, the sugar price in Europe has fallen – much more sharply than originally expected.”

Dr Lars Gorissen (CEO)

Furthermore, we also saw exceptionally high beet yields in some of our growing regions, especially in Germany, on account of favourable weather conditions and the particularly good distribution of rainfall. During the unusually long campaign from September 2024 to February 2025, we produced three million tonnes of sugar from beet under good production conditions – the highest ever in our plants.

In the tight EU sugar market, we benefited not only from the positive business development in the first few months of the financial year, but also from our competitive cost structure and our good market positioning in Scandinavia. Our Australian Business Unit Cane also contributed 14 million Euro to the operating result.

On the other hand, a number of one-off effects had to be taken into account in the 2024/2025 annual financial statements. Inventories had to be written down and impairment losses recorded on fixed assets due to the downward trend in prices. The construction of the planned pea protein factory, which had to be stopped for economic reasons, also led to extraordinary expenses.

Market stabilisation expected

We responded quickly to the high volume of sugar in the EU by reducing the cultivation area for the 2025 growing year in all our European countries. By taking these actions, we are working together with our growers to help stabilise the market. The acreage for the cultivation of sugar beet has also been reduced by other producers across Europe, and we therefore expect sugar production to be lower for the next campaign. We therefore believe that prices have already passed the lowest point.

“Our competitive cost structure, our good market positioning and the good earnings contribution from our Australian activities have contributed to our positive result.”

Alexander Bott (CFO)

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f.l.t.r.: **Alexander Godow** Chief Operating Officer (COO),
Dr Lars Gorissen Chief Executive Officer (CEO),
Alexander Bott Chief Financial Officer (CFO)



Looking at our financial expectations for the current financial year, we can only be cautiously optimistic despite the rise in sugar prices, given that a significant improvement in the earnings position in the Business Unit Beet is not expected to materialise until the start of the new sugar marketing year on 1 October 2025. Accordingly, we have taken this into account in our planning and budgeted for a net operating loss in the low double-digit million range for the 2025/2026 financial year due to the weak results in the first few months of this year.

Cost-optimisation measures

We are currently working on further reducing production costs and raw material costs, as well as energy costs in the current year, and are also looking to cut administrative and sales costs. We have developed an additional package of measures aimed at strengthening our excellence initiatives in procurement, sales, production and in the context of continuing digitalisation.

Due to reduced cultivation areas in the EU, there are signs of an improvement. We believe that prices have already passed the lowest point."

Alexander Godow (COO)

The expected price recovery combined with our comprehensive optimisation measures could still improve the earnings for the current financial year compared with the budget. However, increasing risks are emerging that could potentially affect beet yields and the quality of the beet grown. For this reason, we are monitoring the development of the diseases SBR and Stolbur that affect beet with increasing concern.

New uncertainties driven by the announced tariffs and their impact on trade and exchange rates have recently led to falling prices on the global market. Nevertheless, we remain positive about the medium- and long-term outlook for the global sugar market and expect that our Business Unit Cane will again make a positive contribution to Group earnings in 2025/2026.

Given the high levels of volatility on the EU sugar market, this outlook is unlikely to change. We therefore intend to position ourselves in future to be more independent of price fluctuations on the EU sugar market as part of our strategy.

Our vision for 2033: Fields for Growth

Our strategic focus is on two interlinked priorities: strengthening the profitability of our existing business through investments in sustainability and optimising our cost structure through excellence projects. At the same time, we are expanding and diversifying our company through planned growth outside of the EU sugar market. The goal is to reduce our dependence on price fluctuations in the EU sugar market and raise and stabilise consolidated earnings and the dividend.

We have consulted closely with the Supervisory Board to develop and refine our strategy with the vision for 2033, Fields for Growth. This includes pursuing our decarbonisation efforts in production and beet cultivation with great ambition. We have launched a whole host of projects to this end and will drive forward decarbonisation together with our partners in the value chain. Examples can be found in this report.

A profitable Business Unit Beet is essential for our future and our growth. We have set ourselves a target of more than 100 million Euro in cost reductions from our excellence initiatives and further optimisations as a benchmark for our success.

Without further growth, we will not be able to achieve our overarching goal of more stable earnings and dividends despite all our ambitions in the Business Unit Beet. We therefore intend to focus more on expanding our sugar cane business. Sugar production from sugar cane offers the potential for higher and more resilient profitability in some regions of the world compared with sugar production from sugar beet in the EU. This can compensate for any volatility.

We need growth in order to secure more stable earnings and dividends. That is why we will significantly expand our sugar cane activities."

Dr Lars Gorissen (CEO)

On account of market changes, we have decided to discontinue our plans to build our own production facility for protein concentrates and texturates from peas. Under the current and expected future conditions, the planned investment would not have contributed to achieving our profitability targets. Nevertheless, we continue to see good opportunities in the market for alternative proteins in the medium and long term. We are currently revising our market entry strategy and intend to focus it on potential partnerships and acquisition projects.

We would like to thank all our employees for their extraordinary dedication and willingness to continue developing Nordzucker and growing with Nordzucker – and we would like to thank you, our shareholders, for the trust that you place in us and in the company as a whole.

The Nordzucker AG Executive Board

Handwritten signatures of Dr Lars Gorissen, Alexander Bott, and Alexander Godow.

Dr Lars Gorissen

Alexander Bott

Alexander Godow

Letter from the Executive Board

Strategy: Fields for Growth

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Fields for Growth

Nordzucker 2033

Our strategy is clear: in the coming years, we will bring our company forward consistently and with clear targets in mind.

f.l.t.r.:
Alexander Godow (COO),
Lars Gorissen (CEO),
Alexander Bott (CFO)



Our foundation – sustainability and excellence

We are building on the cost-effectiveness of our existing business while strengthen sustainability and excellence.



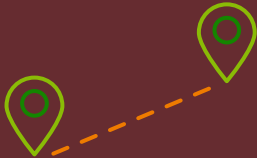
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Our path – decarbonisation, optimisation and growth



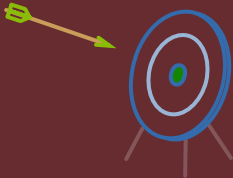
We are driving our decarbonisation in production and beet cultivation forward with great ambition.



We have set ourselves a target of 100 million Euro in optimisation of costs as a benchmark for our success.



We are expanding and diversifying our company through growth outside of the EU sugar market.



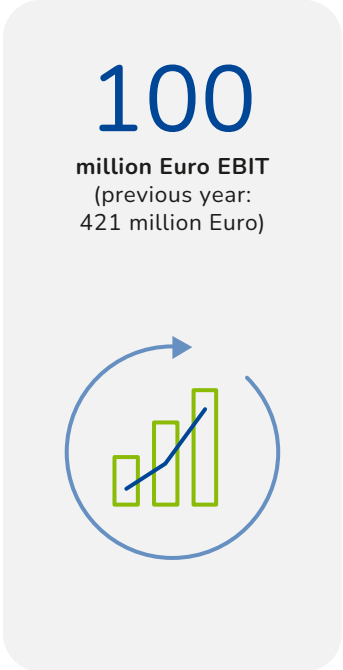
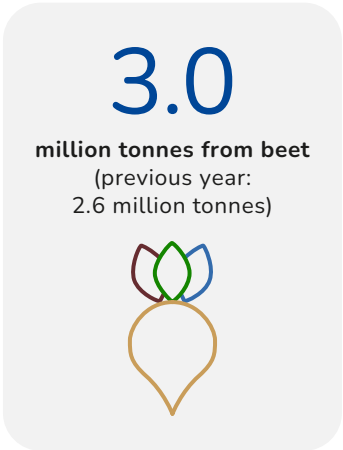
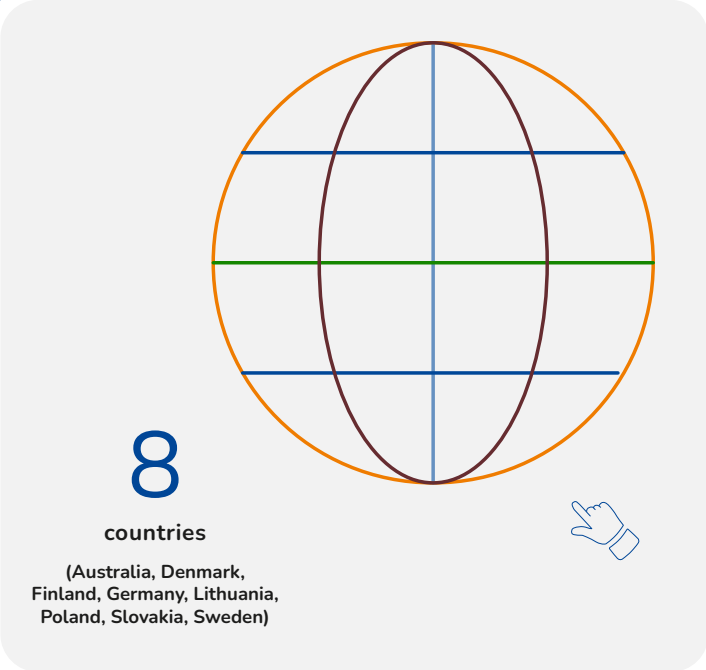
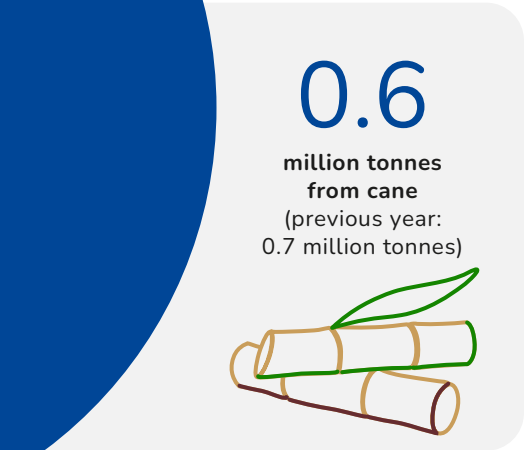
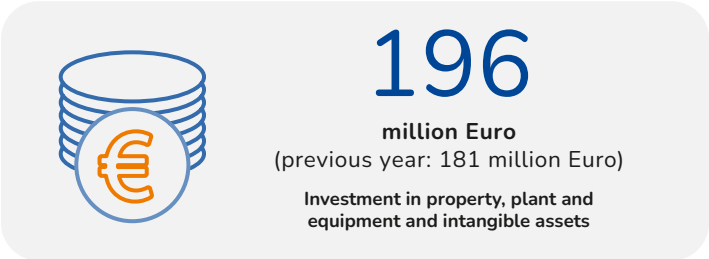
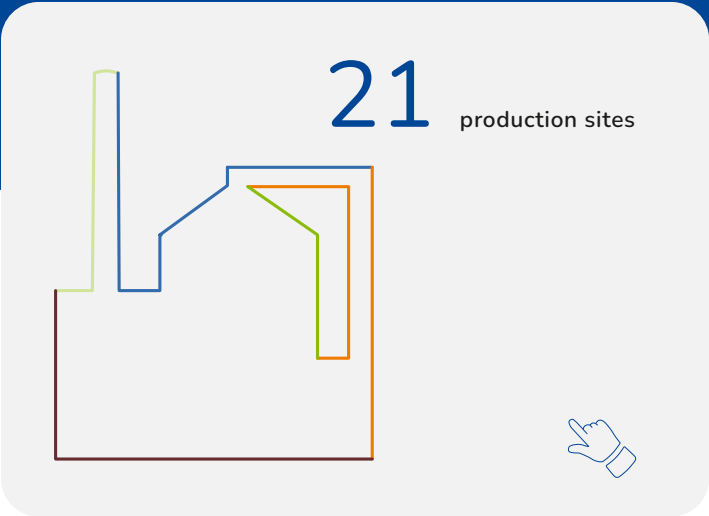
Our target – the future

We are becoming less dependent on price fluctuations in the EU sugar market. We are increasing und stabilising earnings and dividends through our efforts.



Nordzucker at a glance

We work together every day with commitment and dedication for our shared success. Here, we give the facts and figures behind what sets us apart and what we do.



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A glimpse into the company

We continually search for ways to be more sustainable, more efficient and more customer-focused as a company. This year, we once again launched or concluded various projects and partnerships to help us in this mission. The following pages provide an insight into this and take you with us into factories, to our growers' fields and to different countries. We introduce you to some of our employees and partners, who play a key role in our success with their expertise and passion.

 = Sustainability

 = Excellence

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Working together to reduce carbon emissions

We are working together with our farmers to shape change – with effective pilot projects and constant dialogue.

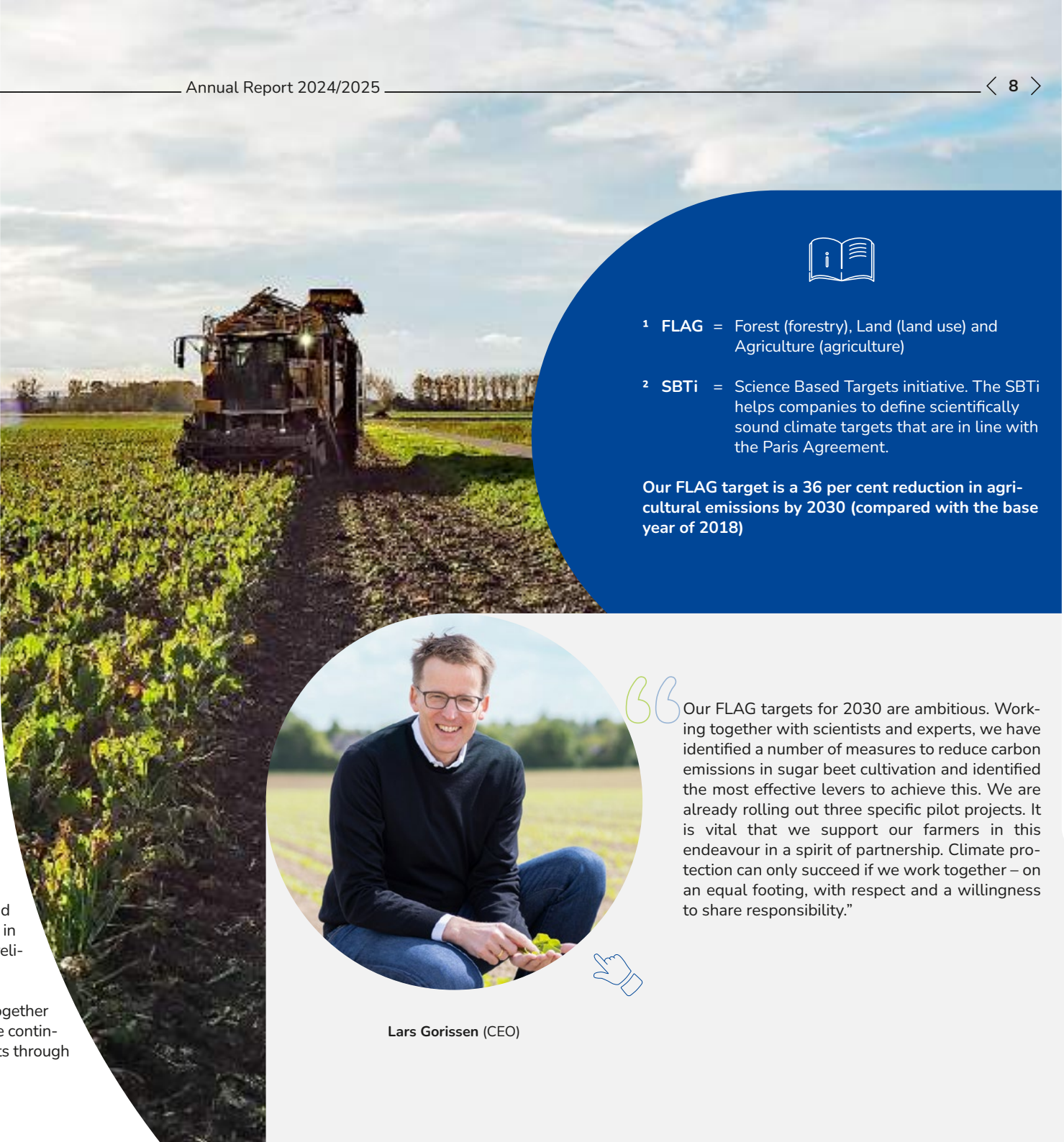
As a sugar producer that sources our most important raw material from the field, one thing is clear: if we want to improve our climate balance, we have to start with the cultivation process. Agriculture, land use and forestry account for roughly one quarter of all global greenhouse gas emissions. This is the area where we are now stepping up our efforts.

The approval of our FLAG¹ targets by the Science Based Targets Initiative (SBTi)² signifies a firm commitment on our part to significantly reducing emissions associated with the growing, cultivation and harvesting of sugar beet. We must reduce these emissions by 36 per cent by 2030 compared to the base year of 2018. This requirement is in line with the expectations of our stakeholders.

We can only achieve this together. Which is why we are working with our farmers, suppliers and researchers to develop practical and effective solutions. Initial collaborations, such as that with fertiliser manufacturer YARA, are already in progress and are seeking to reduce the carbon footprint of sugar beet cultivation. Other pilot projects, such as the use of CO₂-reduced potash fertiliser and hydrogenated vegetable oil (HVO) as a low-carbon alternative to diesel, are currently being put into practice by some of our farmers.

We are aware that many of our grower partners already have responsible and resource-efficient operations. Together, we must now intensify our efforts in reducing carbon emissions, a task that requires additional measures and reliable documentation.

Our FLAG targets were successfully approved by the SBTi in spring 2025. Together with our agricultural partners and those along the entire value chain, we are continuing on the journey we have already started in order to achieve these targets through our combined efforts.



- ¹ FLAG = Forest (forestry), Land (land use) and Agriculture (agriculture)
- ² SBTi = Science Based Targets initiative. The SBTi helps companies to define scientifically sound climate targets that are in line with the Paris Agreement.

Our FLAG target is a 36 per cent reduction in agricultural emissions by 2030 (compared with the base year of 2018)

“Our FLAG targets for 2030 are ambitious. Working together with scientists and experts, we have identified a number of measures to reduce carbon emissions in sugar beet cultivation and identified the most effective levers to achieve this. We are already rolling out three specific pilot projects. It is vital that we support our farmers in this endeavour in a spirit of partnership. Climate protection can only succeed if we work together – on an equal footing, with respect and a willingness to share responsibility.”



Lars Gorissen (CEO)

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Examples of strong partnerships

Our farmers, who are participating enthusiastically in our joint pilot projects, demonstrate how carbon reduction can be achieved in sugar beet cultivation. We asked three of them, who are currently testing CO₂-reduced nitrogen fertilisers, what motivates them. Other projects include the use of CO₂-reduced potash fertilisers and HVO-powered harvesters. Together, we are driving progress towards a more sustainable future in the fields.

Use of CO₂-reduced nitrogen fertiliser

“I think it is exciting that Nordzucker wants to make sugar production more sustainable. Beet cultivation is a key aspect of this process, so I didn’t hesitate, especially given that the effort involved is quite doable for us. I hope that ways will be found to add value on the market to the sugar produced in this way. In the end, the higher costs compared with conventional fertilisers must be distributed fairly among all parties involved.”

Dr. Niels Pelka (farmer in the Wolfenbüttel district, Germany, with approximately 40 hectares of land for the cultivation of sugar beet)

Environmentally conscious cultivation of sugar beet

“Participating in the project allows me to grow sugar beet in an environmentally conscious manner while maintaining good yields and quality. By rolling out pilot projects like this, Nordzucker is also helping me stay up to date with innovative technologies and new solutions. The expertise and willingness to cooperate shown by the cultivation advisers from Opalenica are very valuable to me – whenever I need support, I get it.”

Michał Kostrzewski (farmer from Wielkopolska, Poland, with up to 30 hectares of land for the cultivation of sugar beet)

Shared responsibility

“For almost every agricultural business, fertiliser is a major factor in how sustainable that business is, and we have to consider not only quality and handling, but also price. The question is therefore not only whether we can farm more sustainably, but also who pays for it. The project underlines our shared responsibility. It is this kind of collaboration that brings about real change. I am proud to be part of it.”

Jens-Christian Bay (farmer from Nakskov, Denmark, with up to 125 hectares of land for the cultivation of sugar beet)

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A clever cycle

Turning biomass into renewable energy that then powers production? This cycle is set to begin in the 2025/2026 campaign for our Danish production sites when we commission the fermentation of our pressed beet pulp into biomethane.

We have set ourselves an ambitious goal: by 2030, we want to cut our own carbon emissions in production by half¹ and achieve carbon-neutral production by 2050 at the latest. One key lever for achieving these goals is the use of biomethane. In the future, biomethane could cover our production-related energy needs and replace fossil natural gas. We have taken the first major step in this direction in Denmark, where we are working closely with biomethane producer Nature Energy, which is building a biomethane plant near our two factories. Having previously supplied press pulp to Nature Energy, an even larger proportion of the biomass produced during sugar production will be fermented here from the coming campaign onwards. “In return we receive biomethane, which we use in our production processes in place of natural gas – a perfect cycle,” explains Torben Riis, Market Manager Beet Fibre and Molasses.

In the long term, we want to use all the biomethane produced from our pressed beet pulp ourselves. “In this way, we plan to gradually reduce carbon emissions at our Danish sites by up to 37,000 tonnes per year by 2030,” predicts Allan Ries Kjaergaard, Head of Finance Denmark. “The commitment to biomethane has been clear in Denmark from the beginning, because if we want to achieve our SBTi targets², these are precisely the kind of changes we need to be making.”

Looking at the company as a whole, the potential of biomethane is even more evident: our biomass, in other words the pressed pulp left over from production, can be used to generate as much energy as we need for our entire sugar production. At the same time, a portion of the pressed pulp can still be used as high-quality animal feed in

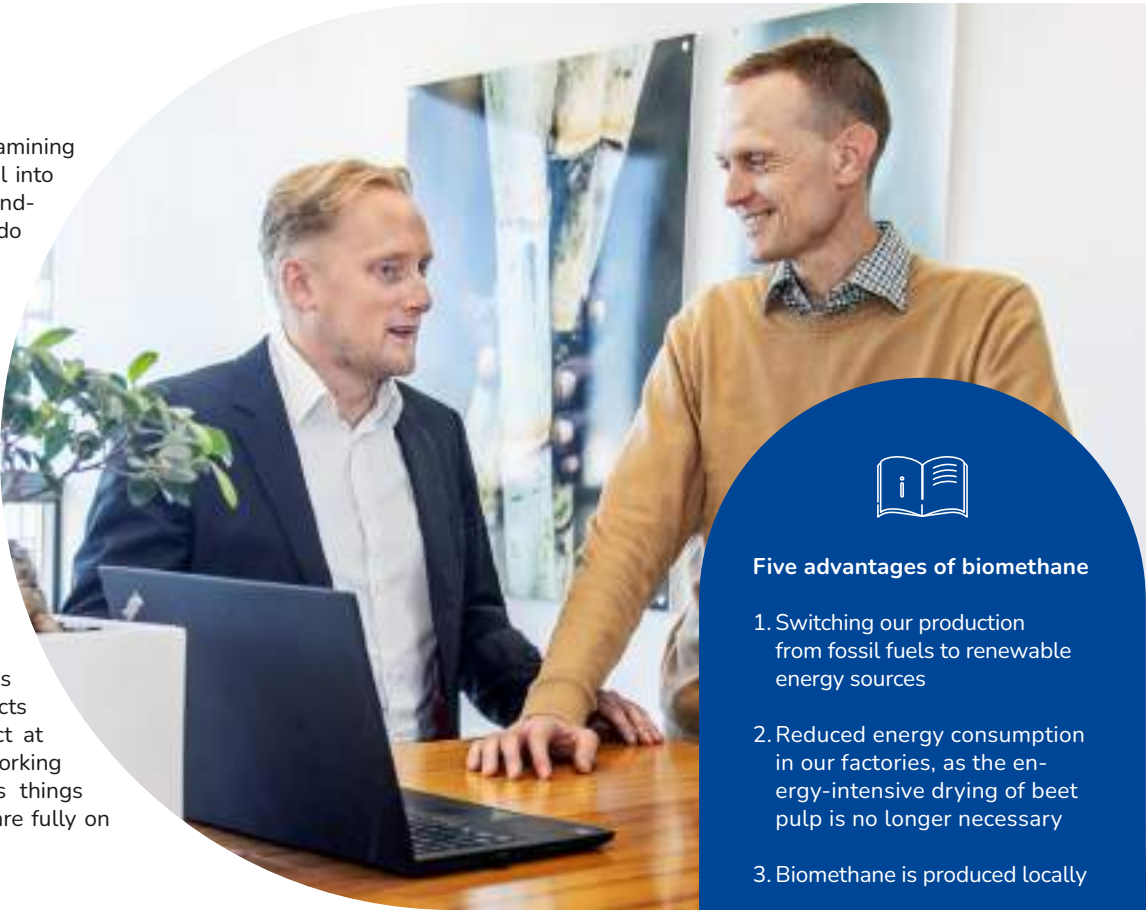
agriculture. We are currently examining how we can best put this potential into practice at several sites – and the findings from Denmark will help us do this.

The switch to biomethane is one of several pillars of our GoGreen programme. The aim is to make sugar production more efficient overall, for example by modernising our facilities and optimising processes, and to convert the energy supply from fossil fuels to renewable energy sources. Within this strategy, we have developed an individual roadmap for each factory,

allowing us to take local conditions into account and prioritise the projects that will have the greatest impact at each site. This is how we are working together to achieve our goal. As things stand today, we can say that we are fully on track.

¹ Baseline is CO₂ emissions in 2018

² Science-based and validated climate targets for reducing our greenhouse gas emissions in line with the Paris Climate Agreement



f.l.t.r. Allan Ries Kjaergaard (Head of Finance Denmark), Torben Riis (Market Manager Beet Fibre and Molasses)



Five advantages of biomethane

1. Switching our production from fossil fuels to renewable energy sources
2. Reduced energy consumption in our factories, as the energy-intensive drying of beet pulp is no longer necessary
3. Biomethane is produced locally
4. Greater independence from supply bottlenecks and price fluctuations on the energy market
5. We invest to become CO₂ neutral in production

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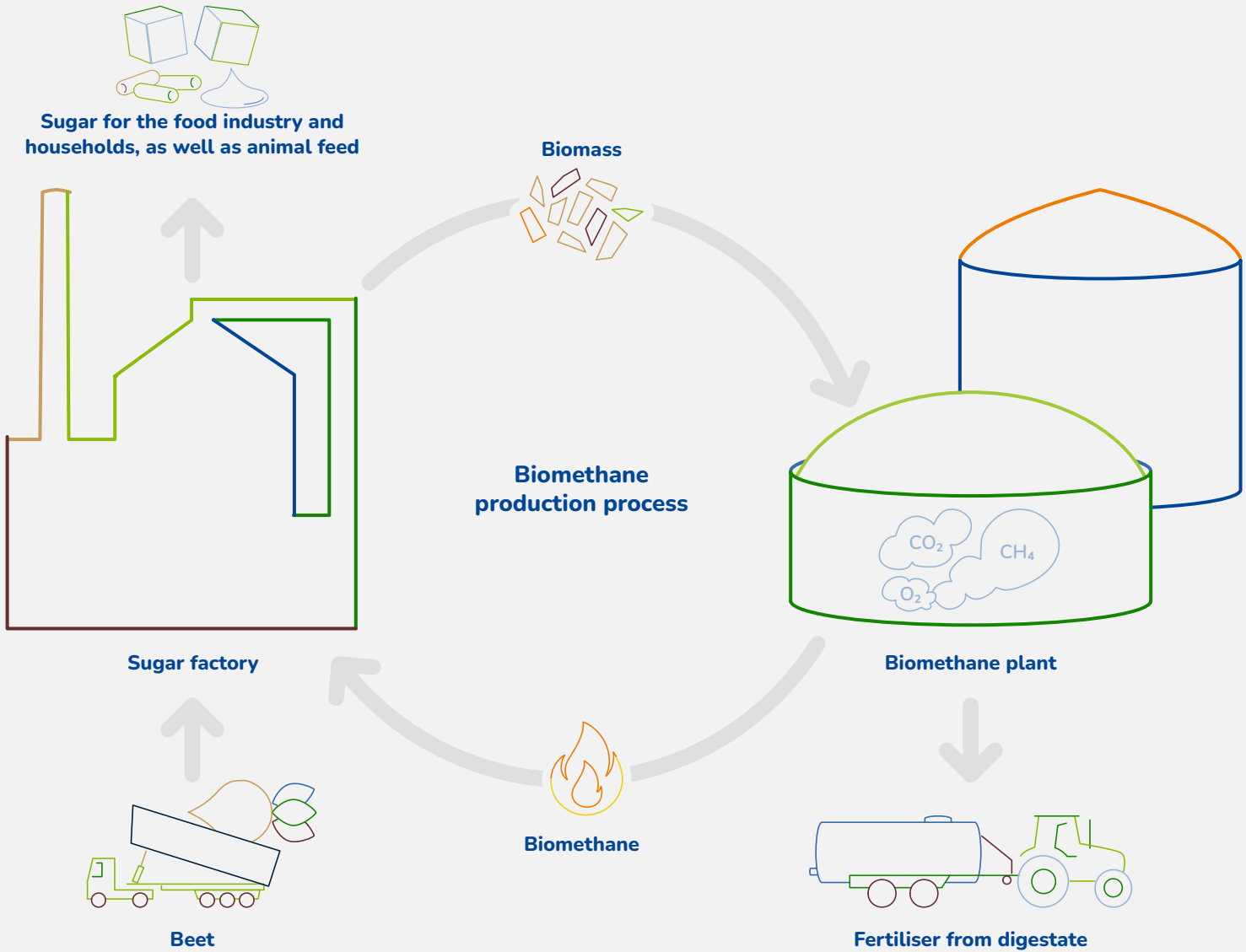
Biomethane from biomass

During the production of sugar, we extract the sugar from the beet, leaving behind what is known as pressed beet pulp. These are transported from the factory to the biomethane plant.

At the biomethane plant, the pressed beet pulp is placed in a large tank called a fermenter. This is an oxygen-free environment where special microorganisms do their work.

They process the organic components of the pressed beet pulp, such as raw fibre, raw protein and sugar residues. The product is a gas mixture – biomethane – that consists of around 50 to 70 per cent methane (CH₄).

The biomethane is treated and then used in our production processes to replace fossil energy sources. What remains is a nutrient-rich digestate that can be used as fertiliser.



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Fully focused on the market

Tailoring our portfolio to our customers' requirements is key to our success. The Achieving Commercial Excellence 2.0 (ACE 2.0) programme helps us with this.

Some of the most important questions we regularly ask ourselves are what expectations our customers have of us and what we can do to better fulfil them. This goes far beyond our products, even if product quality is a natural key criterion. We strive to maintain long-term relationships where our customers know they can rely on us at all times – including with regard to customer service, availability and sustainability. We don't just want to be a good partner – we want to be an exceptional one.

Customer service and sustainability are our hallmark

This ambition is reflected by our ACE 2.0 programme, which we initiated in order to respond strategically and flexibly to changes on the market and also to remain in close rapport with our customers in fast-changing times. The programme bundles various measures on different topics. Our Value Wheel enables us to analyse the added value that we want to offer, such as streamlined administrative processes, attractive lead times and fast response times. The area of Sustainability focusses on making a quantifiable contribution to achieving our customers' sustainability targets and working with them to develop the relevant measures. This last point has recently increased in significance and offers us a real opportunity to stand out. However, we see sustainability as an integral part of our business activities, and this attitude and our experience enable us to offer convincing and effective solutions.



Two central pillars with clearly defined targets

Value Wheel

- We build trust through commitment and transparency in our offering
- We create positive customer experiences by reducing complexity and streamlining processes
- We focus on individual service, are approachable, solution-oriented and quick to act

Sustainability

- We are working together with our customers on the decarbonisation of our joint value chain
- We provide data and evidence to make our sustainability-related activities quantifiable
- We train our teams in the topic of sustainability and actively seek out dialogue with our customers and partners



For us, excellence in customer relations means not only meeting existing expectations, but also actively setting new priorities. For more effective processes, stronger partnerships and sustainable growth. It is our belief that anyone who wants to be successful over the long term needs to see things from their customers' perspective. And that's exactly what we do."

Alexander Godow (COO)

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Sharing standards – combining forces

How a network is taking our project management to the next level.

When you continually want to improve, there's always something to do. The several hundred projects that are currently being planned or implemented at Nordzucker proves this. When so much is happening at the same time, we need guidelines. That's exactly what our Project Management Office has established in the form of shared standards. The aim is to make project management processes more consistent throughout the company, to harmonise processes and minimise interfacing issues.

Exchange that makes us better

"It was clear to me from the start that we need to get people on board instead of simply prescribing rules for them," says Natalie von Kaehne, who manages the office and, in addition to nearly 20 years at Nordzucker not only contributes a deep understanding of the company but also wide-ranging experience in change processes. "Once we had created a shared understanding of the aims with the involvement of our colleagues from the sites, as well as the headquarters and top management and used this to create the project management guidelines, we opened up the group to interested colleagues and

the Project Management Network was born." Now, more than 120 project managers get together once a month to discuss best practices, share their challenges and refresh their methodological expertise. It's a format that they all appreciate – and it helps us to implement our projects more successfully and more quickly.



Milan Nosál (Head of Maintenance, Trenčianska Teplá, Slovakia)

BB By establishing consistent project management standards, we can make projects more comparable, which will lead to time and cost savings. The open dialogue and ability to share experiences help to advance us as a group."

Marco Bötel (Manager PMO GoGreen, Braunschweig, Germany)

BB The guidelines ensure that we can focus on the aims of the projects instead of on unnecessary coordination meetings. The network is a great resource, particularly the practical examples shared by the participants from their day-to-day work."



Tarek Tounsi (Head of Digital Transformation in Operations, Braunschweig, Germany)

BB Project management isn't exactly rocket science – but it's still possible to continue learning and honing the methods we use. I appreciate the opportunity to take part in the networking events, gain a new perspective and continue my professional development."

Jovita Kasiulionytė (Accountant Accounts Payable, Kaunas, Lithuania)

BB Participating in the Project Management Network is very valuable to me because it gives me insights into interdepartmental collaboration and has improved my problem-solving skills. That has advanced my professional development."



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Excellence as the key to success

In many fields, improvement simply means making processes more efficient. Selected projects demonstrate how we are becoming increasingly successful in these efforts.

The fact that we are competitive and fit for the future today and tomorrow is a key factor in our stability and long-term success as a company. With this goal in mind, we are consistently pursuing the path of excellence as anchored in our corporate strategy. In line with this guiding principle, we want to optimise processes and, at the same time, reduce costs across the entire value chain. We pool the associated projects in various excellence initiatives. Here we present two specific actions.

Skilfully controlled

At our factory in Nykøbing, Denmark, we set ourselves the target of reducing our steam consumption in 2023. To achieve this, we have automated a valve control system that was previously controlled manually. In the evaporation plant, the clarified juice extracted from the sugar beets is heated in several stages using steam. The steam carries

gases that are separated out as soon as the steam condenses. Since these gases have a thermally insulating effect in the system, for example they reduce heating efficiency, they are discharged via the valve mentioned above. However, if it is opened too wide, valuable steam is lost instead of being put to use in the next heating stage – more steam must then be produced in the boiler house to heat the same amount of raw juice. Following the retrofitting work, the valve now only opens as far as necessary. The result is lower steam consumption – which equates to energy savings, fewer CO₂ emissions and, last but not least, reduced costs. We are rolling out the solution at other sites.

Shortened campaign

Along with the sugar beets, a certain amount of leaf green – commonly known as tops – also ends up in our production plants. If there is too much, it can no longer be reliably sorted out and, in the worst case, clogs up the

cutting machines, which can lead to production downtime. In Uelzen, Germany, we have therefore installed a new tops shredder that breaks down the green parts. The parts are then discharged in this form and processed into animal feed in the next stage. Depending on the length of the campaign and the volume of tops, we are saving between 0.4 and 1.7 campaign days – with all the benefits that brings, such as lower energy consumption.



In the picture:
Nordzucker factory in
Nykøbing, Denmark



Alexander Bott (CFO)

BB We are not satisfied with the status quo, but are always on the lookout for new smart ideas that will make us better. “Better” here also explicitly means more profitable. The key lies first and foremost in more efficient processes. Our power of innovation and our employees’ expertise and dedication mean we are constantly coming up with new approaches. Many small actions together have a noticeable impact and also help us learn from each other across national and functional boundaries. This is because we often implement solutions at one site before rolling them out elsewhere. As a result, we create the freedom for ourselves to consistently seize opportunities and respond flexibly to challenges. A solid foundation for our continued, shared success.”

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In recent years, we have consolidated our Swedish production activities at the Örtofta site. Teamwork has brought about the successful conclusion of this complex process.

Fewer than 30 kilometres lay between our Arlöv and Örtofta sites in southern Sweden – both of which have a long tradition going back to the 19th century. The question as to the advantages of pooling their resources due to their geographical proximity arose some time ago. The decision was finally made in 2018 with the aim of improving the productivity of our Swedish factories sustainably and over the long term. The mission to move production capacities and systems from one production site to another, to establish individual components such as an automated high-bay warehouse from scratch and finally to merge the two factories, with their different focal points, was as enormous as it sounds.

Despite this – or perhaps precisely because of this – Lisette Meckenheim was immediately on board when she was offered the position of heading one of the key sub-projects in 2020: the construction of the liquid sugar plant in Örtofta. “I was passionate about the challenge and already had a rough plan as to how I would approach such a complex project,” the Technical Project Manager remembers. “It was essential to keep a clear overview despite all the many requirements and opinions expressed from various sides.” There were also several major hurdles. Some of these included the Covid pandemic, which not only impacted on-site cooperation but also caused significant supply chain disruption. Later, this was followed by high inflation, which

Since everything is now at one site, the decision-making between the factory and the Service Center is more streamlined – which helps us to work more effectively. Another major plus is all the new colleagues I’ve now come to know!”

Malin Palm (Process Operator)

affected the project, the timeline and costs involved. “The fact that we were able to get everything successfully across the finish line is primarily down to the team and the experts involved. As in any project, it is crucial to be surrounded by people who are committed to its success,” Lisette Meckenheim describes. Now that it has been achieved, the original employees at the Örtofta site and their new colleagues are joining forces for the next phase: here, it’s all about optimising the processes in the new surroundings and helping the workforce to grow together even more effectively.

The move from Arlöv to Örtofta was dealt with very positively. I feel inspired by the new challenges and have the feeling that I am able to grow in my role every day.”

Merfin Batic (Machine Operator)



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f.l.t.r.: Merfin Batic (Machine Operator), Lisette Meckenheim (Technical Project Manager) und Malin Palm (Process Operator) at the Örtofta site, Sweden



A solid start and springboard

Our trainee programme promotes talented youngsters in the sugar industry.

If we want to achieve long-term growth and evolve as a company, it is vital that we get the next generation passionate about Nordzucker. A key component of this is our trainee programme, which is now in its fourth year. Every year, we receive numerous applications from promising new talents in the field of engineering – ten trainees are currently receiving intensive training and will be graduating to responsible positions ahead of schedule. Over the course of the two-year programme, they move to new functions every three months in order to gain valuable insights, make contacts throughout the entire company and actively work within the beet campaign. “The programme’s wide-ranging nature aims to identify the personal strengths of our trainees and actively promote these strengths. Some are born to be in contact with as

many people as possible in the sugar factory – in our engine room, so to speak. Others prefer to work on strategic projects that transcend various areas,” explains Julian Kulenkampff, Head of Production Excellence. On their journey, each trainee is paired with a mentor, who is their contact to support them with any professional or personal matters. People from our HR Development & Culture function also provide them with intensive support. Many participants find their perfect role during the programme. If one of them has a clear career in mind, they are given the opportunity to switch to their preferred position ahead of schedule. We also facilitate international experience – a placement in one of our European sites also offers additional perspectives. “Our trainees are a real enrichment – they question our processes and contribute fresh ideas,” Sven Buhrmann, Head of Operations, says in praise of the programme. “We specifically invest in the development of talented youngsters – and thus in the future of Nordzucker.”

 [Trainee programme in Germany](#)

f.l.t.r.: **Julian Kulenkampff** (Head of Production Excellence), **Sven Buhrmann** (Head of Operations)



Joel Pilz (Trainee in the 2nd year)

Joel Pilz

Background

- Vocational training as a multi-skilled mechanic
- Double certificate: state-certified machine technology technician and REFA technician for industrial engineering and certified technical business economist (IHK)
- Trainee since: March 2024

Nordzucker as an employer:

“It’s a friendly, collegial environment within an international company – even with a staff of around 4,000, we think and work across functionals and geographical boundaries.”



f.l.t.r.: **Jana Heublein** (Trainee in the 1st year) and **Manuel Hein** (Trainee in the 2nd year)

Jana Heublein

Background

- Vocational training as a toolmaker
- Bachelor of Science in mechanical engineering
- Trainee since: March 2025

Why did you join Nordzucker as a trainee?

“I was attracted by the opportunity to get in-depth insights into various areas, to build a strong network and to work in a company with local roots that combines food production with engineering.”

Manuel Hein

Background

- Vocational training as a chemical technician
- Bachelor of Engineering in process energy and environmental engineering
- Trainee since: March 2024

My lightbulb moment:

“At Nordzucker, various functions work together seamlessly – with various interfaces and an incredible wealth of specialist knowledge. The trainee programme is flexible and can be adapted to the trainee’s requirements as well as the company’s requirements.”

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As a global company with 21 sites, it is vital that we are able to maintain a healthy dialogue and embody the Nordzucker culture together, despite the geographical distances. So it's great that our new intranet links us in a completely new way.

The launch of MyCube4all in 2024 represented a real upgrade to our internal communication. The new intranet links us across international borders and functional boundaries and brings the entire organisation closer together in the digital sphere. Whether via a desktop or the app, the intranet provides information, applications and dialogue formats in a single source – and is intuitive, interactive and available around the clock. “MyCube4all unites the structure of a modern intranet with the functions of a social media channel. It is fast, accessible and facilitates real-world dialogue. This not only enables communication but makes it interactive. It has become an integral and vital part of our day-to-day work,” explains Nicole Dinter, Head of Communications & Public Affairs. The feedback has been overwhelming: at 77 per cent, the sign-up rate is fantastic for a company like ours, where many of our colleagues do not work at a computer. With 45 per cent active users, more than 2,800 posts, around 18,000 likes and 1,000 comments within the first year alone, it is clear how well MyCube4all has been received and integrated into our work. “This success is not by chance alone. The platform was developed in

consultation with our employees right from the start. Their ideas, feedback and dedication made a key contribution to ensuring that we have a system that not only works but also is a hit with its users,” adds Bianca Deppe-Leickel, Senior Manager Communications. More than 100 editors from all of our countries ensure that the content remains relevant, up-to-date and exciting. This makes MyCube4all much more than just a technical innovation – it's an evolution in our digital coexistence.



Life Saving Rules

MyCube4all played a key role in the roll-out of our eleven life-saving rules. Over a period of twelve months, the platform not only featured a video message by the Executive Board but also specific practical examples, thus giving inspiration for our employees' day-to-day work. This strengthens our appreciation of the guidelines and shows that safety is a matter of teamwork at Nordzucker.



Football unites

Formats that provide information and offer connection are particularly popular on MyCube4all – like those associated with our internal European football championships. 17 teams from all European countries in which Nordzucker operates took part in a tournament running during the 'real' European championships in June 2024, which provided a shared experience of solidarity across borders, alongside a sweepstake and live ticker. Everyone came together in anticipation to cheer on their team and celebrate.

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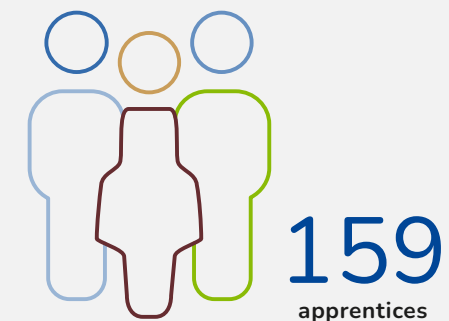
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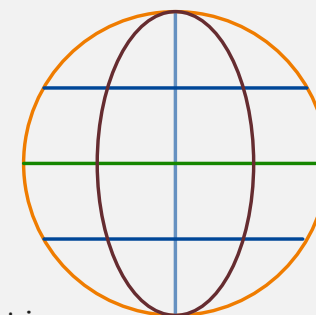
The future begins with education

A good corporate apprenticeship provides orientation, teaches skills and opens up opportunities. We work with our training instructors to make exactly this a reality. In doing so, we are training the professionals of the future.

Working together – Jan Model, front left, and apprentices in Nordzucker's own workshop in Schladen, Germany



in areas such as electrical engineering, IT, electronics, warehouse logistics and metalworking



5
in countries
(Denmark, Germany, Lithuania, Poland, Slovakia)

13
training locations

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Tomasz Konieczny (training instructor) in conversation at the Opalenica site, Poland

Education is an integral part of what we do: we are passionate about investing in young people and their futures. At six German sites, two Polish and three Danish sites, as well as one in Lithuania and one in Slovakia, experienced trainers support talented individuals as they take the first steps towards their new careers. Jan Model and Tomasz Konieczny explain what makes our training programme special.

Mr Model, Mr Konieczny, how long have you been working for Nordzucker, and why did you decide for this employer?

Jan Model: I've been at Nordzucker since 2011 and trained here myself as an industrial mechanic. It was important to me to find a company that was large enough to offer various career development opportunities – while still being small enough so that I wasn't just a number. I've worked as an instructor here myself at the Schladen site since 2020 and have supported 30 apprentices to date.

Tomasz Konieczny: I've been working here for twelve years. I was particularly drawn to the internationality of the company – after my previous role in a purely Polish company that was an exciting new opportunity. Nordzucker has a great reputation and offers attractive working conditions.

What apprenticeships do you offer at your sites?

Tomasz Konieczny: At our site in Opalenica, we offer various apprenticeship courses – from mechanic, electronics engineer and automation engineer to electrician and warehouse logistics specialist.

Jan Model: In Schladen, we provide apprenticeships for industrial mechanics and electronics engineers for operating equipment.

What makes the apprenticeship at Nordzucker special?

Jan Model: The basic training takes place in two specially constructed training centres. This gives trainees the opportunity to engage in their professional and personal development in a protected space. Over the course of time, they are integrated more and more into operational processes and work together closely with various specialist employees. As a result, they benefit from their experience and expertise and can get a practical feel for day-to-day operations. The training is varied and can be supplemented with additional qualifications, such as crane operator licence or a forklift licence. This represents a real advantage for their future careers.

Has the training programme at Nordzucker changed over recent years? And if so, how?

Jan Model: These days, the most important aspects are things like transparency, mutual respect and a culture of constructive criticism. We take our time, listen carefully and consider exactly what the strengths of our trainees are – after all, we all want to move forwards together. Despite this, there are some traditional values that are still as important now as they ever were. Discipline, punctuality and respectful partnerships still form the foundation upon which our vocational training is built.

Are there any particular success stories that have stayed with you?

Tomasz Konieczny: Two former trainees come to mind straight away. Even in their apprenticeship as warehouse logistics specialists, they showed a great deal of commitment and initiative. Today, they are going their own ways at Nordzucker: one works in the technical warehouse, the other in the laboratory. That shows how wide-ranging and promising apprenticeship can be – and that many doors are open to our trainees after they have completed their course.

Jan Model: I don't have just the one success story – every year there are new ones. When our trainees pass their final exams and we look back together at how we selected them in the recruitment process, how they came to us as young people and grew into responsible, skilled professionals – every time, that's a special success story that we were able to play a role in as their instructors.

What do you enjoy about working with young people who are right at the start of their careers?

Tomasz Konieczny: They bring fresh ideas, energy and curiosity – and that has a positive effect on the whole team. It's so great to see how they grow and learn over time and take on more responsibility.



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Yield ratio

		2020/2021	2021/2022	2022/2023	2023/2024	2024/2025
RoCE ¹	%	4.6	7.0	10.4	18.6	4.2
EBIT margin ²	%	4.9	5.9	9.3	14.4	3.6
EBITDA margin ³	%	9.5	9.8	12.7	17.2	8.2
Return on revenues ⁴	%	3.8	4.1	7.5	10.6	2.9
Return on equity ⁵	%	4.7	5.4	10.8	17.1	4.3
Redemption period ⁶	years	-0.3	-0.3	-0.7	-0.3	-1.1
Cash flow from operating activities per share	EUR	0.39	2.36	0.99	6.36	3.5
Earnings (Group) per share ⁷	EUR	1.32	1.63	3.51	6.40	1.65
Dividend per share ⁸	EUR	0.60	0.80	1.20	2.00	0.40
Total dividend	EUR m	29	39	58	97	19

¹ EBIT/Average capital employed

² EBIT/Revenues

³ EBITDA/Revenues

⁴ Net income/Revenues

⁵ Net income/Equity

⁶ Net debt/EBITDA

⁷ Total income/Number of shares

⁸ Total dividend/Number of shares

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		2020/2021	2021/2022	2022/2023	2023/2024	2024/2025
Revenues	EUR m	1,670	1,943	2,261	2,923	2,770
EBITDA	EUR m	158	190	288	503	228
EBIT	EUR m	81	114	211	421	100
Net income for the period	EUR m	66	84	182	326	84
Cash flow from operating activities	EUR m	19	114	48	307	169
Cash flow from investing activities	EUR m	-84	-122	-153	-181	-172
Free cash flow ¹	EUR m	-65	-8	-106	127	-3
Investment in property, plant and equipment and intangible assets	EUR m	86	120	144	181	196

¹ Cash flow from operating activities + Cash flow from investing activities

Balance sheet ratio at the end of the financial year

		2020/2021	2021/2022	2022/2023	2023/2024	2024/2025
Total assets	EUR m	2,341	2,431	2,852	3,233	3,360
Equity	EUR m	1,355	1,448	1,575	1,812	1,864
Equity ratio	%	58	60	55	56	56
Debt capital	EUR m	986	982	1,277	1,421	1,496
Capital employed	EUR m	1,835	1,921	2,142	2,378	2,455
Financial liabilities	EUR m	150	141	252	186	293
Cash and cash equivalents	EUR m	126	80	44	43	44
Net debt ¹	EUR m	-43	-61	-208	-143	-255

¹ Cash and cash equivalents – Financial liabilities

Beet cultivation and campaign

		2020/2021	2021/2022	2022/2023	2023/2024	2024/2025
Sugar yield	t/ha	12.3	12.8	12.0	12.6	13.1
Sugar content	%	17.7	17.7	18.0	16.5	16.8
Campaign length	days	120	123	115	137	141
Sugar production from beet	millions of tonnes	2.7	2.2	2.5	2.6	3.0
Sugar production from cane	millions of tonnes	0.7	0.7	0.7	0.7	0.6

Number of employees in the Nordzucker Group in the financial year

Annual average	2020/2021	2021/2022	2022/2023	2023/2024	2024/2025
Total	3,792	3,812	3,774	3,958	4,076
Germany	1,298	1,312	1,319	1,419	1,491
Australia	678	715	670	702	717
Denmark	416	418	432	453	472
Sweden	357	343	329	330	333
Poland	330	331	340	346	344
Lithuania	269	271	267	281	286
Finland	234	213	215	230	234
Slovakia	200	201	196	191	193
Ireland	8	6	4	4	4
Latvia	2	2	2	2	2

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Business activities

The Nordzucker Group, based in Braunschweig, Germany, is one of the world’s leading sugar manufacturers. In the 2024/2025 financial year, the company produced 3.0 million tonnes of sugar from sugar beet in 13 sugar plants in seven European countries and 0.6 million tonnes of raw sugar from sugar cane in three plants in Australia. Last year the Group had an average of 4,076 employees at its 21 European and Australian production and refinery facilities and at its administration offices.

Its range of beet and cane sugar products includes white sugar, raw sugar, refined sugar, specialities and liquid sugar. The company also produces animal feed, molasses, fertilisers and fuel as well as electricity.

In Europe, Nordzucker sells around 85 per cent of its sugar to customers in the food industry. The remaining 15 per cent or so is sold to consumers via the retail industry. The company’s customers in the food industry include the confectionery industry as well as producers of dairy and bakery products, jams, ice cream and drinks. In Europe, Nordzucker sells sugar products to consumers in various product categories and packaging sizes, primarily under the brand name SweetFamily and, in the Nordic countries, under the brand name Dansukker.

Three plants in Australia produce raw sugar from sugar cane both for the domestic market and for export (mainly to Asia). Raw sugar is also refined into white sugar by Sugar Australia Ltd. in Racecourse, Yarraville, and Auckland (New Zealand) and is marketed by Sugar Australia Ltd. and New Zealand Sugar Company.

The operating business is currently organised into two business units: The Beet Unit covers sugar production and marketing in Europe and accounts for around 88% of total revenues. The Cane Unit in Australia is responsible for the production and marketing of sugar made from sugar cane and accounts for around 12 per cent of revenues.

Corporate strategy

The Executive Board of Nordzucker AG developed and further specified the company’s corporate strategy during the 2024/2025 financial year. The aim is to create a grown and diversified company that maintains stable cash flows and dividends.

In order to achieve this, all processes in the existing business need to be made sustainable and achieve a high level of excellence. Growth is to be achieved in the production and marketing of sugar and other products made from sugar cane, as well as in the area of alternative proteins. The aim here is to reduce dependence on price fluctuations in the EU sugar market and increase Group earnings.

Excellence and sustainability in focus

The Business Unit Beet faces various challenges. The business model depends largely on the developments within the European sugar market, which is subject to major volatility and sugar consumption tends to shrink in the EU. At the same time, sustainability-related

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Nordzucker AG

Nordzucker GmbH & Co. KG Braunschweig (Germany)100%	Nordic Sugar A/S Copenhagen (Denmark)100%	Nordzucker Polska S.A. Opalenica (Poland)99.87%
Norddeutsche Flüssigzucker GmbH & Co. KG Braunschweig (Germany)100%	Nordic Sugar AB Malmö (Sweden)100%	Považský Cukor a.s. Trenčianska Teplá (Slovakia)96.80%
Nordzucker Services GmbH & Co. KG Braunschweig (Germany)100%	UAB Nordzucker Business Services Kaunas (Lithuania)100%	AB Nordic Sugar Kėdainiai Kėdainiai (Lithuania)77.02%
Nordzucker Captive GmbH Braunschweig (Germany)100%	Suomen Sokeri Oy Kantvik (Finland)80%	Sucros OY Säkylä (Finland)80%
	Nordzucker Ireland Limited Dublin (Ireland)100%	Mackay Sugar Limited Ltd. Mackay (Australia)70.94%



demands of customers, society and the regulatory framework are increasing. Nordzucker has therefore committed itself to the decarbonisation targets of the Science Based Targets initiative, which will require high investments in the plants and major changes to the beet cultivation process.

In order to master these challenges, along with the general rise in costs and other challenges facing beet cultivation, Nordzucker needs to optimise the Bussines Unit Beet and further strengthen our competitive edge. To do this, major cost-reducing measures and optimisations are in the pipeline along the entire value chain. The aim is to reduce costs as part of the existing excellence initiatives, which will be intensified, and other optimisations by more than EUR 100 million in the next years.

Excellence and optimisation projects are also underway in the existing Cane business unit in Australia. These will be consistently pursued and implemented.

Growth and diversification

In addition to strengthening its core area of business, Nordzucker is aiming for further growth and diversification, particularly by expanding its successful Cane business. In the corresponding markets, sugar produced from sugar cane has the potential for higher, more resilient profits than sugar produced in the EU. The production of cane sugar is also much less carbon-intensive due to the use of bagasse as an energy source, which means that the capital expenditure requirements are much lower for the decarbonisation of production as compared with beet processing.

Its majority shareholding in Australia has shown that Nordzucker has successfully taken advantage of global growth opportunities.

The intention to enter the growth market of alternative protein sources rounds off the growth strategy because the market potential for alternative proteins remains high over the medium and long term. The specific strategy for entering the market is currently being revised. After the decision not to build the pea protein plant as planned, the future strategy will focus instead on potential partnerships as well as mergers and acquisitions.

Company management and organisation

The Nordzucker Group is managed by three Executive Board members. The Executive Board reports to the Supervisory Board, which has 15 members, of whom ten represent the shareholders and five the employees.

The Nordzucker Group takes a functional approach to management and control. The managing directors of the Group's various national companies have been given increased responsibility for managing the local core process, which comprises agriculture, operations, sales and logistics. The Executive Board of Nordzucker AG comprises three members, with the Chairman being responsible for agribusiness. The other two members are in charge of sales, logistics and production, and finance including IT and procurement.

The Nordzucker Group's internal strategy is based on a margin management approach. This means all decisions must be oriented to the profit margin that is to be realised. In addition, the focus on process thinking prioritises benefits for internal and external customers. The combination of these two performance indicators results in profit-oriented, effective and efficient management.

The financial indicators system focuses on the major indicators of EBIT margin, RoCE, net debt and free cash flow. The EBIT margin and RoCE are used to measure the profitability of the operating business. RoCE corresponds to the ratio of EBIT to the average capital employed. By

comparing the RoCE actually achieved with the expectations of our shareholders and lenders (known as the "cost of capital"), we can measure whether lenders have generated a return on their capital employed that is in line with market conditions. Net debt measures the amount of financial scope, and free cash flow shows the Group's cash and cash equivalents. The targets for the EBIT margin and RoCE fall within a long-term earnings range of four to six per cent.

Since the 2023/2024 financial year, Nordzucker has had a reporting obligation as per the German Supply Chain Due Diligence Act (Lieferkettensorgfaltspflichtengesetz) – initially limited to the first two months of the 2024 calendar year, and then in full from 2024/2025 onwards. In order to meet this reporting obligation, Nordzucker has made extensive preparations and implemented a system to support this process.

From the 2027/2028 financial year, Nordzucker will also be subject to reporting obligations for non-financial key figures, as per EU and German legislation. The company is already making extensive preparations for its new reporting obligations as part of the new EU Directive for sustainability reporting CSRD (Corporate Sustainability Reporting Directive). Approaches are currently being discussed at the EU level regarding streamlining the CSRD requirements with its extensive reporting and documentation obligations (Omnibus proposal). Nordzucker is taking the next steps and will decide on its future course in this regard on the basis of the directive once it is passed.

Sustainability

During 2024, Nordzucker developed a sustainability vision for the company. In it, the company commits to achieving more sustainable processes, from grower to consumer. The company is closely linked to regional agriculture, and these are its roots for sustainable growth. The aim is to improve its environmental footprint, step by step. Along the entire value chain, Nordzucker helps to safeguard natural resources for present and future generations, taking social responsibility for its activities. To do this, the company works closely with its partners – employees, growers and customers – thus making sustainability an integral part of our business.

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Its HR strategy puts the focus on employees. Nordzucker cultivates a leadership culture that provides room for feedback and dialogue and is characterised by cooperation in a spirit of partnership, and ensures a healthy and safe working environment.

Diverse teams are the key to improved cooperation at Nordzucker. As a result, the company aims to gradually increase the proportion of women in management positions – particularly in executive positions. The proportion of women in top management roles (first level below the Executive Board) is currently 20 per cent, while it was 15.4 per cent in the previous year. A similar proportion is expected for the 2025/2026 financial year.

In Europe, the Nordzucker Group had an average of 3,359 employees in the reporting year. Its workforce thus increased as compared with the previous year (3,256 employees). This was mainly due to the increase in staff numbers in Germany and Denmark.

In Australia, the average number of employees during the year was 717, an increase of 15 employees compared with the previous year (702).

The number of employees for the Group as a whole has thus increased from 3,958 to 4,076.

Since the production of sugar is an energy-intensive process, projects to reduce energy consumption and the associated carbon emissions define the Group's sustainability activities.

Since August 2023, Nordzucker has been committed to the short-term emission reduction targets of the Science Based Targets initiative (SBTi). Nordzucker is committed to reducing absolute greenhouse gas emissions from its own production facilities (Scope 1) and from purchased energy (Scope 2) by 50.4 per cent by 2030 compared with the base year of 2018. Among other aims, the plan is to completely phase out the use of coal and oil by 2030 at the latest. Carbon-neutral production will be achieved by 2050 at the latest – in Germany by 2045.

The company is also committed to reducing its absolute Scope 3 emissions from upstream and downstream processes – purchased goods and services, fuel- and energy-related emissions, business travel, commuting, processing purchased products and disposal of purchased products – by 30 per cent by 2030 as compared with the base year of 2018. These targets apply to all Nordzucker locations in Europe and Australia.

Nordzucker submitted its FLAG targets for the reduction of agricultural emissions to the SBTi in December 2024. The FLAG targets are a mandatory part of the SBTi commitment. The abbreviation FLAG is short for Forest, Land and Agriculture. By submitting its FLAG targets, Nordzucker is committed to reducing agricultural emissions by 36 per cent by 2030 as compared with the base year of 2018. In order to achieve the FLAG targets, Nordzucker is working closely with growers, suppliers of agricultural equipment and other partners, such as research institutes.

In order to implement the German Supply Chain Due Diligence Act (LkSG), extensive measures have been put in place to adapt the relevant processes. Notably, the Supplier Code of Conduct has been adapted and the Nordzucker Code of Conduct has been revised.

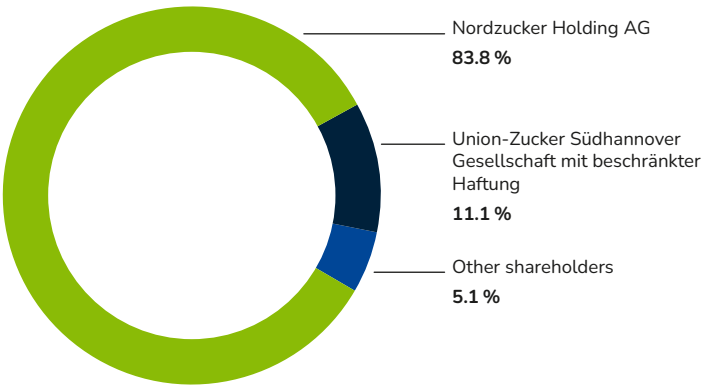
One particular area of focus is the external Carbon Disclosure Project (CDP) initiative and EcoVadis. Nordzucker has disclosed its data in the CDP annually since it joined in 2010. Currently, the company holds a B rating for climate and water (2024 score, 2023 B for climate, B- for water).

EcoVadis has been evaluating Nordzucker since 2015. In 2023, Nordzucker achieved a gold medal from EcoVadis for sustainable business practices for the eighth year in a row. The company achieved 72 out of 100 points. In 2024, the company achieved 65 out of 100 points, thus securing a bronze medal. The reason for this was a change in EcoVadis requirements.

Shareholder structure of Nordzucker AG

Nordzucker Holding AG holds 83.8 per cent of the shares in Nordzucker AG. A further 11.1 per cent is held by Union-Zucker Südhannover Gesellschaft mit beschränkter Haftung. Other shareholders hold 5.1 per cent of the capital. Nordzucker AG shares are not traded on a stock exchange. A large proportion of the shareholders in Nordzucker Holding AG, Nordzucker AG and Union-Zucker Südhannover Gesellschaft mit beschränkter Haftung are also active growers who sell their beet to Nordzucker AG. No single shareholder of Nordzucker Holding AG has more than 25 per cent of the shares.

Shareholder structure of Nordzucker AG



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Macroeconomic situation

According to the Organisation for Economic Co-operation and Development (OECD), global economic growth again increased in 2024. As in the previous year, the global gross domestic product (GDP) growth for 2024 was 3.1 per cent. The EU's overall economic growth was just 0.9 per cent, according to the European Commission. Inflation decreased and was measured at 2.6 per cent in 2024.

According to the Federal Statistical Office (Destatis), Germany's price-adjusted GDP in 2024 was 0.2 per cent lower than in 2023. In addition to a drop in private consumer spending, this was also due to the war in Ukraine and lower demand from abroad. At the same time, the rate of inflation in Germany stabilised at 2.3 per cent in 2024.

The sugar market

Sector developments

World sugar market

According to the market research institute S&P Global, in the 2023/2024 sugar marketing year (1 October 2023 to 30 September 2024) global production was 192.6 million tonnes and consumption was 189.8 million tonnes. In global terms, final stocks of 68.5 million tonnes in the sugar marketing year represented an increase of 2 million tonnes by comparison with the stock volume of 66.5 million tonnes at the start of the sugar marketing year, representing a surplus for 2023/2024. For the 2024/2025 sugar marketing year, the global production figure is forecast at 190 million tonnes (– 2.6 million tonnes on the previous year). The level of consumption will continue to rise and is estimated at 192.3 million tonnes. At a global level, a deficit of 2 million tonnes is assumed as of the end of the sugar marketing year. Worldwide stocks will thus decrease to 66.5 million tonnes.

In this market and supply environment, in the 2024/2025 financial year world market prices for white sugar dropped from EUR 571 per tonne in March 2024 to EUR 518 per tonne in February 2025.

The sugar market in the EU

The European Commission estimates that sugar manufacturers in the EU-27 produced 15.6 million tonnes of sugar (excluding isoglucose) in the 2023/2024 sugar marketing year. Including the amount of sugar imported to the EU from Ukraine for the 2023/2024 sugar marketing year, EU imports were significantly down on last year with a total of 2.2 million tonnes. The European Commission calculated an export volume of 4.1 million tonnes and a level of consumption in the EU of 13.6 million tonnes (of which 0.7 million tonnes for bioethanol). As of 30 September 2024, the EU Commission calculated the EU's final stocks at 2.1 million tonnes. Overall, the European market was adequately provided for.

The 2023/2024 sugar marketing year began in October 2023 with an average price of EUR 844 reported by the European Commission. It maintained this level in the following months before dropping to EUR 758 per tonne of white sugar by September 2024.

For the 2024/2025 sugar marketing year (1 October 2024 to 30 September 2025), the European Commission has reported a production level in the EU-27 of 16.6 million tonnes, which represents an increase of around 1 million tonnes in the volume of production in the EU-27 by comparison with the previous sugar marketing year. At 1.7 million tonnes (of which 0.9 million tonnes of sugar and 0.8 million tonnes of products containing sugar) the EU-27's imports are expected to be lower than the level seen in the previous year. The predicted volume of exports for the EU-27 in the amount of 4.5 million tonnes (of which 2 million tonnes of sugar and 2.5 million tonnes of products containing sugar) will leave final stocks for the 2024/2025 sugar marketing year at 2 million tonnes and more or less at the same level as the 2.1 million tonnes of the previous year, with consumption of 14 million tonnes (of which 0.8 million tonnes for bioethanol).

At the start of the sugar marketing year (October 2024), EU white sugar was pricing at EUR 619 per tonne, before dropping to EUR 541 per tonne by February 2025.

Business performance in Europe

Industrial customer business

Most of the company's sugar customers are food or drink manufacturers. A small portion of its sugar is sold to the chemical and pharmaceutical industry. Nordzucker supplies customers both within and outside the EU.

The increase in beet cultivation area in Europe in the 2023/2024 sugar marketing year led to improved availability of beet sugar in Europe. This was bolstered by high volumes of sugar imported from Ukraine in the first half of 2024. At the same time, prices for volumes traded on the spot markets in Eastern Europe declined. Beet cultivation area in Europe rose significantly once again in the 2024/2025 year, which has significantly boosted expectations for processing volumes from September 2024. Subsequently, the prices for deliveries from the new 2024/2025 sugar marketing year have dropped sharply. The 2024/2025 financial year was strongly influenced by volatile commodity prices – cocoa prices reached a record high, for example – and was shaped by continually high inflationary pressure. As a result, demand for sugar was slightly down in some segments. Despite the economic challenges, the Group's overall performance was characterised by generally stable sales volumes in the EU and by a higher volume of exports. For the financial year as a whole, prices decreased significantly year-on-year.

Retail customer business

The retail business includes customers in food retailing as well as discount stores and health and beauty retailers.

In 2024, food retail showed a moderate increase in revenues. While the first half of the year tended to be subdued, the second half recorded a rise. Discounters benefited in particular from the tough economic environment and rising food costs because consumers were increasingly looking for lower-priced offers. Despite a lower inflation rate overall, food prices continued to rise. In light of the high demand and general price trends for sugar, retail prices also dropped significantly. Special price offers and discounts played a major role, including for sugar.

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There were more national marketing campaigns for special containers and international offers from Eastern Europe (Ukrainian, Polish sugar), both in Germany and in Scandinavia. In summary, the food retail industry faced challenges such as consumer reticence due to rising prices and pressure from cheap sugar in 2024. Both factors also influenced Nordzucker AG's sales figures.

Business performance in Australia

The Group's Australian subsidiary Mackay Sugar Ltd (MSL) produces raw sugar, which it sells for further processing in the Australian market as well as on the world market. The price of sugar for the core product is thus closely linked to the price of sugar on the world market and is accordingly volatile. In addition to the core business of sugar, the feeding of energy into the public grid represents a major, generally profitable business segment. The energy is produced from the fibrous residues left over from the processing of sugar cane (bagasse). Any energy generated that exceeds the company's requirements is fed into the grid. MSL achieved positive earnings in the 2024/2025 financial year, particularly as a result of the continually favourable market environment with above-average prices on the global market in the sugar sector.

Market for animal feed and molasses

Sector developments

Nordzucker processes sugar beet into pressed pulp, dried pulp pellets and molasses, and markets these products as high-quality animal feed to consumers and the mixed feed industry in particular. A portion of the molasses is also used in fermentation. The volumes available vary from year to year depending on harvest results.

Throughout the entire marketing period, the availability of dried pulp pellets was shaped by imports, including from Ukraine, the Czech Republic and Egypt, which were sold to Northern Europe. Above-average beet yields from the 2024/2025 campaign brought additional volume to the market. Despite this, prices remained relatively stable and even became more attractive than alternative products by late autumn.

The market for sugar beet molasses continued to decline. The high volume of molasses produced from the significantly higher volume of beet in Europe led to prices dropping significantly over the course of the financial year. By contrast, sugar cane molasses barely influenced the European market.

Business performance

The pressure on volumes for molasses resulting from the good harvest proved to be a negative price driver. Regardless of price trends, the sales volume for molasses was increased, particularly in order to reduce rental costs for external storage. Sales volumes to the fermentation industry and animal feed markets increased, but these were associated with significant price reductions. In order to further relieve pressure on the market, Nordzucker processed a larger amount of molasses into ethanol.

For dried pulp pellets, however, sales volumes were lower than for the previous year. Sales volumes for dried pulp pellets, however, were down year-on-year due to the drop in demand for animal feed and the availability of cheaper alternatives. Here, too, the very good beet harvest led to high availability, which was associated with drops in prices.

Sales of pressed pulp, however, increased year-on-year due to the good harvest. Pressed pulp prices were roughly the same as last year.

Market for bioethanol

Sector developments

In the 2024/2025 financial year, the price of bioethanol as a fuel additive was volatile. In the first quarter of the calendar year, prices climbed slowly before briefly reaching an annual high of more than EUR 750 per cubic meter (Platts T2 FOB Rotterdam price) in the second quarter of 2024. From the middle of the second quarter, a downward trend set in, which reached its low point in late September. Since then, there has been a slight upward trend again, with some temporary dips.

Business performance

High sugar beet yields coupled with decreasing sugar prices led to a change in planning for the production phase of the bioethanol plant. After the scheduled stop from February 2024, the plant resumed operations in August 2024 – one month before the start of the 2024/2025 campaign. Unlike in the previous year, the production period was extended far beyond the end of the 2024/2025 beet campaign. The plant operated with a higher proportion of molasses for the production phase after the beet campaign. The longer production phase means that more bioethanol is available for commercialisation. Nordzucker markets bioethanol in the fuel market and as industrial alcohol.

Beet cultivation and sugar production

In Nordzucker's German cultivation area, sowing was delayed slightly due to unfavourable weather conditions and was completed by mid-April 2024. Only in Schleswig-Holstein and some very wet sites in the rest of the catchment area did sowing take place very late at the end of April or in early May. In the other European countries, with the exception of Denmark, where sowing was generally only possible from early May, sowing tended to take place a little earlier than usual. As a result of the damp soil conditions, the efficacy of herbicides was rated good upon application. The sugar beets' early development was normal to

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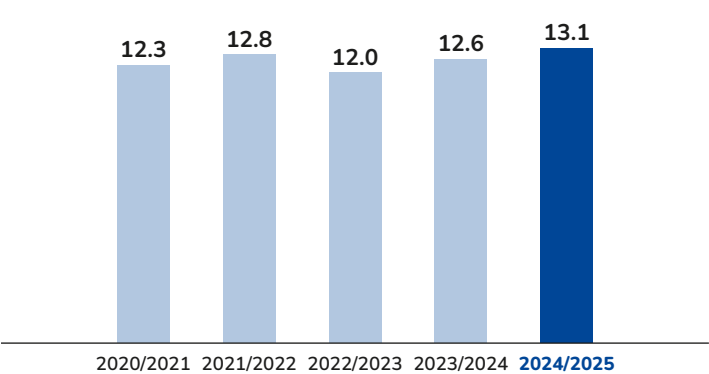


slightly delayed. In the summer months, damp weather led to a high risk of infection with leaf diseases, particularly in our cultivation regions in Germany, Poland and Slovakia. Sugar content in all countries remained low, however, due to low levels of sunlight, but was still slightly above the previous year in almost all countries. In a comparison with the five-year average, the sugar content of the 2024 campaign was below average. Beet yield was again significantly above average for the second year in a row.

At 13.1 tonnes per hectare, the sugar yield for the Group was slightly up on the five-year average. At 14.4 tonnes of sugar per hectare, the yield in Germany was above the five-year average (13.7 tonnes per hectare). Above-average sugar yields were recorded in Lithuania with 12.8 (10.4) tonnes per hectare, in Finland with 7.2 (6.8) tonnes per hectare, in Poland with 11.8 (10.6) tonnes per hectare and in Sweden with 12.9 (12.5) tonnes per hectare. Denmark and Slovakia recorded below-average sugar yields, with 13.0 (13.5) tonnes per hectare for Denmark and 9.2 (9.9) tonnes per hectare for Slovakia.

Average sugar yield Nordzucker

tonnes per hectare

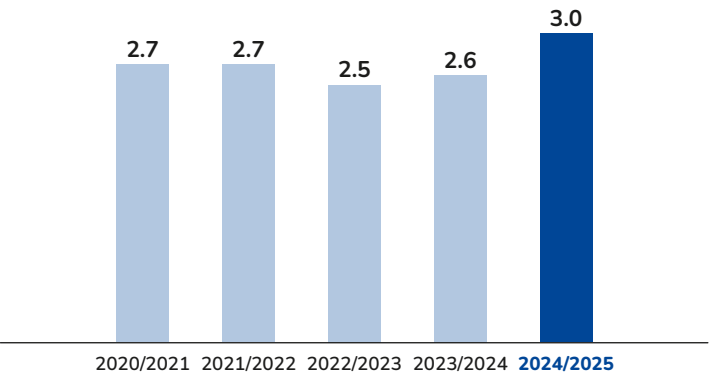


Due to stable weather conditions in the winter months, almost all the beet could be processed as scheduled in the 2024/2025 campaign, despite the long processing period until the end of January (Denmark, Sweden, Poland, Slovakia), or until well into February (Germany, Lithuania). Smaller volumes in Germany that were harvested far from the production sites were sold to biogas plants for transport optimisation reasons.

The viral yellowing transmitted by the green peach aphid only occurred in isolated cases during the 2024 growing year. The two bacterial diseases that are relatively new to Nordzucker's cultivation regions, SBR (Syndrome Basses Richesses) and stolbur, once again occurred in the eastern part of the company's German cultivation region and in Slovakia. SBR leads to lower beet yields and a much lower sugar content. In addition to lowering yields and sugar content, stolbur results in the beet's taproot acquiring a rubbery structure, which makes the beet much harder to store. Various activities have been launched to limit the spread of the disease.

Sugar production Nordzucker Group

from beet, in millions of tonnes



The average beet yield across the Group was 77.9 tonnes per hectare (previous year: 76.7 tonnes per hectare). The sugar content was 16.8 per cent (previous year: 16.5 per cent). This corresponds to an average sugar yield of 13.1 tonnes per hectare (previous year: 12.6 tonnes per hectare).

During the 2024/2025 campaign, Nordzucker produced some 3.0 million tonnes of sugar from beet across the Group (previous year: 2.6 million tonnes). The campaign lasted for 141 days, which was longer than in the previous year (137 days).

During the 2024/2025 campaign, organic sugar beet was cultivated for Nordzucker in Germany, Denmark, Sweden and Lithuania and was processed at its Schladen, Nyköbing and Kedainiai plants in accordance with EU Regulation No 834/2007 on organic farming.

In Australia, the crushing season was completed in mid-January 2025. Good rainfall distribution in particular resulted in very good growth conditions in 2024, enabling growers to produce a sugar cane yield of around 87.5 tonnes per hectare (previous year: 83.0 tonnes per hectare) with a sugar content of 13.5 per cent CCS (previous year: 13.6 per cent CCS). CCS stands for commercial cane sugar and is comparable with sugar content less yield loss for sugar beet. As in the previous year, around 0.6 million tonnes of raw sugar were produced in Australia.

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Earnings and financial position and net assets

Earnings position

The table below shows the key figures for the Nordzucker Group, as well as for the Business Unit Beet and the Business Unit Cane.

The earnings of the Nordzucker Group declined compared with the previous year. This mainly reflects a much lower price level for sugar year-on-year, largely due to the high availability of sugar in Europe resulting from the good harvest. Continually high costs for commodities and logistics, as well as only slightly lower costs for energy as compared with the previous year, meant that price-related losses could only be marginally offset.

Key figures for the Nordzucker Group

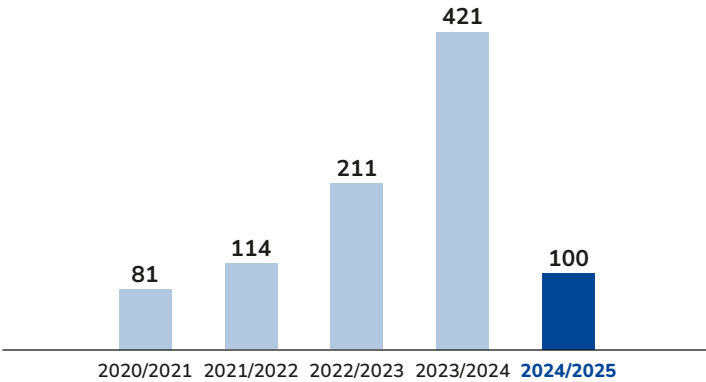
	Group		Share, Bussines Unit Beet		Share, Bussines Unit Cane	
	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
TEUR						
Revenues	2,769,767	2,922,488	2,450,821	2,536,739	318,946	385,749
Manufacturing cost	– 2,271,171	– 2,146,571	– 1,993,723	– 1,817,476	– 277,448	– 329,095
EBITDA	227,620	503,124	203,252	467,133	24,369	35,991
EBITDA as a % of sales revenues	8.2%	17.2%	8.3%	18.4%	7.6%	9.3%
Operating result (EBIT)	100,458	420,961	85,793	393,598	14,664	27,363
EBIT as a % of sales revenues (EBIT margin)	3.6%	14.4%	3.5%	15.5%	4.6%	7.1%
Net income	84,463	325,745	62,241	296,138	22,222	29,606
Net income after minority interests	79,755	309,200	63,990	288,198	15,765	21,002
Return on sales	3.0%	11.1%	2.5%	11.7%	7.0%	7.7%
RoCE	4.2%	18.6%	3.8%	18.9%	7.9%	15.2%
Net financial result (+ investment/– debt)	– 254,746	– 143,143	– 149,108	– 55,560	– 105,638	– 87,583
Free cash flow	– 2,863	126,524	12,412	98,981	– 15,275	27,543
Absolute number of employees	4,076	3,958	3,359	3,256	717	702

The Group's profitability is measured using the key indicators RoCE and EBIT margin.

RoCE for the Nordzucker Group, which reflects the ratio of EBIT (operating result) to the average level of capital employed, came to 4.2 (18.6) per cent in the reporting year. For beet sugar, RoCE came to 3.8 (18.9) per cent, while RoCE for cane sugar was 7.9 (15.2) per cent. The yield was thus significantly down on the results for the previous financial year – for the Group and for both business units.

The EBIT margin is calculated based on the ratio of EBIT to revenues. During the reporting year, the EBIT margin for the Group was 3.6 (14.4) per cent. For beet sugar, it was 3.5 (15.5) per cent and for cane sugar it was 4.6 (7.1) per cent. This meant the figures for the beet sugar segment and for the Group were significantly below the figures from the previous year. Net income before minority interests totalled EUR 84.5 (325.7) million. Beet sugar contributed EUR 62.2 (296.1) million to this amount, while cane sugar contributed EUR 22.2 (29.6) million.

Consolidated EBIT
in EUR m



Free cash flow, which represents liquidity earned, declined significantly year-on-year to EUR – 2.9 million (previous year: EUR + 126.5 million). This trend was primarily driven by lower net income, which led to much lower operating cash flow. Together with cash flow from investing activities of EUR – 172.0 million (EUR – 180.7 million), this led to higher net debt of EUR – 254.7 million (EUR – 143.1 million) in order to maintain business activities and to safeguard the payment of dividends. This primarily affects the beet business with free cash flow of 12.4 (99.0) million and a net financial position of EUR – 149.1 million (EUR – 55.6 million).

Revenues came to EUR 2,769.8 (2,922.5) million. Beet Business achieved EUR 2,450.9 (2,536.7) million, while Cane business came to EUR 318.9 (385.7) million. This decrease in revenues is essentially due to a lower price level for sugar in Europe and on the global market. Further negative revenue effects result from the much lower prices for molasses and pellets, which could not be offset with higher sales volumes for molasses. By contrast, higher revenues were achieved for bioethanol – the principal factor here was the significantly higher sales volume compared with the previous year, which more than compensated for the slightly lower prices.

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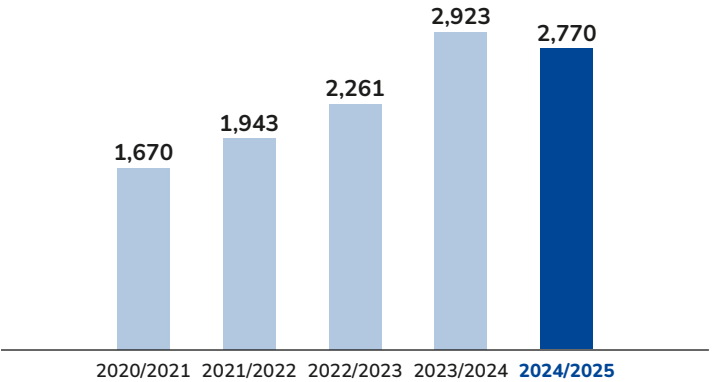
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Consolidated revenues

in EUR m



Total revenues of EUR 2,353.9 (2,491.5) million were generated with sugar. The EUR 137.6 million decrease resulted primarily from lower sugar prices and a slight year-on-year decrease in the sales volume for the Group.

Revenues from the sale of bioethanol were significantly up on the previous year at EUR 52.3 (24.3) million. This was due to higher sales volumes, which more than offset the slightly lower prices as compared with the previous year. Revenues from animal feed include revenues from the sale of molasses, vinasse, dried pulp pellets and pressed pulp. They totalled EUR 251.2 (311.8) million and were thus significantly lower than in the previous year due to price decreases for molasses and pellets. Slightly higher sales volumes for molasses were not able to offset the price effects.

Production costs for the Group came to EUR 2,271.2 (2,146.6) million in the reporting period. The increase was due to the production costs for sugar, which are calculated based on the weighted average of the sales volume for the 2023 campaign that was still in stock on 1 March 2024, and the sales volume for sugar from the 2024 campaign. Expenses for commodities decreased year-on-year due to slightly lower purchasing prices. Energy costs also decreased year-on-year – however, both effects were only able to offset the price drop in sugar to a minor extent. Another driver for production costs resulted from the loss-free measurement of sugar stocks and by-products at reporting year-end, which affected the cost of sales in the amount of nearly EUR 71.2 million. Sales costs totalled EUR 262.8 (237.8) million, an increase of EUR 25.0 million on the previous year. The main reasons for the rise in costs were higher freight costs, prompted by the increase in freight rates, a rise in tolls and an increase in outside warehousing expenses due to the very large harvest.

Administrative expenses amounted to EUR 100.9 (93.7) million and were thus significantly higher than in the previous year as a result of higher costs, particularly for consultancy, increased fees and the effects of inflation.

Production, sales, administrative and other expenses included total personnel expenses of EUR 311.0 (297.5) million and EUR 83.3 (77.8) million in depreciation of property, plant and equipment and amortisation of intangible assets. Personnel expenses rose significantly by comparison with the previous year. The increases in expenses were essentially due to an increase in the number of employees at the Nordzucker Group, collective wage increases, salary adjustments and bonus payments.

Other income came to EUR 81.7 (76.4) million and was therefore slightly up on the previous year's figure. This financial year, as in the previous year, the main drivers are the insured event in Örtöfta, Sweden, and positive effects from hedging transactions.

Other expenses came to EUR 116.1 (99.7) million in the year under review and were therefore above the previous year's figure. The most notable effect here is the extraordinary depreciation, amortisation and impairment of plants resulting from the impairment test for the Nordzucker Group. The insured event in Örtöfta, Sweden, and the breakdown of the extraction tower in Schladen also account for a proportion of this.

In total, the Nordzucker Group reported an operating result (EBIT) of EUR 100.5 million, as against EUR 421.0 million in the previous year. Earnings before interest, taxes, depreciation and amortisation (EBITDA) decreased to EUR 227.6 (503.1) million.

Financial income increased slightly year-on-year to EUR 9.1 (8.9) million. Financial expenses remained at a high level at EUR 21.5 (20.3) million. This was mainly due to interest and similar expenses, which increased compared to the previous year to EUR 21.5 (20.2) million, primarily due to the higher financing volume.

The earnings contribution from shareholdings (including EUR 11.2 (10.0) million attributable to companies accounted for using the equity method) amounted to EUR 14.8 million, compared to EUR 13.4 million in the previous year.

Due to the positive pre-tax earnings of EUR 99.2 (419.5) million, tax expenses amounted to EUR 14.8 (93.7) million. This represents a tax rate of 14.9 (22.3) per cent.

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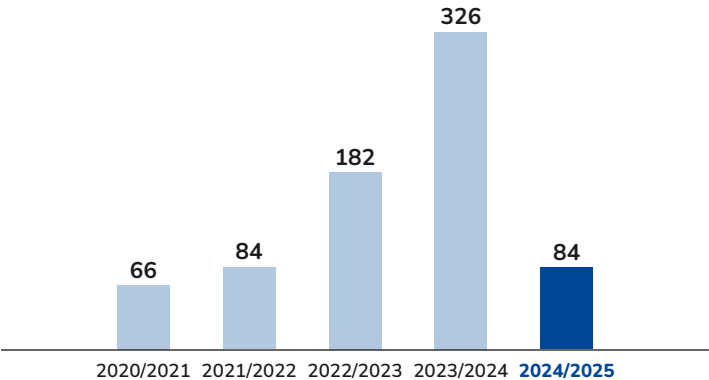
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Consolidated net income before minority interests

in EUR m



In total, the Nordzucker Group reported net income before minority interests of EUR 84.5 million, as against EUR 325.7 million in the previous year. After deduction of minority interests, this resulted in consolidated comprehensive income of EUR 79.8 million, compared with EUR 309.2 million in the previous year.

Compared with forecasts from the previous financial year, both the EBIT margin at 3.6 per cent and RoCE at 4.2 per cent are much lower than expected in the previous year. This was in particular due to lower prices coupled with continually high production costs, which led to the depreciations described, as well as due to other one-off effects, such as the extraordinary write-downs for beet sugar. For RoCE, higher costs for property, plant and equipment also mainly

come into effect, which increase the average capital employed, leading to a poorer result for RoCE. Free cash flow is also below the expected values forecast last year. This is primarily due to operating cash flow owing to the trend of net income. In order to offset the lack of liquidity, new debts were assumed compared with last year's forecast.

Net assets

Total assets for the Nordzucker Group amounted to EUR 3,360.4 (3,233.2) million at the end of the reporting year, an increase of EUR 127.2 million on the previous year's figure. The main reasons for the increase were the year-on-year rises in non-current assets and higher inventories, which were, however, practically offset by the lower receivables. These assets were offset by the higher equity as a result of the positive net income for the year as well as higher current financial liabilities.

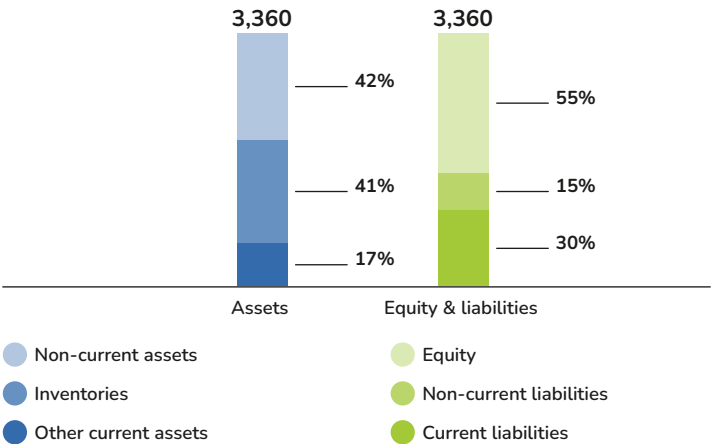
Intangible assets of EUR 23.1 (21.0) million were slightly up on the previous year.

In the reporting year, the Nordzucker Group invested EUR 191.9 (176.5) million in property, plant and equipment. Capital expenditure was offset by depreciation of EUR 80.2 (75.0) million and impairment losses of EUR 44.1 (4.3) million. Overall, property, plant and equipment increased year-on-year to EUR 1,222.0 (1,153.8) million.

Investment property remained almost at the previous year's level at EUR 8.9 (10.4) million. Financial investments were slightly up on the previous year at EUR 130.9 (127.5) million. The increase was due to other financial investments, which more than offset the slight decrease in Australian at-equity investments.

Breakdown of assets and liabilities

in EUR m



As a result of the very large harvest, inventories increased by EUR 99.5 million, from EUR 1,273.1 million to EUR 1,372.6 million. At EUR 109.0 (86.0) million, raw materials, consumables, and supplies were up on the previous year, while unfinished goods and services finished the year below last year's figure at EUR 88.5 (100.3) million. Finished goods and merchandise increased by EUR 88.5 million to EUR 1,175.2 (1,086.7) million due to higher storage volumes.

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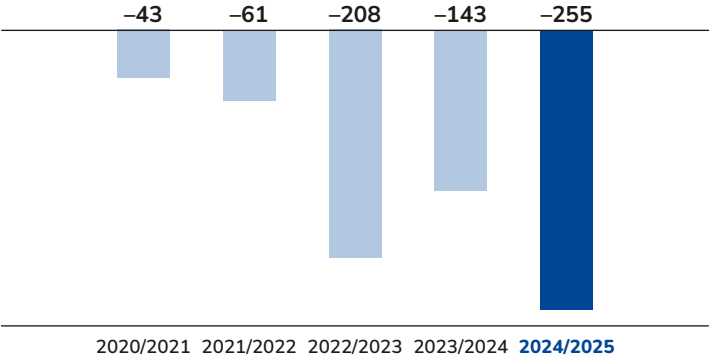
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Current receivables (including from related parties and from taxes) were significantly down on last year by EUR 74.2 million to EUR 316.1 (390.3) million. This was largely due to price developments and the resulting drop in sales. Trade receivables and receivables from related parties decreased to EUR 298.5 (383.6) million. Current income from tax receivables amounted to EUR 17.6 (6.7) million.

Net debt

in EUR m



Financial and other assets increased to EUR 219.4 million, an increase of EUR 10.5 million on the previous year (EUR 208.9 million). This was mainly attributable to positive fair values for hedging transactions.

Financial liabilities exceeded cash and cash equivalents by EUR 254.7 (143.1) million as of the reporting date.

Equity rose by EUR 51.5 million in total to EUR 1,863.9 (1,812.4) million. Consolidated net income for the period increased equity by EUR 84.5 million (previous year: increase of EUR 325.7 million). Equity increased due to other comprehensive income of EUR 65.9 million, which was recognised in the item of the same name in the statement of comprehensive income (EUR plus 9.0 million from the market valuation of investments, EUR minus 3.1 million from the remeasurement of defined benefit plans after adjustment for deferred taxes, EUR plus 6.9 million from currency translation, and EUR 53.0 million as the net result of cash flow hedges and other matters). Of the resulting consolidated comprehensive income after taxes in the amount of EUR 150.3 million, EUR 8.9 million is attributable to non-controlling interests. In the previous year, other comprehensive income had included a negative result of EUR minus 24.4 million (EUR minus 7.8 million from the remeasurement of defined benefit plans after adjustment for deferred taxes and EUR minus 16.6 million from other matters). The equity ratio is 55.5 per cent and thus lower than the previous year's figure of 56.1 per cent.

At EUR 489.2 (497.2) million, non-current provisions and liabilities decreased year-on-year. The total includes non-current provisions of EUR 268.3 (269.6) million, of which EUR 182.0 (181.6) million mainly relates to pension obligations.

Non-current liabilities of EUR 220.9 (227.6) million were slightly down on the previous year. They primarily comprise non-current financial liabilities to banks of EUR 85.4 (89.7) million, which mainly relate to MSL, other financial liabilities in the amount of EUR 9.6 (29.5) million, and deferred tax liabilities, which rose from EUR 99.6 million to EUR 117.4 million in the year under review.

Current provisions and liabilities of EUR 1,007.3 (923.7) million were also higher than in the previous year. Current financial liabilities increased year-on-year to EUR 213.2 (96.5) million. In particular, this is attributable to drawing on more bank loans in order to finance the beet and cane campaigns in the Group.

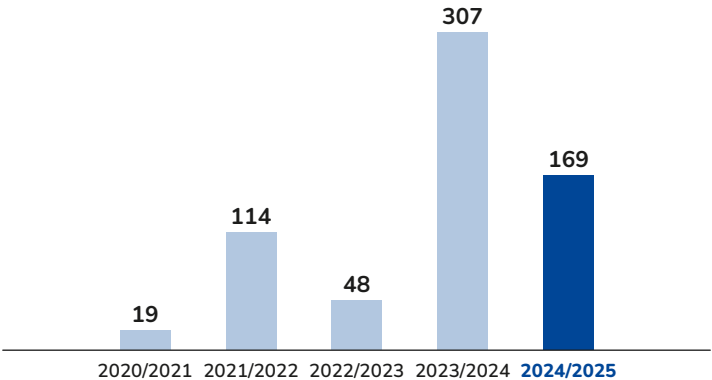
Trade payables of EUR 569.7 (572.5) million were about as high as they were in the previous year. At EUR 75.9 (119.4) million, financial and other liabilities were lower than in the previous year.

Financial position

Cash flow from operating activities of EUR 169.2 million was much lower than in the previous year (EUR 307.2 million). The decrease was mainly due to lower net income.

Cash flow from operating activities

in EUR m



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Cash flow from investing activities amounted to EUR minus 172.0 million, compared to EUR minus 180.7 million in the same period in the previous year. This was mainly due to the payments made for investments in property, plant and equipment, which increased by EUR 16.5 million to EUR 190.4 (173.9) million by comparison with the previous year.

Cash flow from financing activities amounted to EUR plus 3.4 million in the reporting year and was thus significantly higher than in the previous year (EUR minus 126.7 million). This is due in particular to lower repayments of credit lines, and taking up of credit lines, to finance working capital for both the European and the Australian business, as well as the dividend payment of EUR 99.4 (59.3) million to shareholders.

The free cash flow, i.e. the total of cash flow from operating activities and cash flow from investing activities, came to EUR minus 2.9 million and was thus negative, following a figure of EUR plus 126.5 million in the previous year.

As of 28 February 2025, cash and cash equivalents amounted to EUR 43.8 (43.1) million. This means that cash and cash equivalents available on a short-term basis were on a par with the previous year.

Overall assessment of earnings and financial position and net assets

In the 2024/2025 reporting year, all of the Nordzucker Group's key earnings figures were significantly down on the previous year. After some highly satisfactory months at the start, a sharp drop in prices was registered at the beginning of the new sugar marketing year on 1 October 2024. As a result, the Executive Board assessed that the Group position at the end of the financial year was significantly below expectations. RoCE came to 4.2 per cent as against 18.6 per cent in the previous year. The EBIT margin came in at 3.6 (14.4) per cent.

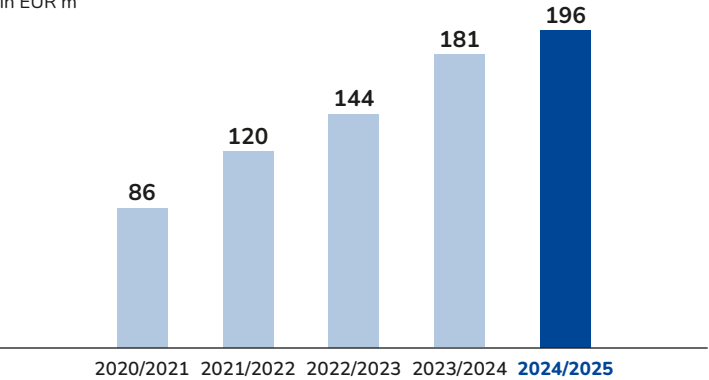
Net income before minority interests amounted to EUR 84.5 million, compared with EUR 325.7 million in the previous year. The significant deterioration in earnings by comparison with the previous year was attributable to major price corrections during the financial year, which were only fractionally offset with smaller price reductions in energy and beet procurement. The loss-free measurement of existing sales contracts and extraordinary write-downs on assets due to the impairment test for beet sugar also significantly reduced earnings.

The Nordzucker Group's net assets and financial position remain stable. The equity ratio remains at the same level as the previous year at 55.5 (56.1) per cent. As of the reporting date, the company has financial liabilities of EUR 298.5 (186.2) million. Financial liabilities exceeded cash and cash equivalents by EUR 254.7 million (previous year: net debt of EUR 143.1 million). On the other hand, cash flow from operating activities (EUR 169.2 million) reflects the lower earnings and the record harvest resulting in increased working capital. Cash flow from investing activities came to EUR minus 172.0 million. This brings the resulting free cash flow to EUR minus 2.9 million.

Capital expenditure

In the 2024/2025 financial year, Nordzucker invested a total of EUR 195.6 (180.9) million in property, plant and equipment and intangible assets. The focus here is on measures to increase efficiency and on the GoGreen programme to reduce our carbon emissions caused by production activities. Other investments relate to fulfilling regulatory requirements and replacing existing assets.

Capital expenditure in property, plant and equipment and intangible assets in EUR m



Measures covered by the GoGreen programme, for example, included the optimisation of the plant in Nordstemmen just before its completion and the extraction tower in Uelzen, which was successfully put into operation in summer 2024. The focus remains on the modernisation of the steam boilers and thus the phasing out of oil and coal at several sites. Projects are in the pipeline in Uelzen, Chełmża, Opalenica, Nykøbing und Säskylä to reduce carbon emissions by switching energy sources. For this reason, new gas pipelines are being built in Poland, for example, in order to connect up with the gas distribution system.

In Sweden, Nordzucker's multiple-year programme aiming to increase efficiency and concentrate production at its Örtofta plant over the long term was successfully concluded in 2024. The optimisation of processes following the takeover of liquid sugar production from Arlöv is still an area of focus.

Another area of focus for Nordzucker's efforts to boost efficiency was the construction and launch of a white sugar silo in Nordstemmen and the optimisation of its sugar logistics for its customers.

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In terms of replacing assets, a sugar drying drum in Chetmża, a gas turbine in Wanzleben and the vacuum system in Nakskov were replaced. The modernisation of the steam extraction system in Nakskov was launched, and the beet testing station in Örtofta went into operation.

In Australia, Nordzucker is continuing to pursue its multiple-year programme focusing on improving the availability levels for the Marian, Farleigh and Racecourse sites. This includes investing in the areas of steam and electric energy supply as well as automation.

As of the reporting date, investment commitments for property, plant and equipment amounted to EUR 46.2 (77.1) million. These investment commitments will be financed by means of cash flow from operating activities.

Financing

Responsibilities and objectives of financial management

The main responsibilities of Nordzucker’s financial management are to manage and control flows of funds for the entire Group on the basis of clearly defined criteria. The main aim is to ensure that sufficient liquidity is available in the Group at all times. In view of increasing volatility on international markets, the management of raw material and exchange rate and interest rate risks is also a priority. The financial management function is also responsible for developing and executing financing strategies. In order to execute these strategies successfully, Nordzucker maintains close contact with banks.

Financing, financial covenants and investment of free cash and cash equivalents

In December 2022, Nordzucker signed a syndicated loan agreement which expires in December 2028. This provides the company with access to EUR 450.0 million.

In addition, there are bilateral credit lines amounting to EUR 100.0 million with terms expiring in December 2026 and January 2027. As another short-term financing option, Nordzucker agreed a repurchase agreement with RaboTrade, which opens up further scope for action by tying temporary sugar sales to a repurchase obligation.

Syndicated loan agreements include what are known as financial covenants. These consist of obligations to maintain certain financial ratios over the entire term of the loan. The covenants are an essential element of a loan agreement. Banks use them as a tool to identify and avoid risks at an early stage by drawing conclusions from the figures about the company’s financial position. Compliance with the covenants is monitored internally on a continual basis and reported to the banks at defined intervals. In the 2024/2025 reporting year, the agreed financial ratio (EBITDA in relation to net debt) was met at all test dates. On the basis of the planning currently available for the Group, the Executive Board of Nordzucker AG assumes that compliance with the covenants will be maintained in future.

Nordzucker has agreed with syndicate banks that compliance with the financial covenants can be offset and replaced at specific times through the term of the credit agreement in order to offset any fluctuations in the business model, such as high inventory levels after unexpectedly strong harvests, for example, so that the company does not run the risk of a covenant breach.

Mackay Sugar Limited is financed independently of the syndicated loan for the remainder of the Group. In addition to a maturity loan of 143.8 million Australian dollars (AUD) with a term expiring in May 2026, MSL also has short-term current account credit lines to cover its seasonal liquidity requirements. These loans are secured by assets.

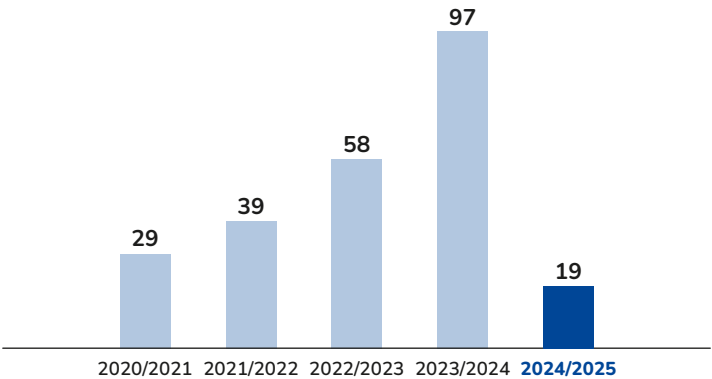
For some of these credit lines, agreed key financial indicators must be complied with (EBITDA in relation to net debt and a minimum volume of net assets).

Nordzucker invests temporarily available funds with banks, on the capital market and with investment companies; the investment horizon is less than one year. Nordzucker limits its risks by distributing its investments across various asset classes, by stipulating a minimum credit rating to be achieved for all investments and by using short interest periods.

Dividend

The Executive Board and the Supervisory Board are proposing to the Annual General Meeting of Nordzucker AG that a dividend of EUR 0.40 per share be distributed for the 2024/2025 financial year.

Total dividends, Nordzucker AG in EUR m



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Opportunities and risks

Risk management

Principles of risk management

Risk management is a central aspect of corporate governance in the Nordzucker Group. Risk management pursues the goal of early identification of strategic and operating risks and recognition of their scope, so that they can be monitored and controlled. This applies for every area of the company, including defined risk reporting lines. Nordzucker deliberately takes risks within the scope of its defined risk appetite if the risks are unavoidable or are likely to be offset by opportunities; Nordzucker also transfers some risks to third parties. This strategy helps the company to achieve successful further development in the long term and to secure its future.

Structure of the risk management system

Nordzucker has an integrated system throughout the company for the identification and management of risk. The key building block for the risk management system is the identification and management of operational and climate-related risks by means of the monitoring, planning, management and control systems in place in the Nordzucker Group.

Nordzucker's risk management system is supported by an internal control system (ICS) that has been set up on a company-wide basis and that also includes the accounting processes. The ICS is an ongoing process based on fundamental control mechanisms, such as technical system-based and manual reconciliations, the separation and clear definition of functions and the monitoring of adherence to, and the further development of, Group-wide guidelines and specific directives.

Risk management

The risk management function discusses at regular intervals the progress made in implementing the defined steps to manage risk with the different functions and/or managers responsible. Regular risk management reports are provided to the Supervisory Board.

All major operating and strategic decisions always take risk aspects into account. When such decisions are made, their consequences are evaluated in various scenarios. Given the highly volatile nature of the market environment, the company's plans illustrate how different market situations may impact the course of business. Descriptions of opportunities and risks highlight alternative developments and identify areas where action needs to be taken. Over the course of the year, the Group reporting and controlling system provides all the decision-makers responsible with continuous information on the actual business performance.

Some of the risks are transferred to third parties, such as insurance companies. The scope and amount of insurance coverage is reviewed regularly and adjusted as necessary. The review period generally comprises the planning period of five years.

Internal auditing

The Internal Audit department examines and evaluates the business processes, organisational structure and the governance system (management and monitoring measures, risk management and the internal control system of the Nordzucker Group) to ensure they are carried out correctly, are effective, and offer value for money. The results of every audit are recorded in an audit report and the implementation of the agreed activities is monitored systematically and regularly. Aside from audits carried out as part of annual risk-oriented audit planning, the

Internal Audit department also carries out ad hoc checks. In addition, the Internal Audit department offers advice, such as on optimising business processes or continuously improving the Nordzucker Group's internal control system. It answers to the Chief Executive Officer and reports regularly to the Executive Board and to the Supervisory Board's Audit and Finance Committee. This reporting comprises information on the status of internal audits, the key findings of the audits as well as the implementation status of the agreed activities. The reporting also covers audit capacity and fulfilment of audit standards.

Compliance

Compliance at Nordzucker means adherence to applicable laws and other binding rules and regulations (such as legal ordinances, administrative acts and judgements), and adherence to binding internal rules and respect for our corporate values. To safeguard compliance, Nordzucker has a Group-wide compliance management system (CMS) that is based on the requirements of the PS 980 auditing standard of the IDW (Institute of Public Auditors in Germany) and is continually developed. In doing so, Nordzucker ensures that organisational requirements and measures are implemented that avoid systematic and individual misconduct in the company and avoid or mitigate compliance risks for Nordzucker. By regularly identifying, analysing and measuring compliance risks, Nordzucker also ensures the risk-based development of the CMS.

The central pillar of the CMS is the compliance-related organisational structure and process organisation, which ensures transparent, Group-wide compliance reporting by the subsidiaries to the Executive Board and Supervisory Board of Nordzucker AG. In addition to local Compliance Coordinators in the subsidiaries, who are responsible for implementation of the CMS in the respective subsidiary, the central Compliance Coordinator is responsible for coordinating the ongoing

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development of the CMS as a whole. As such, the Compliance Coordinator continually reports to the member of the Executive Board responsible for Compliance Coordination, at least twice a year, as well as directly to the Executive Board on an ad-hoc basis, and once a year to the Audit and Finance Committee. There are also compliance experts for specific compliance risk areas, as well as a Compliance Committee as an exchange platform for topics relevant to compliance.

Risks and opportunities resulting from the sales market

Risks resulting from the health discussion about sugar

Sugar is part of a balanced diet. Sugar is in some cases presented in the public debate as a cause of being overweight, obese and, as a consequence, of diseases such as diabetes and caries. The critical discussion about sugar continues outside Europe as well.

In January 2024, the German Federal Ministry of Food, Agriculture and Consumer Protection (BMEL) published a nutrition strategy to create the framework for a healthy, more plant-based and sustainable diet in everyday life. One of the points is the development of the National Reduction and Innovation Strategy for Sugar, Fats and Salt in Processed Foods. Academic studies show that reducing sugar consumption does not necessarily lead to people losing weight. Being overweight has many causes. Consequently, focusing on individual ingredients such as sugar distracts from the bigger picture. Ultimately, whether or not a person becomes overweight is all about the balance between calorie intake and calorie expenditure, and about how aware individuals are of their own calorie intake.

To bring more clarity to the debate, Nordzucker works continuously at national and EU level, as well as through the activities of industry associations, to provide information about the effect of sugar in food and about the links between sugar and a balanced diet as part of a healthy lifestyle.

Opportunities resulting from the demand for sugar

Population growth and greater prosperity, particularly in the emerging markets, are behind a long-term global trend towards higher sugar consumption. This increase in demand will support the long-term sugar price trend. Sugar consumption is expected to pick up in Asia, Africa and Latin America in particular. Worldwide, the growth rate is expected to be around one per cent per year. This growth trend is also making investments in sugar outside Europe attractive. The Group's involvement with the Australian sugar producer MSL provides it with a substantial share of the Australian market as well as access to the Asian market.

Risks resulting from the demand for sugar

The demand for sugar on the European market may decline in the future. In addition to an expected slight decline in the European population, some reasons for this include the growing awareness for the potential negative impact of excessive sugar consumption, dietary trends towards healthier snacks and fewer softdrinks, sugar reduction targets among sugar customers, and demographic change, which is leading to lower food consumption.

Opportunities resulting from digitalisation

The projects from Nordzucker's Digital Roadmap 2027 were continued or launched.

The production start-up for the procurement and production planning in the logistics network is of note here, along with the launch of the purchasing catalogue and the upcoming expansion of digital purchasing, taking into account the German Supply Chain Due Diligence Act (LkSG). In the CropConnect project, all relevant reports have been implemented for the growers, with nearly 10,000 farmers already having access to the system. The aim is to use this platform to provide the growers with key information quickly and efficiently, such as regarding beet contracts, individual beet invoices and logistics information. Furthermore, the integrated animal feed and seed purchasing portal can be used to place orders. Generally speaking, this provides growers with a self-service system that will also help to lower the administrative burden on Nordzucker in the future.

The measure to launch an integrated dashboard has begun in a bid to optimise the company's reporting.

Due to the expiry of the SAP maintenance contracts, the ERP system for the Australian company MSL will be replaced by the Group platform S/4Hana.

Initial areas of application for AI are already in use or in the development phase.

Risks resulting from the political situation in the EU

The world market has an impact on developments in the EU sugar market. The situation on the international sugar market means that exports from the EU are not economically attractive at a low price level, while a high price level in the EU makes additional imports attractive. Prices in the EU are strongly affected by the level of volatility on the world market. Low-price periods therefore represent a risk in relation to Nordzucker's profitability.

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Unlike the European Union, at an international level the major sugar-producing countries such as India and Brazil subsidise their sugar production industries. But conditions within the EU also continue to vary. Some member states make use of the option to provide their growers with payments tied to the cultivation of sugar beet within the scope of the Common Agricultural Policy (CAP). Beet cultivation is supported in this way by eleven member states in total. This naturally places the beet growers in those countries which do not provide beet cultivation-related payments at a disadvantage.

Risks resulting from the EU's free trade agreements

Free trade agreements continue to be of major significance to the European Union. Trade agreements signed in recent years with Moldova, Georgia, Japan, Singapore, Vietnam, Colombia, Peru, Panama, Ecuador, South Africa, Canada, and the states of Central America provide for annual duty-free sugar imports of over 520,000 tonnes. The existing agreement with Ukraine for duty-free sugar imports of 20,070 tonnes has been suspended as part of the temporary trade measures for imports from Ukraine in order to support the country following its invasion by Russia. As part of a package of temporary trade measures, the EU accorded Ukraine a duty-free import quota of 263,000 tonnes in the period from 6 June to 31 December 2024. Between 1 January and 5 June 2025, Ukraine has a duty-free import quota of 110,000 tonnes. The EU does not intend to pass any new temporary trade measures; rather, it wants to revise the existing, but currently suspended agreement, to regulate future import quotas. Establishing specific import quantities for Ukraine remains subject to future developments.

There are also unrestricted import opportunities for the ACP countries (Africa, Caribbean, Pacific) and the LDC (Least Developed Countries). Additional import quotas of more than 900,000 tonnes are available from agreements with the Western Balkans or World Trade Organisation (WTO) concessions (CXL concession). The trade and cooperation agreement concluded between the EU and the United Kingdom due to Brexit provides for the tariff- and quota-free import of sugar from the United Kingdom, subject to strict rules of origin. Trade agreements including further sugar import quotas for the benefit of Mexico (30,500 tonnes) and the Mercosur countries have already been negotiated. However, these agreements have not yet come into effect. The potential imports at a customs rate of EUR 0 per tonne would be distributed between 10,000 tonnes for Paraguay and a further 180,000 tonnes for Brazil. The latter would be included in the existing CXL quantities for Brazil and would be reduced to a customs rate of EUR 0 per tonne via trade agreement.

Negotiations are underway with further countries such as Australia, India, Indonesia, Malaysia, Morocco, Thailand and Tunisia. The negotiations via a transatlantic free trade agreement with the USA are currently frozen, as are the negotiations with the Philippines and the Gulf states.

In terms of international trade agreements, the EU is concerned with establishing market access for European producers while also protecting the domestic sugar market against subsidised sugar. Strict rules of origin for sugar in future agreements and the preservation of EU import duties for the sugar sector are thus of key significance. Reducing EU protection against imports without taking the special interests of the sugar industry into account would make competition in the EU even more intense, due to a possible increase in import volumes. Import duties protect the European sugar industry against imports in excess

of those volumes that enter the European market under the above-mentioned bilateral trade agreements, or else at reduced rates or duty-free via preferential agreements such as with the LDC. Without EU import duties, unlimited quantities of sugar could be imported into the EU at world market prices. This would discriminate against European sugar producers, because the biggest global sugar producers and exporters subsidise the production and export of sugar directly or indirectly.

Risks resulting from procurement and production

Risks associated with securing raw materials

For growers, sugar beet competes with other arable crops. The decision whether to plant sugar beet or other crops depends to a large extent on relative price levels for different crops and on the yield that can be obtained regionally. The prices for competing crops have now stabilised at a low level. At the same time, beet prices remain high, which has improved the relative appeal of cultivating sugar beet, resulting in a very positive effect on the company's raw material stock.

Nordzucker is continuing the Smart Beet Initiative to meet the changed underlying conditions in beet cultivation. The aims are to secure cultivation in Europe and to introduce new cultivation techniques. This project also incorporates current developments that are resulting from changes in agricultural policy and the approval situation for pesticides. Information is continuously compiled on projects and experimental approaches, with the aim of examining how sugar beet can be grown in the changing environment. To enable this, Nordzucker monitors the approval situation for pesticides and other risks to sugar beet cultivation, e.g. the occurrence of diseases that are slowly spreading primarily in the catchment area of the Klein Wanzleben plant, as well

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as in eastern Lower Saxony and in Slovakia, such as SBR (Syndrome Basses Richesses) and rubbery taproot disease caused by stolbur. Over the medium and long term, a package of a variety of measures to combat the spread of these diseases will be required. Currently, the most effective countermeasure is a large-scale change in the crop rotation (no longer growing winter cereals after sugar beet). This measure presents an enormous challenge, however, both from an organisational and a financial point of view. For effective changes to the crop rotation, the political framework will also need to be revised – such as the standard for the good agricultural and environmental condition of the soil as per GAEC 6. Nordzucker is taking an active role in trying to bring about a change in the framework via the trade association Wirtschaftliche Vereinigung Zucker. More resistant beet varieties, adapted farming systems and biological pest control approaches may help to solve the SBR/stolbur problem. To provide additional support, the company focuses on more intensive advice to growers regarding both production technology in cultivation and on continuing its development of digital solutions for cultivation advice. With regard to the projects and experiments as part of the Smart Beet Initiative, the focus is how they relate to what happens in practice. Particular emphasis is placed on ensuring that the growers can quickly put the results into practice in their sugar beet cultivation.

Nordzucker signs supply contracts with the beet growers well in advance in order to secure the necessary volumes. Various contract models were offered to beet growers in all countries for 2025/2026. These have varying contractual terms; there are fixed-price models as well as models with prices linked to sugar prices/EBIT. In Denmark, supply contracts were concluded with growers for a small quantity of beet, which include beet prices linked to the market price for raw sugar.

In Australia, sugar cane is purchased on the basis of rolling cultivation contracts. Unlike sugar beet, sugar cane is not newly cultivated annually based on a planting decision but over a cycle of five to eight years. There are two key risks with regard to the availability of raw material. Poor weather conditions in the short term (mainly drought or cyclones) may result in reduced yields, and the amount of land under cultivation may decline in the long term when farms are used for other purposes (e.g. cattle husbandry). There is also a risk that growers will move to competitors in neighbouring cultivation areas.

Risks resulting from energy prices

The heat and electricity needed for sugar production are generated in the company's own power plants. This requires procurement of primary energy in the form of natural gas, coal or fuel oil. These raw materials are traded on stock exchanges and are subject to high price volatility. A year-on-year decrease in energy prices was observed in the 2024/2025 financial year. The energy supply was safeguarded early on through numerous hedging transactions and the conclusion of fixed-price contracts for the European plants. This helped to mitigate the risk of price changes and potential energy supply bottlenecks from coal products and natural gas. Oil was not used in large quantities. The last significant use of hard coal was in the last financial year. In future, more natural gas and biomethane will be used.

Risks resulting from the supplier portfolio

The ongoing war in Ukraine and the impact of the conflict in the Middle East also impacted procurement processes to a certain degree in the 2024/2025 financial year.

Decreasing energy prices also had a knock-on effect on the chemicals industry and thus on the majority of the processing aids used by Nordzucker. During this campaign, there were no shortages or supply bottlenecks for processing aids.

Weather and soil conditions only led to a drop in sugar beet quality in the last weeks of the campaign. As a result, demand for enzymes was lower than in the previous two years, which had already been met before the start of the campaign.

There were once again rises in freight costs in the logistics segment with forwarders increasing their freight costs due to the rise in the CO₂ price and the minimum wage in Germany. These price adjustments were passed on to Nordzucker.

In terms of the procurement of investment goods, delivery times for equipment involved in energy efficiency upgrades continue to be long due to the high demand in this area, which also led to cost increases. The lack of skilled employees and the increase in wages for tradespeople are also challenging for Nordzucker.

To ensure that Nordzucker is nonetheless able to secure low-cost access to key materials as required, cooperation has been intensified with the specialist departments to allow for the optimisation of the procurement process, which has reduced the procurement risk. One strategic objective of procurement is to diversify sources of supply. The goal is to procure critical goods and services from several different suppliers.

Another objective of procurement is to monitor the sustainability of suppliers. By continuously analysing risks and close collaboration as part of the Supplier Sustainability Engagement Programme, Nordzucker is supporting improved sustainability practices in production and along supply chains. This has also been helping the company to implement the German Supply Chain Due Diligence Act since 1 January 2024.

Risks resulting from more challenging conditions in production

The objective of campaign operations is to ensure a continuously high level of beet processing in the plants that is as consistent as possible.

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The current 2024/2025 campaign was characterised by exceptionally high beet volumes with below-average sugar content during the campaign. The resulting water volume posed a challenge for the plants. Processing was very high and stable. All beet was processed thanks to the favourable weather conditions.

At the start of the organic campaign in early September, the extraction tower in Schladen suffered damage. The repairs took five weeks and the organic campaign was ended. The downtime was offset by redistributing the beet to the other four sites and thanks to the exceptional processing performance of the four German sites.

The company will continue to focus on the issue of a sustainable energy supply at competitive prices, this being an important component of the sustainability strategy. One solution on the path to becoming CO₂ neutral by 2050 at the latest could be biogas obtained from pressed pulp of sugar beet processing. To do this, compliance with the national targets of the European Renewable Energy Directive (RED) is required.

Environmental risks

Sustainable production is an integral part of Nordzucker’s corporate strategy. The value chain is designed so that all delivered materials can be converted into usable products, without the need for waste disposal. Beet is converted into sugar, pressed pulp, dried pulp pellets and molasses; limestone and non-sugar substances are turned into carbolime; soil is returned to the field; and stones are used for road construction. Nonetheless, environment impacts including airborne emissions (odours, noise, dust) cannot be entirely avoided during sugar production. The accumulation of technical waste (such as lubricants) and waste water is also unavoidable. Risks arise from potentially exceeded limits, complaints from residents, or new statutory regulations.

Nordzucker gives high priority to limiting detrimental environmental effects to the extent possible. Investments in the avoidance of noise and odours are a part of capital expenditure every year. In recent years, key areas of focus have included the minimisation of noise pollution through improved noise abatement and the reduction of dust emissions through new filters. All Nordzucker plants are audited regularly in accordance with applicable national and international legislation and standards to verify the results of these activities. This includes certification in line with the EU Environmental Audit Regulation (EC) 1221/2009 (EMAS III), the DIN EN ISO 14001 environmental management system, and the DIN EN ISO 50001 energy management system.

Risks resulting from additional costs for carbon certificates

Within the scope of the European emissions trading system, every year Nordzucker requires certificates to cover the annual CO₂ emissions it uses to generate energy. In case of a shortfall, the missing certificates must be purchased. The European Green Deal aims to achieve greenhouse gas neutrality by 2050 at the latest. A 65 per cent cut in greenhouse gas emissions in the European Union by 2030 was agreed as an interim target. The leaders of the EU member states reached agreement on this target in December 2019. Nordzucker is also committed to reducing absolute greenhouse gas emissions from its own production facilities (Scope 1) and from purchased energy (Scope 2) by 50.4 per cent by 2030 compared with the base year of 2018 through its membership of the Science Based Targets initiative (SBTi). Nordzucker is supporting these goals by investing in energy efficiency as well as optimising its operations. This continuous reduction will not only bring down the number of carbon certificates that must be purchased and the associated cost, but also make Nordzucker’s business more sustainable.

Risks resulting from product safety

As a food and animal feed producer, Nordzucker is responsible for the quality and safety of its products. For food and animal feed production, we ensure that product safety risks are detected and minimised in line with the current state of the art. To do this, all production plants have a Hazard Analysis and Critical Control Points (HACCP) concept, which is continually refined.

Internal and external audits regularly review compliance with quality requirements.

Repeat certification audits for product safety serve to review and develop the management system for food and animal feed safety. All of Nordzucker’s locations are certified to the independent Foundation for Food Safety System Certification’s production safety standard (FSSC 22000), which is recognised by the Global Food Safety Initiative (GFSI). GFSI-recognised certification is a prerequisite for being recognised as a supplier by the food industry.

Some sites, either regionally or specifically to a product group, are audited or certified according to further legal regulations or standards concerning food and feed safety: IFS Food (International Featured Standards), GMP+ (Good Manufacturing Practice) standard for animal feed production and Regulation (EU) 2018/848 on organic/biological production and labelling of organic products.

Many of the company’s customers in the food industry and food trade are very interested in ensuring that the products they purchase are produced according to sustainability principles. This is independently verified at the production sites by Sedex Members Ethical Audits (SMETA).

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Additional audits are conducted depending on the location or product group, and, if necessary, certified in accordance with the ISO 45001 standard for occupational health and safety management systems and the ISO 50001 standard for energy management systems, the Fairtrade standard and the German Biofuel Sustainability Ordinance (Biokraft-NachV — the implementation of Directive 2009/28/EC on the promotion of the use of energy from renewable sources).

Legal risks

The companies of the Nordzucker Group are subject to various statutory and regulatory requirements which affect its business activities and processes. Changes to these rules may necessitate adjustments to its operating activities and result in a significant increase in production costs.

The key regulatory risks relate to food and animal feed law, occupational health and safety regulations and environmental law. There are additional risks from tax regulations, employment law, the General Data Protection Regulation and the field of IT security. Proceedings due to violations of the law could result in fines and penalties, or even civil liability and damage to the company's image. These risks also exist for violations of competition and anti-trust law, corruption, theft and fraud. There is also a pecuniary risk in the event that the Nordzucker Group falls victim to a criminal offence.

Nordzucker faces various legal disputes and proceedings and may possibly do so in future. These could cause Nordzucker to be required to pay compensation or to settle other claims. The legal actions associated with the German sugar cartel in the period from 1996 to 2009 should be noted here. While Nordzucker assumes that the nature of the agreements was not sufficient to have an effect on the market, a court could find that Nordzucker is required to pay compensation.

Risks resulting from information technology

Once again, the global IT security situation was far from relaxed in the 2024/2025 financial year. A total of over 900,000 spam emails were detected at Nordzucker during the financial year, with around 2,200 emails infected with malware. All malicious emails were quickly detected, terminated and purged from our system. The system effectively prevented any of these emails from being sent to individual computers. During the reporting period, there were no viruses detected on servers or end devices.

Firewalls detect various daily attacks that are external in origin and which the company's systems reliably defend against. Employees' attention to and awareness of attempted attacks by email or phone remains high thanks to the unchanged and continuously running awareness campaign.

To increase resilience, the company actively invested in its IT security infrastructure. The use of multi-factor authentication (MFA) was also established on additional systems. Projects to modernise remote access infrastructure and the central analysis of log files (SIEM) were also launched.

An assessment was carried out in preparation for the EU's NIS2 (Network and Information Systems) Directive. The results are currently being analysed and corresponding measures will be derived. In order to ensure nationwide standardisation, the operation of the information security management system (ISMS) will be based on the ISO 27001 standard in future.

The mandatory audit for companies providing critical infrastructure (KRITIS) was completed successfully. The results were reported to the German Federal Office for Information Security (BSI). Measures to mitigate the few findings were defined.

Active participation in committees (e.g. sector working group of the food industry) was also continued through participation in the revision of the B3S (industry-specific security standard) required by the BSI.

Mutually limited access to the network was set up in connection with the newly launched SAP S/4 integration project at MSL. Potential risks associated with opening up the network are mitigated with suitable firewall settings and support with IT security tasks at MSL.

Financial risks

Financial risks relate to currency, raw materials and interest rate risks and liquidity risk. Risk exposure may also arise from the investment strategy and the availability of loan finance.

Risks resulting from defaults

Receivables from customers or other contractual parties may become unrecoverable. This default risk has been aggravated by the strong volatility of raw material prices and the resulting economic fluctuations in particular. To limit this risk, on the basis of standard guidelines Nordzucker establishes a customer's credit standing before signing a contract and generally takes out commercial credit insurance.

Currency, raw materials and interest rate risks

The volatility of exchange rates, raw materials and interest rates give rise to operating risks, the hedging of which is the responsibility of the individual functional units and of the Corporate Finance department.

To limit these risks, they are analysed thoroughly before contracts are signed. If Nordzucker has to assume risks, standard financial instruments are used where necessary so that they can be contained as much as possible. Financial derivatives such as forward contracts, swaps and futures are used to hedge the Group's open risk positions.

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This exposes the Nordzucker Group to a normal measure of counterparty risk, in the sense that a partner to a contract may not fulfil their obligations. To minimise this counterparty risk, financial derivatives are either transacted directly via the stock exchange and/or only with first-class international financial institutions, whose economic performance is monitored regularly, partly by analysing the financial ratings issued by international rating agencies. Dependence on individual institutions is also limited by spreading transactions over various counterparties.

All the financial derivatives used serve solely to hedge operating sales and procurement transactions and to hedge exchange rates for financial transactions.

The margins required for exchange-traded derivatives are also held exclusively on separate margin accounts with first-class international financial institutions.

As of 28 February 2025, the Nordzucker Group had exchange rate derivatives with a notional net volume of EUR 1,441.8 (1,799.6) million. At the end of the financial year, hedging transactions with a notional net volume of EUR 508.2 (454.6) million had been entered into for derivatives to hedge against price movements of commodities, for interest rate derivatives and for emissions certificates (carbon certificates).

These existing hedges match the maturity profile of the hedged transactions.

Liquidity risks

The seasonality of the Nordzucker Group's business means that its capital requirements vary widely over the course of a financial year. The size of the harvest and developments in market prices also have a considerable effect on the company's cash requirements. If the company cannot meet these requirements from free cash flow or existing

credit lines, a situation may arise in which its continued existence is at risk. This is why the finance function regularly draws up liquidity forecasts for the Group, on the basis of which the financing strategies are then prepared and implemented.

Risks resulting from the supply of credit

Nordzucker has a syndicated loan which expires in December 2028. All the syndicate banks have good credit ratings and are very dependable. In the opinion of the company management, the medium-term syndicated loan to finance its operating business, together with its available liquidity and other credit lines, covers the company's capital needs. From a current perspective, its cash reserves and unused lines of credit enable Nordzucker to meet its payment obligations at all times.

Separate loan agreements were arranged to finance the planned investment programme and current operations at MSL. The term for loans covering non-current obligations is appropriate.

The guarantees needed for current operations can also be provided at any time as needed by means of the syndicated loan and bilateral lines of credit. The Group is not directly dependent on individual lenders.

Risks resulting from financial investments

Risky financial investments or the default of a bank may result in the loss of financial assets. Nordzucker has a conservative investment policy for financial investments. The Group's free liquidity is largely invested in money-market products of European financial institutions that have been selected based on a credit rating classification. However, in general, all investment amounts are spread in terms of the maturities, investment forms and issuers in order to prevent cluster

risks. For balances with banks, the funds must, where possible, be covered by the applicable deposit insurance mechanisms, despite changes in the EU legal situation. In spite of these extensive measures, invested funds could suffer value losses or be unavailable in the short term in the event of another financial crisis.

Overall picture for risks and opportunities

The high price volatility and tight availability on the commodity and procurement markets have a direct impact on Nordzucker's risk potential. The risk management measures introduced are consistently reviewed and continuously adapted to the changed market and geopolitical situation.

At the same time, there are also significant opportunities for Nordzucker. Sugar is a product in high demand across the globe. Its consumption will continue to increase in the future as the world population grows and prosperity levels rise. Attractive investment opportunities outside of Europe may thus arise. For instance, the company's equity investment in the cane sugar producer MSL will provide access to the Australian and Asia markets. In Europe, Nordzucker already has attractive sales markets thanks to its strong market presence. Through continual work with growers and external partners, the company is actively addressing the challenges posed by increasingly stringent environmental legislation in the field and implements projects that take up these challenges. The company is preparing extensively for future challenges by means of the excellence initiatives which it has launched in the areas of production, the supply chain, agriculture, sales, digitalisation and sustainability.

Based on the overall picture of the risks and opportunities described above and Nordzucker's medium-term plan, there are currently no risks that jeopardise the company's continued existence. This applies both to individual identified risks and to the interaction of diverse risks.

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Outlook

The decreasing sugar price, which made itself felt in the contracts concluded in the EU from October 2024, showed that the current downward trend in sugar prices on the relevant stock exchanges (New York no. 11 and London no. 5) coupled with continued high production costs have a significantly negative impact on the consolidated income expected in the new 2025/2026 financial year.

Due to the reduction in the amount of acreage available for cultivating sugar beet in Europe, which will lead to a reduction in the processing volume for the 2025/2026 campaign, prices can be expected to recover only at the start of the next sugar marketing year from October 2025.

Nordzucker expects world market prices for sugar to remain adequate in the current 2025/2026 year as a whole, depending on the harvests in Brazil, India and Thailand. The global fundamental production and consumption outlook remains positive for the medium term.

In Australia, where world sugar prices more directly impact business, earnings for 2025/2026 are expected to remain stable at the level of the previous year.

Existing hedges in both markets – Europe and Australia – also help to stabilise the business.

Based on the aforementioned premises and the present estimation of open sales and reference volumes that are not currently fixed, we expect a negative EBIT for the 2025/2026 financial year. The company’s budget assumes that this negative EBIT will range in the lower tens of millions. As a result, the EBIT margin and RoCE are also expected to be negative and thus are significantly outside the target range of four to six per cent.

Owing to the recent tentative recovery in sales price and cost trends, the company also sees scope for improvement compared to the current planning. The recovery in the earnings position that is expected to result from higher prices will, however, take hold only with the start of the new sugar marketing year on 1 October 2025 and the positive effects from the implementation of the excellence measures will not fully offset the negative earnings trend, particularly in the first half of the 2025/2026 financial year.

The company continues to consistently implement measures for the adjustment of its cost structure and is expanding them by intensifying existing and new excellence initiatives in purchasing, sales, production and with the expansion of digitalisation. In addition, further long-term efficiency-boosting measures will be initiated throughout the value chain. The positive effects of the excellence initiatives will significantly contribute to the company’s earnings and strengthen Nordzucker’s competitiveness in the long term. Significant cost savings are also expected in administrative and sales costs in the 2025/2026 financial year.

Free cash flow will decline as a result of the negative earnings trend and the high working capital resulting from continually high sugar stocks from the 2024/2025 campaign in Europe. On the financing side, this will lead to the company utilising the existing financing line from the syndicated loan and thus to higher debt than in the current financial year. However, the financial position of the Nordzucker Group remains stable and the liquidity of the company secured.

In addition to the optimisation measures in the core business in Europe and for MSL, the company is currently intensively reviewing options within the growth and diversification strategy in the Business Unit Cane. It is also working on the new market entry strategy for alternative proteins.

Due to the strengthening the competitiveness of its existing business in Europe and Australia, Nordzucker will continue to be a strong supplier of sugar and animal feed. As part of its growth and diversification strategy, Nordzucker will leverage on growth opportunities its markets and continually evolve as a food supplier in the sugar market outside of Europe, as well as in the market for alternative proteins.

Braunschweig, 12 May 2025

The Executive Board

Dr Lars Gorissen Alexander Bott Alexander Godow

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Consolidated income statement

for the period from 1 March 2024 to 28 February 2025 for Nordzucker AG, Braunschweig

in EUR thousands	Further details in Note	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Revenues	8	2,769,767	2,922,488
Production costs	9	– 2,271,171	– 2,146,571
Gross profit on sales revenues		498,596	775,917
Sales costs	10	– 262,832	– 237,844
Administrative expenses	11	– 100,851	– 93,748
Other income	12	81,665	76,384
Other expenses	13	– 116,121	– 99,747
Operating result (EBIT)		100,457	420,962
Financial income	14	9,111	8,876
Financial expenses	15	– 21,507	– 20,336
Result from companies accounted for using the equity method	24	11,182	9,961
Net financial result		– 1,214	– 1,499
Earnings before taxes		99,243	419,463
Income taxes	16	– 14,781	– 93,719
Consolidated net income		84,461	325,744
of which attributable to non-controlling interests		4,708	16,544
of which attributable to shareholders of the parent company		79,753	309,200

Consolidated statement of comprehensive income

for the period from 1 March 2024 to 28 February 2025 for Nordzucker AG, Braunschweig

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Consolidated net income	84,461	325,744
Items that will not be reclassified to the income statement in future		
Remeasurement of equity investments	9,026	0
Result from the remeasurement of pensions	– 3,068	– 7,782
Remeasurement of defined benefit plans	– 4,517	– 10,919
Deferred taxes on items of other comprehensive income not reclassified to the income statement	1,449	3,137
Items that will be reclassified to the income statement in future		
Result from exchange differences on translating foreign operations	6,859	6,302
Result from market valuation of hedging instruments (cash flow hedge) after deferred taxes	53,048	– 22,882
Change not recognised in profit or loss	58,578	– 150,567
Change recognised in profit or loss	8,532	119,287
Deferred taxes	– 14,062	8,398
Other comprehensive income	65,865	– 24,362
Consolidated comprehensive income after taxes	150,326	301,382
of which attributable to non-controlling interests	8,909	13,979
of which attributable to shareholders of the parent company	141,417	287,403

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Consolidated cash flow statement

for the period from 1 March 2024 to 28 February 2025 for Nordzucker AG, Braunschweig

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Earnings before taxes	99,243	419,463
Interest and similar income/expenses	16,117	14,776
Depreciation, amortisation and impairment/reversals of impairment of non-current assets	116,023	82,157
Change in provisions	11,535	– 4,144
Change in inventories	– 165,258	– 173,090
Change in trade receivables	88,283	– 75,888
Change in trade payables	– 3,833	133,074
Change in other operating assets/liabilities	5,061	– 29,090
Gains/losses on the disposal of non-current assets	1,896	1,052
Other non-cash expenses/income	77,289	– 4,307
Interest received in the financial year	5,374	5,380
Interest paid in the financial year	– 14,655	– 13,404
Result from companies accounted for using the equity method	– 9,323	– 9,961
Taxes paid in the financial year	– 58,579	– 38,816
Cash flow from operating activities	169,172	307,202
Proceeds from the disposal of property, plant and equipment	3,032	1,090
Payments for investments in property, plant and equipment	– 190,380	– 173,866
Proceeds from the disposal of intangible assets	12	32
Payments for investments in intangible assets	– 5,208	– 5,936
Proceeds from investments in financial assets	0	– 1,998
Dividends received from equity investments	20,509	0
Cash flow from investing activities	– 172,035	– 180,678

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Payments to shareholders (dividends)	– 99,357	– 59,267
Borrowing of loans	110,257	0
Loan repayments	0	– 60,764
Repayments of financial liabilities	0	– 822
Payments from finance leases	– 7,494	– 5,890
Cash flow from financing activities	3,406	– 126,743
Changes in cash and cash equivalents	543	– 219
Cash and cash equivalents at the beginning of the period	43,075	43,779
Changes in cash and cash equivalents due to exchange rates	173	– 485
Cash and cash equivalents at the end of the period	43,791	43,075

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Consolidated balance sheet

as of 28 February 2025 for Nordzucker AG, Braunschweig

Assets in EUR thousands	Further details in Note	28/2/2025	29/2/2024
Non-current assets			
Intangible assets	20	23,064	21,037
Property, plant and equipment	21	1,222,038	1,153,763
Investment property	23	8,881	10,376
Shares in companies accounted for using the equity method	24	76,508	82,712
Other financial investments	25	54,377	44,796
Financial assets	29	7,640	292
Other assets	30	606	922
Deferred taxes	16	23,669	5,129
		1,416,783	1,319,027
Current assets			
Inventories	26	1,372,593	1,273,071
Trade receivables from third parties	27	295,877	382,916
Receivables from related parties	28	2,667	660
Current income tax receivables	16	17,583	6,743
Financial assets	29	59,276	60,448
Other assets	30	151,834	147,232
Cash and cash equivalents	40	43,791	43,075
		1,943,621	1,914,145
		3,360,404	3,233,172

Equity and liabilities in EUR thousands	Further details in Note	28/2/2025	29/2/2024
Equity	31		
Subscribed capital	31.1	123,651	123,651
Capital reserves	31.2	127,035	127,035
Retained earnings	31.3	1,567,271	1,583,285
Other comprehensive income	31.4	-31,847	-93,511
Non-controlling interests	31.5	77,808	71,894
		1,863,918	1,812,354
Non-current liabilities			
Provisions for pensions and similar obligations	32	181,964	181,580
Other provisions	33	86,381	87,986
Financial liabilities	34	85,353	89,695
Liabilities towards related parties	36	5,313	5,443
Other financial liabilities	37	9,551	29,456
Other liabilities	38	3,223	3,443
Deferred taxes	16	117,427	99,551
		489,212	497,154
Current liabilities			
Provisions for pensions and similar obligations	32	17,284	12,282
Other provisions	33	77,484	58,173
Financial liabilities	34	213,163	96,523
Current income tax liabilities	16	11,212	30,656
Trade payables from third parties	35	569,719	572,454
Liabilities towards related parties	36	42,464	34,141
Other financial liabilities	37	36,632	74,321
Other liabilities	38	39,316	45,114
		1,007,274	923,664
		3,360,404	3,233,172

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Consolidated statement of changes in equity

as of 28 February 2025 for Nordzucker AG, Braunschweig

in EUR thousands	Subscribed capital	Capital reserves	Retained earnings	Other equity items				Equity attributable to shareholders of the parent company	Non-controlling interests	Total equity
				Currency translation	Remeasurement of pensions	Market valuation of hedging instruments (cash flow hedge)	Market valuation of financial investments			
As of 1/3/2023	123,651	127,035	1,334,918	- 10,327	- 47,082	- 14,305	/	1,513,890	61,482	1,575,372
Net income	/	/	309,200	/	/	/	/	309,200	16,544	325,744
Other comprehensive income	/	/	/	8,201	- 7,745	- 22,253	/	- 21,797	- 2,565	- 24,362
Consolidated comprehensive income	/	/	309,200	8,201	- 7,745	- 22,253	/	287,403	13,979	301,382
Dividend payment	/	/	- 57,962	/	/	/	/	- 57,962	- 1,305	- 59,267
Other	/	/	- 2,871	/	/	/	/	- 2,871	- 2,262	- 5,133
As of 29/2/2024	123,651	127,035	1,583,285	- 2,126	- 54,827	- 36,558	0	1,740,460	71,894	1,812,354
As of 1/3/2024	123,651	127,035	1,583,285	- 2,126	- 54,827	- 36,558	0	1,740,460	71,894	1,812,354
Net income	/	/	79,753	/	/	/	/	79,753	4,708	84,461
Other comprehensive income	/	/	/	7,103	- 3,068	47,776	9,853	61,664	4,202	65,866
Consolidated comprehensive income	/	/	79,753	7,103	- 3,068	47,776	9,853	141,417	8,910	150,327
Dividend payment	/	/	- 96,606	/	/	/	/	- 96,606	- 2,751	- 99,357
Other	/	/	839	/	/	/	/	839	- 245	594
As of 28/2/2025	123,651	127,035	1,567,271	4,977	- 57,895	11,218	9,853	1,786,110	77,808	1,863,918

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General remarks

1. Accounting principles

The consolidated financial statements as of 28 February 2025 for Nordzucker AG (Küchenstrasse 9, 38100 Braunschweig, Germany) have been prepared pursuant to Sec. 315e HGB (German Commercial Code) in accordance with the International Financial Reporting Standards (IFRS) adopted by the International Accounting Standards Board (IASB) or the IFRS Interpretations Committee (IFRS IC) as applicable in the European Union (EU IFRS) and with supplementary provisions of German commercial law. The financial statements comply fully with EU IFRS and give a true and fair view of the net assets, financial and earnings position of Nordzucker AG and its consolidated subsidiaries, joint ventures, and associated companies (hereinafter referred to as the “Nordzucker Group” or “Group”).

As the parent company of the Group, Nordzucker AG is entered in the Commercial Register at Braunschweig Local Court (HRB 2936) in the legal form of a stock corporation (Aktiengesellschaft) under German stock corporation law. Pursuant to Article 2 of the company’s Articles of Association dated 4 July 2024, the purpose of the company is the production, distribution and trading of sugar and other products for the food industry, animal feed, bioethanol and other biofuels and similar products produced from agricultural raw materials, as well as the processing in other ways of agricultural products, in particular sugar beet, and the provision of services for the company’s purpose. The company is authorised to acquire interests in other companies and to establish branches in Germany and abroad.

Nordzucker Holding Aktiengesellschaft presents consolidated financial statements for the largest group of companies, which includes Nordzucker AG as a subsidiary. The consolidated financial statements of Nordzucker Holding Aktiengesellschaft are filed with and published in the commercial register.

The consolidated financial statements as of 28 February 2025 were prepared on 12 May 2025 and issued with an unqualified opinion by the auditor PricewaterhouseCoopers GmbH, Wirtschaftsprüfungsgesellschaft, Hannover. The review by the Audit Committee takes place on 13 May 2025 and the review and approval by the Supervisory Board takes place on 26 May 2025. The consolidated financial statements of Nordzucker AG are filed with and published in the commercial register. The annual report can be viewed on the Nordzucker AG website (www.Nordzucker.com).

The consolidated financial statements are prepared and published in Euro. All amounts are given in thousands of euros (EUR thousand) or millions of euros (EUR million). The previous year’s figures are always shown in brackets. Rounding differences may occur with percentages and numbers.

2. Consolidation and acquisitions

2.1 Principles of consolidation Subsidiaries

In addition to Nordzucker AG as the parent company, the Nordzucker consolidated financial statements also include the domestic and foreign companies that can be controlled by Nordzucker AG within the meaning of IFRS 10 (subsidiaries).

Subsidiaries are fully consolidated from the acquisition date, i. e. the date on which the Group obtains control. Consolidation ends once the parent company no longer exercises control. The financial statements of the subsidiaries are prepared for the same reporting period as the financial statements for the parent company using uniform accounting methods. Intra-Group transactions between companies in the Group are eliminated in full.

a. Joint ventures

Joint ventures are accounted for in the consolidated financial statements using the equity method. Nordzucker AG has rights to the net assets of the joint ventures and manages them with another party (joint control). In applying the equity method, the IFRS financial statements of these companies are used. Losses from joint ventures which exceed the investment carrying amount or other non-current receivables from financing these companies are not recognised unless there is an obligation to provide further capital.

b. Associated companies

Associated companies are also accounted for in the consolidated financial statements using the equity method. Nordzucker AG has a significant influence on associated companies, i.e. it can contribute to shaping the company’s financial and operating policies but does not have control or joint control of decision-making processes.

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2.2 Group of consolidated companies

The consolidated companies in the Nordzucker Group are as follows:

Group of consolidated companies

	28/2/2025	29/2/2024
Fully consolidated subsidiaries		
Domestic	6	5
Foreign	17	15
Companies accounted for using the equity method		
Domestic	3	3
Foreign	4	4

The list of shareholdings can be found at the end of these Notes. In Germany, the newly established company is a holding company called Nordzucker Captive GmbH. The foreign companies relate to a new holding company established in Brazil and another new company established with its registered office in Malta.

The reporting date for all fully consolidated subsidiaries included in the consolidated financial statements is 28 February 2025. Six companies accounted for using the equity method have a reporting date of 31 December 2024. One company accounted for using the equity method prepares its financial statements for inclusion in the Nordzucker consolidated financial statements as of 28 February 2025.

2.3 Significant subsidiaries

The significant subsidiaries of the Nordzucker Group are listed in the table below:

Significant subsidiaries

	Group stake
Norddeutsche Flüssigzucker GmbH & Co. KG (Braunschweig, Germany)	100%
Nordzucker GmbH & Co. KG (Braunschweig, Germany)	100%
Nordzucker Plant Based Ingredients GmbH (Braunschweig, Germany)	100%
Nordzucker Captive GmbH (Braunschweig, Germany)	100%
Nordzucker Polska S.A. (Opalenica, Poland)	99.87%
Považský Cukor a.s. (Trenčianska Teplá, Slovakia)	96.80%
Nordic Sugar A/S (Copenhagen, Denmark)	100%
Nordic Sugar AB (Malmö, Sweden)	100%
AB Nordic Sugar Kėdainiai (Kėdainiai, Lithuania)	77.02%
UAB Nordzucker Business Services (Kaunas, Lithuania)	100%
Sucros Oy (Säkylä, Finland)	80%
Suomen Sokeri Oy (Kantvik, Finland)	80%
Nordzucker Ireland Limited (Dublin, Ireland)	100%
Mackay Sugar Limited (Mackay, Australia)	70.94%

The following business partnerships structured as limited partnerships (GmbH & Co. KG) and the following corporations structured as limited liability companies (GmbH)

- Nordzucker GmbH & Co. KG, Braunschweig
- Norddeutsche Flüssigzucker GmbH & Co. KG, Braunschweig
- Norddeutsche Flüssigzucker Verwaltungs-GmbH, Braunschweig
- Nordzucker Plant Based Ingredients GmbH, Braunschweig

are exempt from the respective obligations in accordance with the regulations applicable to corporations pursuant to Sec. 264 paragraph 3 and Sec. 264b HGB (German Commercial Code).

2.4 Conversion of financial statements in foreign currencies

Assets and liabilities of subsidiaries whose functional currency is not the Euro are converted at the closing rate. The functional currency is the currency of the primary economic environment in which the subsidiary operates. Items in the income statement are converted at the weighted average rate for the relevant reporting period. Equity components of subsidiaries are converted at the historical rate for the date first recognised. Exchange differences arising from the conversion are recognised without effect on profit or loss in other comprehensive income (i.e. in the statement of comprehensive income and not in the income statement).

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The rates for the conversion of key financial statements in foreign currencies into Euros have changed as follows:

Exchange rates of foreign currencies

	Average rate		Closing rate	
	2024/2025	2023/2024	28/2/2025	29/2/2024
for EUR 1				
Polish Zloty (PLN)	4.28350	4.48004	4.15030	4.32080
Danish Krone (DKK)	7.45958	7.45338	7.45830	7.45400
Swedish Krona (SEK)	11.44997	11.49065	11.18800	11.21500
Australian Dollar (AUD)	1.64137	1.64459	1.67410	1.66840

3. Explanation of material accounting policies

3.1 General principles

The items in the consolidated financial statements are primarily measured at amortised cost. Derivative financial instruments and actuarial reserves for pension obligations in the form of plan assets, in particular, are recognised at fair value.

Impairment losses on receivables and contract assets are recognised using the expected loss model. The impairment model is applied to financial assets that are measured at amortised cost or at fair value with changes in value through other comprehensive income.

Individual line items of the income statement and of the balance sheet have been aggregated to improve readability. These items are listed in the Notes to the consolidated financial statements.

The income statement has been prepared using the cost-of-sales method. The revenues recognised in the reporting period are compared with the costs incurred to achieve these revenues, categorised by the functional areas of Production, Sales and Administration.

In the statement of financial position, assets and liabilities are categorised as non-current (items with maturities of more than one year) or current.

3.2 Recognition of income and expense

Revenues for goods and products with customers are recognised at the amount of the expected consideration. Revenues are presented net of deductions such as returns, discounts and rebates. Revenues are recognised when control of the products and goods has been transferred to the customer. The time at which control is transferred is generally defined by the transfer of risks and opportunities in accordance with the agreed Incoterms. The transaction prices and therefore the amount of revenues are determined by the individual selling prices, taking into

account the above-mentioned variable consideration. Customer contracts are mainly in the form of annual contracts, alongside contracts for spot sales. Some of these contracts, particularly those with major international customers, have a variable price component while the rest are concluded at fixed prices. As the majority of the Nordzucker Group's revenues are generated through simply structured sales transactions, Nordzucker is generally entitled to payment after the performance obligation has been fulfilled.

Operating expenses are recognised when the service is used or as of the date they arise.

Interest is recognised as an expense or as income in the period in which it arises. An interest expense arising in connection with the purchase or production of certain assets is only recognised if they are qualifying assets in accordance with IAS 23.

Dividends are recognised in profit or loss when the legal entitlement is vested.

3.3 Intangible assets including goodwill

This item primarily refers to acquired intangible assets, internally generated intangible assets and goodwill.

Acquired intangible assets (purchased rights and licences) are initially measured at cost (purchase price, directly attributable costs). Assets related to acquisitions (see also Note 3.16), such as contractual customer relationships, trademark rights and non-compete agreements, are recognised as separately acquired intangible assets, provided that the criteria of IFRS 3 and IAS 38 are fulfilled and measured on initial recognition at fair value.

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Internally generated intangible assets (such as internally generated software) are recognised provided that they fulfil the capitalisation criteria of IAS 38 (in particular with regard to demonstration of technical feasibility, of the intention and ability to use the asset, as well as of its reliable valuation). Production costs include the costs directly attributable to the development phase, as well as borrowing costs insofar as they can be recognised under IAS 23. Research costs are recognised as an expense.

Separately acquired and internally generated intangible assets with finite lives are subject to amortisation after initial recognition. This is done on a straight-line basis under the assumption of the following useful lives:

Intangible assets

	Useful life in years
ERP licences	20
Other software	5–10

Useful lives are reviewed regularly to ensure they are appropriate. If necessary, they are adjusted accordingly. Impairment losses are recognised on these items if there are indications that intangible assets with finite useful lives have been impaired in accordance with IAS 36, and if the recoverable amount is less than the amortised cost (see also Note 3.6). If the reasons for the impairment losses are no longer valid, relevant reversals of impairments are made.

Goodwill arises in conjunction with an acquisition (see also Note 3.16) if the total consideration transferred to the seller (purchase price and any future contingent considerations) exceeds the net amount of the identifiable assets acquired and the liabilities assumed. The positive difference between the two amounts is recognised under IFRS 3.

Separately acquired and internally generated intangible assets with indefinite useful lives, as well as goodwill, are not subject to amortisation but must be tested for impairment at least once a year in accordance with IAS 36 (see also Note 3.6). The impairment test for goodwill takes place at the level of the cash-generating unit to which the item was attributed upon initial recognition. Goodwill is assigned to the cash-generating unit that is expected to benefit from the synergies of the business combination. According to IAS 36, a cash-generating unit is the smallest identifiable group of assets with cash inflow that is largely independent of cash inflows from other assets. Within the Nordzucker Group, this is the lowest possible level at which goodwill would be monitored for internal management purposes. An impairment loss is recognised on goodwill when the recoverable amount attributed to the cash-generating unit for this item is less than the carrying amount of this cash-generating unit; goodwill must then be written down by the amount of this difference. The basis for calculating the recoverable amount is the value in use of the cash-generating unit. This is determined by means of a present-value model, taking into account cash flows that are based on internal targets. Reversals of the impairment or increases in the carrying amount of goodwill cannot be carried out later.

Gains or losses resulting from the disposal and losses from the impairment of intangible assets are presented on the income statement under “Other income” or “Other expenses”.

3.4 Property, plant and equipment

In accordance with IAS 16, property, plant and equipment is initially recognised at cost and subsequently depreciated on a straight-line basis over its expected useful life. Cost includes the purchase price,

all directly attributable costs, estimated costs for future decommissioning and restoration obligations, as well as borrowing costs insofar as they can be capitalised under IAS 23.

The following useful lives are assumed for depreciation:

Property, plant and equipment

	Useful life in years
Buildings	20 – 60
Technical plant and machinery	4 – 60
Railway tracks	70
Fleet	4 – 15
Trailers and rolling stock	25
Other operating and office equipment	3 – 25

Useful lives are reviewed regularly to ensure they are appropriate. If necessary, they are adjusted accordingly. Depreciation starts from the time at which the asset in question becomes ready for use. Production-related property, plant and equipment only used during the campaign is depreciated for the full year. If there are indications of impairment in accordance with IAS 36 and the recoverable amount is less than the amortised cost, impairment losses are recognised on these items (see also Note 3.6). If the reasons for the impairment losses are no longer valid, relevant reversals of impairments are made.

Expenses resulting from the disposal or impairment of items of property, plant and equipment or income from write-ups of items of property, plant and equipment are presented on the income statement under “Other expenses” or “Other income” respectively.

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3.5 Investment property

Property intended to be let to third parties is initially recognised at cost under IAS 40. For subsequent measurement, the Nordzucker Group consistently exercises the option of measuring investment property at cost, less depreciation and impairment losses. Depreciation takes place on a straight-line basis over useful lives of 20 to 60 years. An impairment is recognised if there are indications of impairment in accordance with IAS 36 and if the recoverable amount is less than the amortised cost (see also Note 3.6); the impairment is reversed if there is no longer any indication of impairment in subsequent periods.

3.6 Impairment of intangible assets (including goodwill), property, plant and equipment as well as investment property

Under IAS 36, impairment losses are calculated by comparing the carrying amount with the recoverable amount. This impairment test is applied at the level of individual assets, provided that it is possible to estimate the recoverable amount for the individual asset. If this is not the case, the impairment test must be applied at the level of the cash-generating unit. The cash-generating unit is the smallest possible group of assets that generate largely independent cash inflows.

The Nordzucker Group is divided into the cash-generating units (CGU) “Sugar from beet” and “Sugar from Cane”.

At the end of each reporting period, a review is conducted to assess whether there are any indications for the impairment of assets. If such an indication exists, the recoverable amount of the asset or cash-generating unit must be determined and compared with the carrying amount. Impairment testing is carried out once a year for goodwill, other intangible assets with indefinite useful lives and for intangible assets not yet available for use – regardless of whether or not indications for impairment exist.

The recoverable amount of an asset or cash-generating unit equates to the higher of fair value less costs of disposal and value in use. For cash-generating units, the recoverable amount is generally calculated using the discounted cash flow method, taking into account cash flows based on internal targets. The cash flows are discounted at a rate which reflects current market assessments of the interest effect and the specific risks of the cash-generating unit.

An impairment is applied if the recoverable amount of the asset or cash-generating unit is lower than the corresponding carrying amount. For cash-generating units, any goodwill must first be reduced or eliminated. If the carrying amount is insufficient, other assets belonging to the cash-generating unit must be reduced proportionally.

With the exception of goodwill, a review must be conducted at the end of each reporting period to assess whether there are any indications that a previously recognised impairment no longer exists or has been reduced. If this is the case, the carrying amount of the asset or cash-generating unit must be increased to its recoverable amount. Assets may not be written up in excess of the amortised carrying amount as would have been determined in the absence of any prior impairment.

3.7 Investment subsidies

Government grants representing grants for assets under IAS 20 (i.e. investment subsidies) are only recognised if there is sufficient reason to believe that a company within the Nordzucker Group is likely to fulfil the associated conditions and that the grant will be received. Subsidies are not subtracted from the corresponding asset but are considered as deferred income under “Other liabilities”. The deferred income is subsequently released to profit or loss (i.e. via the income statement) over the useful life or depreciation period of the corresponding item of property, plant and equipment.

3.8 Property, plant and equipment leases

As a lessee, the Nordzucker Group recognises all leases in the statement of financial position at their present value in the form of a right of use in relation to the leased asset and a lease liability in accordance with IFRS 16.

The present value is calculated based on the current incremental borrowing rate suitable for the term of the lease unless the interest rate on which the lease payments are based is available.

The effective interest method is used for subsequent measurement of the lease liabilities. Cash lease instalments are divided into an interest component recognised in profit or loss and a principal component recognised outside profit or loss. The lease liabilities are reported under financial liabilities, broken down by maturity.

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The right-of-use asset is depreciated on a straight-line basis over the term of the lease. The lease liability is compounded using the effective interest method and repaid by means of lease payments. The resulting interest expenses are recognised in the net financial result and the contractual lease payments are exclusively allocated to cash flow from financing activities. The right-of-use asset is subject to impairment testing in accordance with IAS 36 (Impairment of Assets).

Under IFRS 16, the accounting policies do not have to be applied to leases that have a term of less than twelve months, whose underlying asset has a low value or if the asset is an intangible asset. Taking into account economic efficiency and materiality, at the Nordzucker Group, assets are low in value if their new value does not exceed EUR 15,000. In the case of these exemptions, leases are not recognised in the Group's statement of financial position as an amortisable or depreciable right-of-use asset or lease liability. Corresponding payments are reported in cash flow from operating activities and the same amount is recognised as an expense in the operating result.

3.9 Financial instruments

Financial instruments are defined in IAS 32; the relevant accounting and disclosure principles can be found in IFRS 9 and IFRS 7. The term financial instruments covers both financial assets and financial liabilities. Financial assets include cash and cash equivalents, contractual rights to receive cash or other financial assets such as trade receivables, derivative financial instruments with positive fair value and equity instruments of another company. Financial liabilities include contractual obligations, cash and cash equivalents or other financial assets. These include, for example, borrowing, current loans, trade payables and derivative financial instruments with negative fair value.

Only financial assets are included under "Other financial investments", "Financial assets", "Trade receivables", "Receivables from related parties" and "Cash and cash equivalents". The items "Financial liabilities", "Trade payables", "Liabilities towards related parties" and "Other financial liabilities" only comprise financial liabilities.

For the initial recognition, financial instruments must be assigned to measurement categories as listed in IFRS 9. The subsequent measurement of the items is determined by the measurement category. There are three measurement categories for financial assets ("Financial assets measured at fair value through profit or loss", "Financial assets measured at fair value through other comprehensive income" and "Financial assets measured at amortised cost"). Financial assets are not reclassified after their initial recognition unless the Group changes its business model to manage the financial assets. In this case, all of the affected financial assets are reclassified on the first day of the reporting period that follows the change to the business model. Financial liabilities may be assigned to three measurement categories ("Financial liabilities measured at fair value through profit or loss", "Financial assets measured at fair value through other comprehensive income" and "Financial liabilities measured at amortised cost").

Financial assets and liabilities must be recognised as soon as a company becomes a party to the contractual provisions of the financial instrument. The Group derecognises a financial asset when its contractual right to cash flows from the financial asset expires. Within the Nordzucker Group, regular purchases and sales are recognised on the settlement date (the day on which the asset is supplied to or by the company). Initial measurement is at fair value. The principles of IFRS 13 are applied to determine fair value. For items not measured at fair value through profit or loss, transaction costs must be taken into account in the initial carrying amount.

The Nordzucker Group has not used the voluntary option of designating financial assets or financial liabilities upon initial recognition as "Financial assets/liabilities measured at fair value through profit or loss" (fair value option).

Following initial recognition, financial instruments in the measurement categories "Financial assets/liabilities measured at fair value through profit or loss" and in the measurement category "Financial assets measured at fair value through other comprehensive income" should be measured at fair value. The measurement categories "Financial assets/liabilities measured at fair value through profit or loss" also include derivative financial instruments that are not part of an effective hedging relationship in accordance with IFRS 9 (see also Note 3.14). Changes in value of the latter measurement categories are recognised in profit or loss (i.e. in the income statement). The subsequent measurement of items in the measurement category "Financial assets measured at fair value through other comprehensive income" is also at fair value. However, having considered the effects of tax, changes in fair value are recognised without effect on profit or loss in other comprehensive income (i.e. in the statement of comprehensive income and not in the income statement). In the case of equity instruments, the changes in value recognised without effect on profit or loss in this way are never transferred to the income statement.

For derivative financial instruments that are part of an effective hedging relationship (see also Note 3.14), no measurement category is assigned. The instruments are also recognised at fair value. However, value changes are also recognised without effect on profit or loss in other comprehensive income (i.e. in the statement of comprehensive income) depending on the type of hedging relationship.

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Following initial recognition at amortised cost, financial assets in the measurement category “Financial assets measured at amortised cost” and financial liabilities in the measurement category “Financial liabilities measured at amortised cost” are measured using the effective interest method.

Within the Nordzucker Group, the financial assets included under the item “Cash and cash equivalents” are assigned to the measurement category “Financial assets measured at amortised cost”. This includes bank balances, cash in hand and current balances with banks which have an initial remaining term of up to three months. Amortised cost is generally the same as the nominal value.

Borrowing instruments assigned to the measurement categories “Financial assets measured at amortised cost” and “Financial assets measured at fair value through other comprehensive income” are subject to the impairment requirements of IFRS 9. The expected credit loss for the respective item should be recognised at the end of each reporting period. The change in the expected loan loss is an impairment expense or income that must be recognised in profit or loss.

3.10 Inventories

Under IAS 2, inventories are measured at the lower of cost and net realisable value. The cost of inventories includes all costs of acquisition and production, as well as any costs incurred in transferring inventories to their current location and in their current condition. Costs are determined using weighted averages. Costs include all direct costs attributable to producing the asset as well as indirect costs attributable to production. Borrowing costs are not included in costs as the Group’s products are not qualifying assets under IAS 23.

The net realisable value is the estimated selling price in the ordinary course of business less estimated costs to completion and estimated sales costs. The net realisable value of unfinished goods and services is inferred from the net realisable value of finished goods and services less the outstanding costs of completion. Semi-finished goods from production processes are measured using their respective full cost approach. Indirect costs are allocated according to production volume and the amount of production work carried out in-house. If the recognised amounts for finished goods and merchandise are higher than the fair value as of the end of the reporting period, inventories are written down to the net realisable value. Sugar stocks from internal production presented under finished goods are recognised at cost, unless they are recognised at a lower net realisable value in view of sales opportunities. Costs include production costs, indirect costs attributable to the Production department and straight-line depreciation for wear and tear.

Write-downs recorded against inventories to reflect their net realisable value are reversed if the reasons for recognising the loss no longer exist.

3.11 Provisions for pensions

Under IAS 19, provisions must be made for pension commitments in the form of defined benefit plans where the company primarily bears the actuarial risk (that the benefits will result in higher costs than expected) and the investment risk (that the assets invested will not be sufficient to provide the benefits expected). Provisions are presented as a net liability, i.e. the capital accrued to finance the pension payments (actuarial reserves) is offset against the defined benefit obligation (reflecting the future pension payments to the employee) if the actuarial reserves show the defining characteristics of plan assets.

The defined benefit obligation is measured using actuarial methods (projected unit credit method). This method assumes that each period of service gives rise to an additional unit of benefit entitlement, as a result of which the defined benefit obligation increases successively until the employee retires. Future payouts are subject to a discount rate, which is calculated at the end of the reporting period based on market returns on high-quality corporate bonds. The method takes into account both actuarial and demographic assumptions (such as expected mortality, fluctuations, early retirement), as well as financial assumptions (such as discount rates and future salary trends).

Cost components with a bearing on pension provisions include service cost, net interest (interest expense, interest income), actuarial gains or losses and return on plan assets. In the income statement, the service cost (i.e. the increase in the present value of a defined benefit obligation arising from a service provided during the reporting period) is presented in the items “Production costs”, “Sales costs” and “Administrative expenses”, while the net interest is recorded under “Financial expenses”. Net interest is calculated by multiplying net liability by the discount rate of the defined benefit obligation. Actuarial gains or losses and the return on plan assets are recognised without effect on profit or loss in other comprehensive income (i.e. in the statement of comprehensive income and not in the income statement). Actuarial gains and losses are defined as changes in the present value of the defined benefit obligation as a result of experience adjustments (effects of variations in past actuarial assumptions and actual developments) and effects of changes in actuarial assumptions. The return on plan assets is the variation between the actual return for the plan asset and the accrued interest based on the discount rate for the defined benefit obligation.

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3.12 Other provisions

The item “Other provisions” includes personnel-related provisions for anniversaries, partial early retirement, early retirement and severance pay obligations, as well as obligations for profit-sharing, bonuses and other gratuities. Under IAS 19, these are recognised depending on the characteristics of the obligation – either according to the rules for short-term employee benefits, the rules for other (i.e. not considered as pension benefits) long-term employee benefits, or according to the rules for long-term employee benefits resulting from the termination of an employment relationship (termination benefits).

The item “Other provisions” also includes recultivation obligations and other provisions (e.g. for legal disputes or for onerous contracts or imminent losses). Under IAS 37, these kinds of provisions are recognised if a present (legal or factual) obligation has arisen as a result of a past event, which will probably result in an outflow of resources, and if the extent of the provisions can be reliably estimated. The measurement is based on the best-possible estimate of the expenses required to fulfil the obligation before the end of the reporting period. Non-current provisions must be discounted with an interest rate commensurate to the risk.

Other provisions take into account all recognisable legal and factual obligations of the Nordzucker Group towards third parties.

3.13 Deferred taxes

Under IAS 12, deferred taxes are recognised for future tax assets and liabilities resulting from temporary differences between the value of assets and liabilities for tax purposes and their carrying amount in the IFRS financial statements, and for tax loss carry-forwards. Deferred taxes are measured on the basis of the fiscal legislation enacted and announced at the end of each reporting period for the reporting periods in which the differences are expected to reverse or in which it is likely that tax loss carry-forwards will be used. Deferred tax assets for tax

loss carry-forwards are only recognised if it is sufficiently likely that they will be realised in the near future and taxable income is expected. Deferred tax assets are only offset against deferred tax liabilities if specific conditions are fulfilled.

The offsetting entry of deferred taxes is made within the income statement under the item “Income taxes” – unless the tax results from a transaction or event that is recognised directly in equity during the same period or another period either under other comprehensive income (i. e. in the statement of comprehensive income) or in any other place.

For every uncertain tax treatment, the Nordzucker Group determines whether it must be assessed separately or together with one or more other uncertain tax treatments. The Group selects the method that is most suitable for predicting a resolution to the uncertainty.

For potential risks arising from uncertain tax items, corresponding accounting provisions have been recognised in accordance with IFRIC 23. Either the most probable value or the expected value is used for the valuation, depending on which value reflects the expectation best.

3.14 Derivative financial instruments
and recognition of hedging transactions

Due to the nature of its business, the Nordzucker Group is exposed to interest rate risk, exchange rate risk, and other market risks such as sugar price risk and energy price risk in particular. Derivative financial instruments are used as a means of managing these risks.

Accounting for derivative financial instruments is governed by the principles set out in IFRS 9. Derivative financial instruments are either accounted for separately or they are part of an effective hedging relationship (“hedge accounting”). Hedge accounting means addressing hedged items and hedging instruments that are documented as being linked from a financial point of view in such a way that the compensatory effects on the income statement resulting from changes in market prices and associated with highly probable transactions occur in the same period. If a hedging relationship is designated, recognition of

gains and losses from hedged items and hedging instruments is based on special hedge accounting rules. There is a hedge accounting option for every scenario. However, the application of hedge accounting rules is tied to certain conditions. For one thing, the hedging relationship must be documented. For another, the hedging context must fulfil certain effectiveness criteria (economic relationship between the underlying transaction and the hedging instrument, no dominant effect of the default risk, hedge ratio is the same as the hedge ratio used for risk management purposes).

The value measure for the initial and subsequent measurement of derivative financial instruments is fair value. The fair value of certain derivatives may be either positive or negative; depending on this, the instruments are classified as either financial assets or financial liabilities. Fair value must be determined in accordance with the principles set out in IFRS 13. If no market prices for active markets are available, fair value is determined using the present value or option pricing models, whose significant input factors (e. g. market prices, interest rates) are derived from price quotations or other directly or indirectly observable input factors.

Stand-alone derivative financial instruments, i.e. those that are not part of an effective hedging relationship according to IFRS 9, are always assigned to the measurement categories “Financial assets/liabilities measured at fair value through profit or loss”. Value changes are recognised in the income statement under either “Other operating income” or “Other operating expenses”.

For derivative financial instruments in an effective hedging relationship, no measurement category is assigned. They are also recognised at fair value, although their recognition in profit or loss (i.e. in the income statement) or outside profit or loss under other comprehensive income (i.e. in the statement of comprehensive income) depends on the type (fair value hedge, cash flow hedge) or characteristics of the hedge.

The Nordzucker Group uses only cash flow hedges. The effective portion of the gain or loss from the hedging instrument is recognised in OCI in the cash flow hedge reserve, while the ineffective portion is recognised immediately in the income statement. The cash flow hedge

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reserve is adjusted by the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in the fair value of the hedged item. The Group uses sugar futures contracts and other OTC commodity futures contracts to hedge against the volatility of commodity prices in contracted transactions. Hedges for sugar futures contracts result in margin payments which serve as securities for these financial instruments. Such payments are categorised in the balance sheet under other assets or liabilities. These payments serve to minimise the credit risk from the open positions in the futures contracts. The ineffective portion relating to these commodity contracts is recognised as other operating income or expenses. Further details can be found in Note 42.4.

Within the Nordzucker Group, interest rate derivatives are always integrated into hedging relationships. Stand-alone derivatives are also used to hedge currency and market risks (see also Note 42.4).

3.15 Transactions and items in foreign currencies

Under IAS 21, a foreign currency transaction is a transaction that is denominated or requires settlement in a foreign currency. A foreign currency is defined as any currency other than the functional currency of the company. Foreign currency transactions are business transactions for the acquisition or sale of goods or services in a foreign currency, borrowing activity or leases in a foreign currency, or acquisitions or sales of assets or debt in a foreign currency by any other means. Foreign currency items are items on the statement of financial position that are received or borrowed in foreign currency (and which were related to foreign currency transactions before initial recognition).

Foreign currency transactions or foreign currency items are translated into the functional currency initially at the spot exchange rate valid on the day of the transaction.

Subsequent measurement of foreign currency items depends on whether they are monetary or non-monetary items. Monetary items in a foreign currency are to be translated into the functional currency at the end of each reporting period using the closing rate (i.e. the spot exchange rate at the end of the reporting period); exchange differences must generally be recognised in profit or loss (i.e. in the income statement). Non-monetary items – provided that they are measured at cost – are translated into the functional currency using the exchange rate on the day of their initial recognition. Non-monetary items measured at fair value must be translated using the exchange rate that was valid on the measurement date (i.e. generally using the closing rate). Exchange differences from non-monetary items should be treated like all other gains or losses, i.e. they are either recognised in profit or loss or outside profit or loss within other comprehensive income (i.e. in the statement of comprehensive income).

3.16 Business combinations

Business combinations are presented using the acquisition method in accordance with IFRS 3. The cost of a business combination is defined as the total consideration paid, measured at fair value as of the acquisition date and the non-controlling interests in the acquired entity. For every business combination, the acquirer measures the non-controlling interests in the acquired entity either at fair value or at their pro rata share of the identified net assets of the acquired entity. Costs incurred in the course of the business combination are recognised as expenses in the income statement.

If the Group acquires an entity, it determines the appropriate categorisation and designation of financial assets acquired and financial liabilities assumed in accordance with the terms of the contract and under consideration of the economic circumstances and conditions at the acquisition date. This also includes separating embedded derivative financial instruments from their host contract.

For business combinations in stages, the fair value of the equity interest held by the acquirer in the acquired entity is measured as of each acquisition date and the resulting gain or loss is recognised through profit or loss (i.e. in the income statement).

The agreed contingent consideration is recognised at fair value as of the acquisition date. Subsequent changes in the fair value of a contingent consideration that constitutes an asset or a liability are generally recognised either in the income statement or in other comprehensive income in accordance with IFRS 9. Contingent consideration that is classified as equity is not remeasured and its subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost, which is defined as the excess of total consideration transferred and the amount of any non-controlling interest over the identifiable assets acquired and the liabilities assumed. If this consideration is below the fair value of the net assets of the acquired entity, the difference is recognised in the income statement.

After initial recognition, goodwill is not subject to amortisation but is tested at least once a year for impairment under IAS 36 (see also Notes 3.3 and 3.6).

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4. Discretionary decisions and estimation uncertainty

The presentation of the net assets, financial and earnings position, as well as the accounting policies, is influenced by estimations and assumptions. Estimated values and actual amounts may vary – sometimes significantly.

In particular, key estimates and assumptions have been made in defining uniform periods of depreciation and amortisation for the Group, the amount of impairments on receivables and the incremental borrowing rate for measuring lease liabilities, as well as in determining the actuarial assumptions for measuring pension provisions. At the same time, it is necessary to make a large number of estimates and assumptions to account for provisions or disclose contingent liabilities – particularly with regard to related or potential legal disputes or other pending claims. Estimates, for example, must be made regarding the likelihood of a pending case being ruled in the claimant’s favour, and regarding any payment obligations arising as a recognition of the ruling. There is also estimation uncertainty in the recognition of provisions for onerous contracts or imminent losses with regard to whether a loss is likely, and whether it is possible to estimate this loss reliably. For deferred tax assets, the main estimates relate to the taxable profits that will be generated in future. Other significant estimates are made with regard to the issue of whether there are indications for an impairment of assets or cash-generating units, with regard to the implementation of impairment testing in accordance with IAS 36 with a view to determining cash flows in the forecast period, and with regard to the selection

of a suitable capitalisation rate. Analogous discretionary decisions are necessary to determine the fair value of the other financial assets. The Nordzucker Group has concluded several lease contracts that contain options to extend or terminate the contracts. These options are negotiated by management so that the portfolio of lease assets can be managed flexibly and in line with the respective business requirements. To assess whether exercising these options to extend or terminate the contracts is sufficiently certain, management must engage in significant discretionary decision-making. We refer to the corresponding Notes to the consolidated statement of financial position for the carrying amounts of items affected by significant estimates.

A review was carried out in the reporting year to ascertain whether sustainability-related issues had a material impact on reporting for the period. There may be impacts on the various areas listed below. Sustainability-related aspects may, for example, influence the recoverability, useful lives and residual carrying amounts of assets, the expected credit losses on financial instruments, the input factors and assumptions used to measure the value in use and the company valuation (e. g. discount rates, timing and amount of forecast cash flows).

Sustainability-related risk factors are generally included in estimates and discretionary decisions in the preparation of the annual financial statements. The following aspects in particular have been included in the considerations and planning models:

- Continuation of the GoGreen programme to convert the Group to a sustainable energy supply and the associated cash outflows for investments. Nordzucker AG expects that the implementation and continued development of the GoGreen programme will lead to further reductions in operating costs and to an increase in environmental efficiency in the medium to long term.

- Timely acquisition of carbon certificates in response to the underlying political conditions of the expected certificate shortage (see also Note 30). Securing carbon certificates at an early stage helps to reduce future volatility in production costs related to emission allowances.
- Changes in the market price of sugar, energy and raw materials. These may be subject to strong fluctuations due to exogenous effects (e. g. the Ukraine conflict results in increased sugar imports into the EU, high harvest volumes in Brazil affect the world market price of sugar, gas supply via LNG terminals instead of gas from Russia leads to higher purchase prices) and may have an impact on the business performance of the Nordzucker Group. By entering into hedging transactions, Nordzucker AG increases the predictability of fluctuation ranges.
- Changes in raw material volumes due to weather-related effects such as droughts, periods of frost or flooding of arable land also have a significant impact on the Nordzucker Group’s business performance. Shortages may result in the failure to fulfil contractually agreed delivery obligations. Accordingly, contracts with beet growers are signed at an early stage.

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5. Accounting standards to be applied for the first time

IASB pronouncements (published on)	Title	Applicable for financial years beginning on or after
Amendments to IAS 1 (23/1/2020, 15/7/2020 and 31/10/2022)	Classification of Liabilities as Current or Non-current Date Classification of Liabilities as Current or Non-current — Deferral of Effective Date Non-current Liabilities with Covenants	1/1/2024
Amendments to IFRS 16 (22/9/2022)	Lease Liability in a Sale-and-Leaseback	1/1/2024
Amendments to IAS 7 (25/5/2023)	Statement of Cashflows and IFRS 7 Financial Instruments: Supplier Finance Arrangements	1/1/2024

The amendments to IAS 1 regarding the classification of liabilities as current or non-current clarify that this classification is based on the rights available to the Nordzucker Group on the reporting date.

The amendments to IFRS 16 explain issues relating to measurement in sale and leaseback transactions.

The amendments to IFRS 7 specify requirements regarding new disclosures relating to supplier financing arrangements in view of their impact on a company’s liabilities and cash flows.

New or amended standards which came into force in the current reporting period have not had any material effect on the Group’s accounting policies or given rise to a need for retrospective adjustments.

6. Accounting standards not applied

No IFRS were adopted before the mandatory adoption date in the consolidated financial statements of Nordzucker AG as of 28 February 2025. The pronouncements will be adopted for the first time when their application becomes mandatory. The application of IFRS requires the European Union (EU) to first grant approval (endorsement process), which in some cases is still outstanding.

In addition, the Nordzucker Group has not yet applied IFRS 8 Operating Segments or IAS 33 Earnings per Share; their application is only mandatory for stock listed companies.

These standards or amendments are to be applied to the Nordzucker consolidated financial statements for the first time as of 28 February 2025 or for later reporting periods:

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IASB pronouncements (published on)	Title	Applicable for financial years beginning or after
Transposed into European law		
Amendments to IAS 1 (15/8/2023)	The Effects of Changes in Foreign Exchange Rates: Lack of Exchangeability	1/1/2025
Not yet transposed into European law		
Amendments to IFRS 19 (18/12/2024)	Subsidiaries without Public Accountability: Disclosures	1/1/2027
Amendments to IFRS 18 (9/4/2024)	Presentation and Disclosures in Financial Statements	1/1/2027
Amendments to IFRS 9 and IFRS 7 (18/12/2024)	Contracts Referencing Nature-dependant Electricity	1/1/2026
(18/7/2024)	Annual improvements Volume 11	1/1/2026
Amendments to IFRS 9 and IFRS 7 (30/5/2024)	Amendments to the Classification and Measurement of Financial Instruments	1/1/2026

With the exception of the amendment to IFRS 18, the amendments listed in the table above are not likely to have any major impact on the presentation of the net assets, financial and earnings position or the cash flows of the Nordzucker Group.

The new standard published by the IASB in April 2024 – IFRS 18 “Presentation and Disclosures in Financial Statements” – will replace the previous standard IAS 1 “Presentation of Financial Statements”. IFRS 18 is intended to improve the presentation of financial information in financial statements and increase the transparency and comparability of financial statements. The key changes in IFRS 18 are the restructuring of the income statement, including the specification of mandatory sub-totals, additional disclosures for certain performance measures, and enhanced requirements for the aggregation and disaggregation of information within the primary components of the financial statements. The standard will not affect the recognition and measurement of items; however, the restructuring of income statements could result in income and expenses being allocated differently in the future, thereby changing the amounts at which subtotals are presented. The investigations into the impact of the initial application of IFRS 18 on the consolidated financial statements are not yet complete.

7. Changes to the reporting structure and changes in accounting policies

No material changes were made to the reporting structure in the reporting period.

Changes in accounting policies resulting from the first-time application of accounting standards (see Note 5) had no material effects on the presentation of the Nordzucker Group’s net assets, financial and earnings position.

Notes to the consolidated income statement

8. Revenues

Revenues are made up as follows:

Revenues	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
in EUR thousands		
Sugar, industrial customers	1,696,197	1,767,752
Sugar, retail	315,924	356,890
Sugar, non-food	30,061	30,382
Raw cane sugar	275,008	332,660
Sugar, other distribution channels	36,744	3,840
Total sugar	2,353,934	2,491,524
Bioethanol	52,309	24,272
Proceeds from the sale of energy	15,113	14,721
Total energy	67,422	38,993
Molasses	96,244	126,321
Pellets	120,866	151,405
Other animal feed	34,072	34,107
Total animal feed	251,182	311,833
Seed	53,905	48,657
Other	43,324	31,481
Total	2,769,767	2,922,488

In Australia, revenues are generated from the sale of cane sugar, molasses, and energy. These revenues totalled EUR 318,946 (385,749) thousand, including revenues from sugar futures. Of the remaining revenues, EUR 1,140,311 (1,177,992) thousand is attributable to German companies and the remaining EUR 1,308,811 (1,358,747) thousand to the other European Group companies.

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Other revenues primarily include sales of biodiesel, carbolime, pallets and beet fleece covers. Revenues are recognised at a point in time.

9. Production costs

Production costs comprise the following:

Production costs

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Cost of materials and services	– 1,910,231	– 1,803,430
Personnel expenses	– 218,795	– 210,983
Depreciation, amortisation and impairment	– 68,356	– 65,376
Other expenses	– 73,789	– 66,782
Total	– 2,271,171	– 2,146,571

10. Sales costs

Sales costs comprise the following:

Sales costs

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Freight	– 101,069	– 93,633
Rentals, land leasing and outside warehousing costs	– 78,706	– 63,763
Personnel expenses	– 25,421	– 24,165
Depreciation, amortisation and impairment	– 9,987	– 8,352
Advertising	– 6,278	– 6,075
Sales commission	– 3,366	– 2,698
Other costs of sales	– 38,005	– 39,158
Total	– 262,832	– 237,844

Freight and third-party storage costs also include costs for internal and, in some cases, international redistribution of stock. Other costs of sales include, in particular, energy and maintenance expenses for silos at Nordzucker’s sites. Expenses for pallets, travel and consultancy costs are also reported under this item.

11. Administrative expenses

Administrative expenses are made up as follows:

Administrative expenses

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Personnel expenses	– 54,821	– 54,308
Consultancy fees	– 17,145	– 13,599
Fees and levies	– 5,080	– 5,234
Depreciation, amortisation and impairment	– 4,747	– 4,558
Rentals and land leasing	– 1,218	– 1,080
Travel costs	– 1,641	– 1,630
Phone/communications	– 1,136	– 1,016
IT repairs and maintenance	– 5,914	– 6,057
Outsourced services and activities	– 4,871	– 3,910
Other administrative expenses	– 4,278	– 2,356
Total	– 100,851	– 93,748

Other administrative expenses mainly comprise costs for maintaining administrative locations (heating, electricity, water, etc.).

12. Other income

Other income is made up as follows:

Other income

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Insurance and other compensation for damages	54,086	22,272
Income from the reversal of provisions	2,512	1,867
Foreign exchange gains	1,529	2,066
Proceeds from derivatives	14,844	39,672
Proceeds from the disposal of non-current assets	1,266	496
Reversals of impairments on receivables	211	86
Income from the reversal of investment subsidies, grants and other receivables	547	845
Rental and leasing income	652	564
Reversals of impairment of intangible assets as well as property, plant and equipment	173	15
Miscellaneous operating income	5,845	8,501
Total	81,665	76,384

Insurance and other compensation for damages in the current year and in the previous year resulted primarily from the explosion damage at the Örtofta plant in Sweden.

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The decrease in income from derivatives results from lower foreign currency gains from the hedging of beet contracts, the accumulator financial instrument, and intra-Group lending. In the previous year, in addition to the items set out above, this note also included reclassification effects from the net financial result of realised and unrealised exchange rate effects from hedging transactions for sugar, energy and beet.

Further information on net income from financial instruments can be found in Note 41.

13. Other expenses

Other expenses are made up as follows:

Other expenses		
in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Personnel expenses	– 2,705	– 2,192
Depreciation, amortisation and impairment	– 44,083	– 3,610
Expenses from loss events	– 23,207	– 24,791
Research and development	– 2,055	– 2,051
Foreign exchange losses	– 782	– 1,749
Expenses from derivatives	– 23,866	– 46,319
Losses from the disposal of non-current assets	– 3,160	– 1,548
Impairments on receivables	– 237	– 89
Expenses from additions to provisions	– 3,268	– 14,578
Expenses for the Proteins segment	– 7,648	0
Miscellaneous operating expenses	– 5,110	– 2,820
Total	– 116,121	– 99,747

Expenses from loss events mainly relate to damage to the extraction tower in Schladen and the explosion at the Örtöfta plant in Sweden in the previous year.

Depreciation, amortisation and impairment includes other impairments on property, plant, and equipment from the impairment test for the “Sugar from beet” CGU (EUR 39,062 thousand) and EUR 5,021 thousand for the Proteins segment (see Notes 19 and 22).

The decrease in expenses from derivatives is mainly attributable to the accumulator financial instrument, foreign currency hedging for beet contracts and exchange rate losses on intra-Group lending. The effects from the previous year were immaterial. Further information on net income from financial instruments can be found in Note 41.

14. Financial income

Financial income is made up as follows:

Financial income		
in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Income from other investments	3,639	3,448
Other interest and similar income	2,248	2,683
Interest income receivable from banks	3,126	2,697
Other financial income	98	48
Total	9,111	8,876

The income from other investments mainly comprises dividends from the financial investment in Tereos TTD.

15. Financial expenses

Financial expenses are made up as follows:

Financial expenses		
in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Interest expense on provisions	– 6,852	– 6,770
Other interest and similar expenses	– 7,249	– 5,824
Interest expense on bank balances	– 7,406	– 7,580
Other financial expenses	0	– 162
Total	– 21,507	– 20,336

Other interest and similar expenses mainly relate to fees in connection with the drawdown of the syndicated loan. Interest expense on bank balances arises from drawdowns on the Group’s credit lines.

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16. Income taxes

Income taxes include taxes on income paid or owed in the individual countries and deferred taxes. Income taxes consist of trade tax, corporation tax, solidarity surcharge and the equivalent foreign income taxes. The income tax expense is made up by origin as follows:

Income taxes

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Current taxes		
Current domestic taxes	– 2,965	– 39,975
Current foreign taxes	– 27,515	– 35,652
	– 30,480	– 75,627
Deferred taxes		
Deferred domestic taxes	7,877	– 7,748
Deferred foreign taxes	7,822	– 10,344
	15,699	– 18,092
Income taxes	– 14,781	– 93,719

The current income tax expenses affecting previous years impacted net income in the amount of EUR 692 (545) thousand.

The expected income tax expense which would have been payable if the tax rate for the parent company Nordzucker AG of 30.00 per cent (previous year: 30.00 per cent) were applied to the IFRS consolidated net income before taxes and minority interests can be reconciled with the income taxes in the income statement as follows:

Tax expense/tax income

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
IFRS net profit before income taxes	99,244	419,463
Group tax rate	30.00%	30.00%
Expected tax expense (–) / tax income (+)	– 29,773	– 125,839
Tax rate variances	8,086	21,101
Taxes for prior years	4,325	– 35
Tax-free income	1,189	1,231
Non-deductible expenses and permanent differences	426	– 1,485
Impairment of deferred tax assets on tax loss carry-forwards	– 1,278	1,949
Use of tax loss carry-forwards for which no deferred tax assets have been established	2,433	9,208
Other effects	– 193	153
Tax expense	– 14,781	– 93,719

The corporation tax rate for corporations based in Germany is 15 per cent plus 5.5 per cent solidarity surcharge on the corporation tax liability.

Companies based in Germany are also liable for trade tax at a rate determined by multipliers set by the local council.

The effects of differences between foreign tax rates and the Group tax rate for Nordzucker AG (30.00 per cent; previous year: 30.00 per cent) are shown in the reconciliation statement under tax rate differences between Germany and abroad.

Deferred tax assets and liabilities primarily result from temporary valuation differences between the IFRS financial statements and the financial statements of the individual Group companies for local tax purposes for the following items:

Deferred taxes by item in the statement of financial position

in EUR thousands	28/2/2025		29/2/2024	
	Deferred tax assets	Deferred tax liabilities	Deferred tax assets	Deferred tax liabilities
Intangible assets	0	2,964	0	2,496
Investment property	0	1,867	0	0
Property, plant and equipment	13,325	127,233	1,825	116,665
Financial investments	0	2,959	0	0
Inventories	10,209	9,896	2,779	9,164
Other assets	2,246	11,791	3,810	9,153
Pension provisions	24,528	5,670	22,929	4,851
Other provisions	2,692	6,533	2,886	7,503
Other liabilities	28,511	9,781	29,337	8,920
Deferred taxes on temporary differences	81,511	178,694	63,566	158,754
Deferred tax assets on tax loss carry-forwards	3,426	0	765	0
Gross amount	84,937	178,694	64,331	158,754
Offsetting	– 61,267	– 61,267	– 59,202	– 59,202
Amount in statement of financial position	23,669	117,427	5,129	99,551

The overall changes of EUR 666 (8,400) thousand in deferred taxes as of the reporting date as shown in the consolidated statement of financial position were recognised as a decrease in the tax expense in the amount of EUR 15,699 thousand (previous year: increase of EUR 18,092 thousand), i.e. in the income statement. Moreover, a tax expense of EUR 14,403 (previous year: tax income of 9,448) thousand was recognised outside of profit or loss (i.e. in the statement of comprehensive income). Changes due to exchange rates in the amount of EUR – 631 (738) thousand are presented in the “Exchange differences on translating foreign operations” item.

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Deferred tax assets and liabilities are offset for each company or taxable entity provided that the conditions for offsetting are met. To the extent that deferred taxes relate to private partnerships, offsetting only takes place at the level of Nordzucker AG for corporation tax purposes. Deferred trade taxes are offset at the level of the individual private partnerships.

The following table shows the changes in deferred tax assets and liabilities:

Changes in deferred taxes

	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024		
in EUR thousands	Deferred tax assets	Deferred tax liabilities	Deferred tax assets	Deferred tax liabilities
Intangible assets	0	467	0	504
Investment property	0	1,865	0	0
Property, plant and equipment	11,500	10,567	– 1,066	7,544
Financial investments	0	2,959	0	0
Inventories	7,430	732	– 1,330	3,901
Other assets	– 1,564	2,637	2,788	– 412
Pension provisions	1,599	819	3,056	871
Other provisions	– 195	– 969	– 278	1,383
Other liabilities	– 826	862	7,618	5,656
Deferred taxes on temporary differences	17,944	19,940	10,789	19,447
Deferred tax assets on tax loss carry-forwards	2,662	0	258	0
Total	20,606	19,940	11,047	19,447

With regard to the surplus of deferred tax assets over deferred tax liabilities of EUR 5,449 (0) thousand recognised at the individual company level for the companies that incurred a loss in the reporting period or the previous period, the recoverability of the deferred tax assets is deemed to be sufficiently certain based on the expected future positive development of the sugar price and the associated positive earnings expectations in the business planning.

In the financial year, no deferred tax assets were recognised for foreign tax loss carry-forwards of EUR 71,112 (77,473) thousand as no positive taxable income is expected in the near future. Furthermore, no deferred tax assets were recognised for domestic tax loss carry-forwards of EUR 127 (127) thousand as no positive taxable income is expected in the near future.

No deferred tax assets were recognised for temporary differences on investments by subsidiaries of EUR 34,395 (30,657) thousand because the Nordzucker Group is able to control the timing of the reversal and the temporary differences will not be reversed in the foreseeable future.

Legislation according to Pillar Two of the OECD Inclusive Framework on Base Erosion and Profit Shifting (BEPS) 2.0, which implements a global minimum taxation, has been enacted or substantially put into effect in all countries in which the Nordzucker Group operates. The legislation in Germany comes into force for the Nordzucker Group's financial year beginning on 1 March 2024. Nordzucker AG and its subsidiaries fall within the scope of this enacted or substantially enacted legislation. The top-level company in the Group, and therefore the taxable entity unless a qualifying local minimum tax is implemented in the respective country, is Nordzucker AG. This company has undertaken an assessment of the potential exposure to income taxes under Pillar Two.

The assessment of the potential risk from the minimum tax is based on the most recently available tax returns, the country-by-country report and the annual financial statements of the individual subsidiaries of Nordzucker AG. Based on this assessment, the effective tax rates of most subsidiaries are above 15%. However, there is a small number of countries where the temporary transitional system (known as safe harbour relief) does not apply and the effective Pillar 2 tax rate is below 15%. No minimum tax is levied in these countries either according to a precise calculation (Australia) or on the basis of losses (Ireland). In accordance with IAS 12.88 (a), deferred taxes resulting from the implementation of the Pillar Two rules are not recognised.

17. Cost of materials and services

The cost of materials and services is made up as follows:

Cost of materials and services

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Cost of raw materials, consumables and supplies and of purchased merchandise	– 1,881,546	– 1,913,224
Cost of purchased services	– 151,914	– 123,262
Total	– 2,033,460	– 2,036,486

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18. Personnel expenses

Personnel expenses are made up as follows:

Personnel expenses

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Wages and salaries	– 266,453	– 255,614
Social security contributions and other social expenses	– 26,496	– 25,357
Expenses for defined contribution plans	– 15,309	– 14,115
Expenses for defined benefit plans	– 2,750	– 2,376
Total	– 311,008	– 297,462

Expenses for defined benefit and defined contribution plans consist of Group expenses for defined benefit and defined contribution pension plans and similar obligations. The expenses for defined benefit plans affect service costs. They do not include the net interest expenses on defined benefit obligations associated with pension expenses. These are presented in the income statement under “Financial expenses”.

In the reporting period, the Nordzucker Group had an average of 4,076 employees (previous year: 3,958 employees). In the 2024/2025 financial year, 2,632 employees (previous year: 2,590) were employed as blue collar workers and 1,444 (previous year: 1,368) were salaried white collar employees.

19. Depreciation, amortisation and impairment

Depreciation, amortisation and impairment are made up as follows:

Depreciation, amortisation and impairment

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Depreciation or amortisation of intangible assets, property, plant and equipment, and investment property	– 83,253	– 77,791
Impairment of intangible assets, property, plant and equipment, and investment property	– 44,083	– 4,386
Total	– 127,336	– 82,177

The impairment losses include, in particular, a write-down of EUR 39,062 thousand that became necessary in relation to the “Sugar from beet” cash-generating unit (see Note 22). In addition, other impairments of EUR 5,021 thousand were made on items of property, plant, and equipment in the Proteins segment as part of the restructuring and realignment of this business segment. In the previous year the impairment losses related in particular to the technical conversion of the steam dryer at the Örtofta plant in Sweden.

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20. Intangible assets

Changes in the individual items of intangible assets are as follows:

in EUR thousands	Rights, patents and licences	Internally generated intangible assets	Other intangible assets	Advance payments made	Total
Intangible assets 2024/2025					
Acquisition and production costs					
1/3/2024	1,391	2,265	54,752	719	59,127
Currency differences	8	0	75	0	83
Additions	56	0	2,178	1,425	3,659
Disposals	0	0	– 418	0	– 418
Reclassifications	1,486	0	695	– 632	1,549
28/2/2025	2,941	2,265	57,282	1,512	64,000
Depreciation, amortisation and impairment					
1/3/2024	– 153	– 2,265	– 35,672	0	– 38,090
Currency differences	– 2	0	– 56	0	– 59
Write-downs in the financial year	– 135	0	– 2,836	0	– 2,971
Impairments in the financial year	0	0	– 223	0	– 223
Reversals of impairment	0	0	0	0	0
Disposals	0	0	406	0	406
Reclassifications	0	0	0	0	0
28/2/2025	– 291	– 2,265	– 38,381	0	– 40,936
Carrying amount 28/2/2025	2,650	0	18,901	1,512	23,064

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in EUR thousands	Rights, patents and licences	Internally generated intangible assets	Other intangible assets	Advance payments made	Total
Intangible assets 2023/2024					
Acquisition and production costs					
1/3/2023	484	2,265	48,336	2,564	53,649
Currency differences	12	0	152	0	164
Additions	0	0	3,767	590	4,357
Disposals	- 42	0	- 581	0	- 622
Reclassifications	937	0	3,077	- 2,436	1,578
29/2/2024	1,391	2,265	54,752	719	59,127
Depreciation, amortisation and impairment					
1/3/2023	- 169	- 2,265	- 33,347	0	- 35,781
Currency differences	- 4	0	- 109	0	- 113
Write-downs in the financial year	- 22	0	- 2,673	0	- 2,695
Impairments in the financial year	0	0	- 92	0	- 92
Reversals of impairment	0	0	0	0	0
Disposals	42	0	548	0	590
Reclassifications	0	0	0	0	0
29/2/2024	- 153	- 2,265	- 35,672	0	- 38,090
Carrying amount 29/2/2024	1,238	0	19,080	719	21,037

At the end of the reporting period, there were no intangible assets with indefinite useful lives.

In the reporting period, research and development expenses of EUR 2,055 (2,051) thousand were recognised in the income statement. These expenses are attributed in full to the item "Other expenses".

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21. Property, plant and equipment including leasing

Acquired property, plant and equipment 2024/2025

in EUR thousands	Land and buildings	Technical plant and machinery	Other plant, operating and office equipment	Advance payments made and plant under construction	Total
Acquisition and production costs					
1/3/2024	564,351	2,300,917	59,535	95,531	3,020,334
Currency differences	3,055	5,444	184	– 233	8,450
Additions	9,040	105,357	7,118	60,936	182,451
Disposals	– 1,086	– 23,999	– 4,968	– 5,671	– 35,724
Reclassifications	7,585	68,750	1,521	– 78,523	– 668
28/2/2025	582,945	2,456,468	63,391	72,040	3,174,843
Depreciation, amortisation and impairment					
1/3/2024	– 321,236	– 1,518,743	– 41,209	– 2	– 1,881,190
Currency differences	– 1,154	– 1,860	– 141	0	– 3,155
Write-downs in the financial year	– 8,947	– 60,212	– 4,118	0	– 73,278
Impairments in the financial year	– 1,047	– 37,640	– 109	– 5,021	– 43,817
Reversals of impairment	0	0	0	0	0
Disposals	755	21,637	4,862	5,024	32,277
Reclassifications	0	0	0	0	0
28/2/2025	– 331,629	– 1,596,819	– 40,716	0	– 1,969,163
Carrying amount 28/2/2025	251,316	859,649	22,675	72,041	1,205,680

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Leased property, plant and equipment 2024/2025

in EUR thousands	Land and buildings	Technical plant and machinery	Other plant, operating and office equipment	Advance payments made and plant under construction	Total
Carrying amount					
1/3/2024	6,524	2,102	5,995	0	14,620
Currency differences	- 30	0	52	0	21
Additions	3,228	937	5,313	0	9,478
Disposals	30	- 19	- 1	0	10
Depreciation, amortisation and impairment	- 3,272	- 471	- 3,203	0	- 6,946
Impairment losses	- 28	0	- 15	0	- 43
Reclassifications	0	- 860	11	0	- 849
Other changes	49	18	0	0	68
Carrying amount 28/2/2025	6,500	1,707	8,153	0	16,360
Carrying amount of total property, plant and equipment	257,816	861,356	30,828	72,041	1,222,040

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Acquired property, plant and equipment 2023/2024

in EUR thousands	Land and buildings	Technical plant and machinery	Other plant, operating and office equipment	Advance payments made and plant under construction	Total
Acquisition and production costs					
1/3/2023	537,687	2,196,172	55,110	88,114	2,877,083
Currency differences	3,543	– 5,678	240	– 614	– 2,509
Additions	9,365	81,425	4,353	73,810	168,953
Disposals	– 5,000	– 14,829	– 1,734	– 52	– 21,616
Reclassifications	18,755	43,828	1,567	– 65,727	– 1,577
29/2/2024	564,351	2,300,917	59,535	95,531	3,020,333
Depreciation, amortisation and impairment					
1/3/2023	– 315,904	– 1,474,691	– 38,870	– 3	– 1,829,467
Currency differences	– 1,395	4,603	– 229	0	2,978
Write-downs in the financial year	– 8,350	– 57,769	– 3,768	0	– 69,887
Impairments in the financial year	– 494	– 3,762	– 6	0	– 4,261
Reversals of impairment	0	15	0	0	15
Disposals	4,899	12,870	1,665	0	19,433
Reclassifications	8	– 8	0	0	0
29/2/2024	– 321,236	– 1,518,743	– 41,209	– 3	– 1,881,191
Carrying amount 29/2/2024	243,114	782,174	18,326	95,528	1,139,143

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Leased property, plant and equipment 2023/2024

in EUR thousands	Land and buildings	Technical plant and machinery	Other plant, operating and office equipment	Advance payments made and plant under construction	Total
Carrying amount					
1/3/2023	5,455	1,989	4,716	0	12,160
Currency differences	- 35	- 1	- 6	0	- 41
Additions	3,168	584	3,822	0	7,574
Disposals	0	0	0	0	0
Depreciation, amortisation and impairment	- 2,101	- 490	- 2,560	0	- 5,151
Impairment losses	- 33	0	0	0	- 33
Reclassifications	0	0	- 1	0	- 1
Other changes	68	18	25	0	112
Carrying amount 29/2/2024	6,524	2,101	5,995	0	14,620
Carrying amount of total property, plant and equipment	249,639	784,275	24,321	95,528	1,153,763

Property, plant and equipment in the amount of EUR 138,004 (118,815) thousand was held as collateral security for liabilities at the end of the reporting period and comparative period.

Nordzucker makes particular use of leasing for warehousing, logistics and vehicle procurement. The leases resulted in the following payments, which have the following effects on the cash flow statement and the income statement:

Expenses and payments from lease contracts

in EUR thousands	2024/2025	2023/2024
Amounts included in cash flow statement:		
Total payments from lease contracts	34,406	27,646
Amounts included in the income statement:		
Depreciation, amortisation and impairment	6,989	5,183
Interest expense on lease liabilities	658	390
Expense from short-term leases	25,235	20,776
Expense from leases of low-value assets	1,676	980

The obligations under the lease contracts are secured by the lessor's ownership of the lease assets. The Nordzucker Group is prohibited from assigning and subleasing the lease assets.

The variable lease payments are immaterial for the Nordzucker Group.

Of the total lease payments of EUR 34,406 thousand, EUR 7,494 thousand relate to the repayment of lease liabilities and are presented in the cash flow statement accordingly. The remaining sum of EUR 26,912 thousand represents the expense for short-term leases and low-value leases.

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22. Impairment testing for intangible assets and items of property, plant and equipment

Impairment tests for intangible assets and items of property, plant and equipment are mainly performed on the basis of the values in use for cash-generating units (CGU).

As explained under Note 3.6, the Nordzucker Group consists of two cash-generating units, sugar from beet and sugar from cane.

Although the Nordzucker Group does not recognise any goodwill, the significant decline in the price of sugar from beet within the EU in particular meant that an impairment test was performed on the sugar from beet CGU as of the balance sheet date. As there were no indications in the previous year that an impairment test should be carried out, no figures for the previous year are presented below.

The value in use of the CGU is determined on the basis of a company valuation model (discounted cash flow). The value is determined on the basis of cash flow projections based on the Nordzucker Group's five-year plan in effect at the time the impairment test was carried out. These projections are based on experience as well as expectations regarding future market developments and general economic conditions.

The cost of capital is calculated as the weighted average of the cost of equity and debt capital per CGU. The cost of equity is calculated using a risk-free base rate, a mark-up for business risk and a country risk premium. The cost of borrowing comprises the risk-free base rate, a country risk premium and a credit risk premium.

The impairment test is based on future assumptions and projections that determine the value in use of the CGUs. The amount of the respective values in use depends on future cash flows according to the company's plans and the underlying cost of capital.

For the "Sugar from beet" CGU, the forecasts of a moderate decline in beet cultivation, sugar production and sugar consumption in Europe have been incorporated into the projection. Although the sugar price is expected to improve gradually over time due to the underlying commodity cycle, the determined value in use of EUR 2,129,925 thousand is EUR 39,062 thousand lower than the carrying amount of the sugar from beet CGU. The pre-tax discount rate applied to the cash flows of this CGU in the 2024/2025 financial year is 7.80 per cent, whereby a growth rate of 1.50 per cent was used to determine the sustainable result included in the measurement of the net cash flows.

The impairment relates in particular to technical equipment and machinery allocated to the sugar from beet CGU.

23. Investment property

Investment property in the Nordzucker Group mainly consists of residences and land not required for operating purposes.

The changes are presented in the table below:

Investment property	
in EUR thousands	Total
2024/2025	
Acquisition and production costs	
1/3/2024	11,497
Currency differences	- 24
Additions	0
Disposals	- 1,616
Reclassifications	- 32
28/2/2025	9,825
Depreciation, amortisation and impairment	
1/3/2024	- 1,121
Currency differences	3
Write-downs in the financial year	- 58
Impairments in the financial year	0
Reversals of impairment	173
Disposals	59
28/2/2025	- 944
Carrying amount 28/2/2025	8,881

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Investment property

in EUR thousands	Total
2023/2024	
Acquisition and production costs	
1/3/2023	11,976
Currency differences	– 424
Additions	20
Disposals	– 75
Reclassifications	0
29/2/2024	11,497
Depreciation, amortisation and impairment	
1/3/2023	– 1,100
Currency differences	33
Write-downs in the financial year	– 58
Impairments in the financial year	0
Reversals of impairment	0
Disposals	4
29/2/2024	– 1,121
Carrying amount 29/2/2024	10,376

No subsequent acquisition costs were recognised in the reporting period or in the comparative period.

In the reporting period, rental income of EUR 359 (314) thousand was generated, offset by expenses of EUR 235 (206) thousand. There were also expenses of EUR 142 (114) thousand for which there was no corresponding rental income.

The fair value of the property is EUR 11,490 (12,222) thousand as of the end of the reporting period. The fair value was determined on the basis of internal estimates using comparable properties.

24. Shares in companies accounted for using the equity method

in EUR thousands	28/2/2025	29/2/2024
As of 1/3	82,712	72,478
Additions	0	6,347
Disposals	0	0
Changes in the consolidation method and reclassifications	0	0
Pro rata result	11,182	9,961
Dividend received	– 16,870	– 343
Change in earnings not recognised in profit or loss	340	0
Foreign currency	– 856	– 5,731
As of 28/2	76,508	82,712

Investments in companies accounted for using the equity method include the carrying amounts of investments in joint ventures totalling EUR 2,400 (47,566) thousand and in associated companies totalling EUR 74,108 (35,146) thousand.

The pro rata result corresponds to the result for the period and is made up of contributions from ATZU GmbH & Co. KG, Hamburg, Germany of EUR 877 (892) thousand, Sugar Australia Pty. Ltd, Yarraville, Australia of EUR 6,750 (5,672) thousand, New Zealand Sugar Pty. Ltd, Auckland, New Zealand of EUR 3,462 (3,329) thousand and Oriana Shipping Co Pte. Ltd., Singapore, Singapore of EUR 93 (68) thousand.

The following tables contain summarised financial information on the individual significant companies accounted for using the equity method. The tables present the full figures before consolidation and not just Nordzucker AG's share.

The companies Sugar Australia Pty. Ltd., Yarraville, Australia and New Zealand Sugar Company Pty. Ltd, Auckland, New Zealand are significant associated companies. Sugar Australia Pty. Ltd. is jointly managed by the Australian subsidiary MSL and Wilmar Sugar Australia and is active in sugar refining, packaging and distribution.

	Sugar Australia Pty. Ltd.	
in EUR thousands	2024/2025	2023/2024
Dividends received	0	0
Current assets	155,822	182,957
of which cash and cash equivalents	2,737	2,278
Non-current assets	83,084	83,147
Total assets	238,906	266,104
Current liabilities	21,179	19,771
of which current financial liabilities	0	0
Non-current liabilities	2,272	3,622
of which non-current financial liabilities	0	0
Total liabilities	23,451	23,393
Revenues	379,489	401,026
Interest income	0	0
Interest expense	– 442	– 502
Depreciation, amortisation and impairment	– 7,999	– 9,000
Net income from continuing operations	22,650	21,428
Other comprehensive income	0	0
Income taxes	– 4,910	– 4,646
Earnings after taxes	17,739	16,782
Net assets	215,455	242,711
Pro rata net assets (25%)	53,864	60,678
Prior-period impairment of equity-accounted investment	– 14,417	– 15,513
Carrying amount	39,446	45,165

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The Australian subsidiary MSL holds a 25 per cent stake in New Zealand Sugar Company Pty. Ltd., Auckland, New Zealand. The company operates in the sugar distribution sector and serves retail and industrial customers in New Zealand.

	New Zealand Sugar Company Pty. Ltd.	
in EUR thousands	2024/2025	2023/2024
Dividends received	0	0
Current assets	85,419	92,302
of which cash and cash equivalents	13,892	0
Non-current assets	36,952	38,192
Total assets	122,371	130,494
Current liabilities	14,028	24,356
of which current financial liabilities	0	0
Non-current liabilities	101	1,050
of which non-current financial liabilities	101	0
Total liabilities	14,129	25,406
Revenues	171,369	170,679
Interest income	727	440
Interest expense	- 13	0
Depreciation, amortisation and impairment	- 3,921	0
Net income from continuing operations	23,367	24,922
Other comprehensive income	0	0
Income taxes	- 5,582	- 5,403
Earnings after taxes	17,785	19,519
Net assets	108,242	105,088
Pro rata net assets (25%)	27,060	26,272
Carrying amount	27,060	26,272

The following overview contains summarised aggregated financial information on the individual investments accounted for using the equity method that are considered immaterial:

	Other joint ventures		Other associated companies	
in EUR thousands	2024/2025	2023/2024	2024/2025	2023/2024
Net income from continuing operations	1,143	392	2,332	10,205
Carrying amount	2,400	2,400	7,602	8,874

25. Other financial investments

in EUR thousands	28/2/2025	29/2/2024
Other investments	54,143	43,083
Investments in non-consolidated affiliated companies	235	1,713
Other financial investments	54,377	44,796

Of the other financial investments totalling EUR 54,377 (44,796) thousand, EUR 54,376 (25,132) thousand are recognised at fair value. The changes are recognised in other comprehensive income. Other financial investments totalling EUR 30,802 thousand relate to the shares in Tereos TTD a.s., which are presented here, despite a stake of 35.38 per cent, because it is not possible to exercise significant influence over the operating and financial policy within the meaning of IAS 28.6. It is also not possible to influence decision-making processes. Likewise, there are no material transactions between Nordzucker AG and Tereos TTD. There has also been no exchange of management personnel, and significant information is not provided to Nordzucker AG. A further amount of EUR 23,341 thousand relates to the investment in Sugar Terminal Limited in Brisbane, Australia.

The Nordzucker Group received dividends of EUR 3,639 (3,533) thousand in the reporting year.

26. Inventories

Inventories

in EUR thousands	28/2/2025	29/2/2024
Raw materials, consumables and supplies	108,950	86,029
Unfinished goods	88,475	100,343
Finished goods and merchandise	1,175,168	1,086,699
Amount in statement of financial position	1,372,593	1,273,071

The increase in inventories is attributable in particular to higher production costs for sugar, while inventory quantities are slightly higher compared with the previous year.

Unfinished goods mainly consist of the thick juice required to produce bioethanol and granulated products.

Write-downs and reversals of write-downs (write-backs) on inventories are recognised under "Production costs" in the income statement. Write-downs of EUR 71,187 (8,469) thousand and write-backs of EUR 1,153 (188) thousand were recognised in the reporting period. The write-downs in the reporting period and previous period primarily related to valuation adjustments made to reflect the net realisable value of manufactured sugar.

EUR 76,082 (66,499) thousand was pledged as collateral for liabilities in the reporting year. The inventories pledged for liabilities relate to collateral provided by MSL as part of the existing syndicated loan.

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27. Trade receivables and other assets

Trade receivables and other assets after remaining term

TEUR	28/2/2025	Remaining term		29/2/2024	Remaining term	
		Up to one year	More than one year		Up to one year	More than one year
Trade receivables	295,877	295,877	0	382,916	382,916	0
Receivables from related parties	2,667	2,667	0	660	660	0
Positive market values from derivatives	43,826	36,186	7,640	34,861	34,569	292
Other financial assets	23,090	23,090	0	25,879	25,879	0
Other financial assets	66,916	59,276	7,640	60,740	60,448	292
Other claims for tax rebates	48,510	48,510	0	37,771	37,771	0
Income tax receivables	17,583	17,583	0	6,743	6,743	0
Other non-financial assets	103,931	103,324	607	110,382	109,460	922
Non-financial assets	170,024	169,417	607	154,896	153,974	922
Other assets	535,484	527,237	8,247	599,212	597,999	1,214

The carrying amounts of goods and services after write-downs correspond to their fair values.

In addition to specific write-downs for credit risks that have materialised, the write-downs on trade receivables also include value adjustments for expected future credit losses. Expected future credit losses are calculated on the basis of historical default rates and depending on the respective delinquency.

Changes in write-downs on trade receivables:

in EUR thousands	2024/2025	2023/2024
As of 1 March	- 1,197	- 1,312
Additions/usage	- 61	109
Utilisation	13	8
Reversals	108	2
Change due to changes to group of consolidated companies/currency changes	0	- 4
As of 28/29 February	- 1,137	- 1,197

The following table shows the gross carrying amounts of non-doubtful trade receivables as of 28 February 2025:

in EUR thousands	2024/2025	2023/2024
not overdue	288,965	374,597
up to 30 days	5,655	7,394
up to 60 days	0	601
up to 90 days	1,337	224
more than 90 days	1,057	1,297
As of 28/29 February	297,014	384,113

28. Receivables from related parties

In the reporting year and previous year, receivables from related parties were owed mainly by August Töpfer Zuckerhandels-gesellschaft mbH & Co. KG.

Receivables from related parties

in EUR thousands	28/2/2025	29/2/2024
Receivables from joint ventures	2,667	556
Receivables from other related parties	0	104
Amount in statement of financial position	2,667	660

Details on the default risks can be found in Note 42.2. Receivables from related parties have a term of up to one year.

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29. Financial assets

Financial assets are made up as follows:

Financial assets

in EUR thousands	28/2/2025	29/2/2024
Positive fair value of derivative financial instruments	43,826	34,861
Claims for damages	13,074	5,004
Miscellaneous financial assets	10,019	20,875
Amount in statement of financial position	66,916	60,740

With regard to the damage that occurred to the extraction tower in Schladen, Germany during the reporting year, the claims assessment and its settlement were not yet fully concluded as of the balance sheet date. In addition to the claims recognised on the balance sheet, other potential compensation for damages may also be due; however, its occurrence and scope depend on future influencing factors, which means it is not possible to make a sufficiently reliable estimate here.

As in the previous year, miscellaneous financial assets in the reporting year primarily comprise financial receivables from sugar cane growers at MSL in relation to the securing of sugar sales.

Details on default risks can be found in Note 42.2. Financial assets have a term of up to one year.

30. Other assets

Other assets are made up as follows:

Other assets

in EUR thousands	28/2/2025	29/2/2024
Receivables from other taxes	48,510	37,771
Prepaid expenses	4,980	4,493
Advance payments made on inventories	329	3,630
Carbon certificates	75,600	91,901
Miscellaneous other assets	23,021	10,358
Amount in statement of financial position	152,440	148,154

The decline in carbon certificates is attributable to the use of certificates in the 2024/2025 financial year. Miscellaneous other assets in the reporting period relate mainly to receivables for grants for capital expenditure in property, plant and equipment at German sites.

31. Equity

Changes in Group equity are shown in the statement of changes in equity.

Capital management at the Nordzucker Group is founded on a strong equity base and a sustainable dividend policy in order to secure current operations on the one hand and to enable a reasonable dividend yield for the shareholders on the other. As of 28 February 2025, the equity ratio came to 55.5 per cent (previous year: 56.1 per cent). The Executive Board will propose to the Annual General Meeting to distribute a dividend of EUR 0.40 per qualifying share for the 2024/2025 financial year. For further details, please refer to Note 49.

Nordzucker AG's Articles of Association do not stipulate any particular capital requirements. The Executive Board manages the Group with the aim of generating a profit. It does this by means of capital market-related targets for the company which are measured in terms of specific financial indicators. The main financial indicators for the Group are RoCE and EBIT margin.

31.1 Subscribed capital

At the end of the reporting period, subscribed capital (share capital) remained unchanged at EUR 123,651,328.00 and was divided into 48,301,300 registered common shares.

The ordinary share capital is fully paid-in and, as in the previous year, has a nominal share of subscribed capital of EUR 2.56 per share.

At the end of the reporting period, Nordzucker Holding AG, Braunschweig, Germany, had provided evidence that it held more than 50 per cent of the shares, with 83.77 per cent.

31.2 Capital reserves

The capital reserves have been formed from share premiums paid in the course of capital increases by Nordzucker AG.

31.3 Retained earnings

Retained earnings are made up of the net income earned in prior financial years and the current period by the companies included in the consolidated financial statements. Goodwill arising on acquisitions made by the Group before 1 March 2004 has been offset against reserves. In the IFRS opening statement of financial position, the balancing item from the conversion of financial statements in foreign currencies was offset against retained earnings.

Retained earnings include statutory reserves of ten per cent of subscribed capital, amounting to EUR 12,365 thousand which, in line with statutory regulations (Sec. 150 AktG [German Stock Corporation Act]), are not available for distribution to shareholders.

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31.4 Other comprehensive income

Other comprehensive income is made up as follows:

Other comprehensive income		
in EUR thousands	28/2/2025	29/2/2024
Remeasurement of defined benefit plans	- 57,894	- 54,827
Exchange differences on translating foreign operations	4,977	- 2,126
Net result of cash flow hedges	11,430	- 36,558
Remeasurement of financial investments	9,640	0
Amount in statement of financial position	- 31,847	- 93,511

31.5 Non-controlling interests

Non-controlling interests exist in the following companies:

Non-controlling interests		
in EUR thousands	28/2/2025	29/2/2024
Sucros Oy	21,353	22,745
AB Nordic Sugar Kedainiai	13,325	15,471
Považský Cukor a.s.	1,659	1,853
Nordzucker Polska S.A.	195	200
Mackay Sugar Limited	41,276	31,626
Amount in statement of financial position	77,808	71,894

Total net income for the period attributable to non-controlling interests amounting to EUR 4,708 thousand primarily relates to Mackay Sugar Limited (EUR 6,457 thousand), AB Nordic Sugar Kedainiai (EUR - 2,818 thousand) and Sucros Oy (EUR 1,358 thousand).

Net income for the period attributable to non-controlling interests amounting to EUR 16,544 thousand in the comparative period was primarily due to Mackay Sugar Limited (EUR 8,603 thousand), AB Nordic Sugar Kedainiai (EUR 4,547 thousand) and Sucros Oy (EUR 2,984 thousand).

32. Pension obligations

Provisions for pension obligations are made for accrued and current benefits accruing to currently active and former members of staff of the Nordzucker Group and their surviving dependants.

Pension obligations are structured in line with the legal, fiscal and economic conditions in each country.

The Group offers both defined contribution and defined benefit plans. Pension commitments are based on collective agreements and in a few cases on individual agreements with fixed benefit amounts.

The defined benefit plans have commitments both covered by provisions and funded by plan assets, with reinsurance having been pledged to the beneficiaries for some of the benefit plans in 2005. Furthermore, the Nordzucker Group has concluded an additional pension commitment with a pension fund for some of the benefit plans. As a result, 80 per cent of pension obligations can now be funded in full in exchange for a single premium.

In 2012, the Nordzucker Group concluded a defined benefit plan for all new employees that distributes the biometric risks between the employee and the employer. The benefit plan involves changing to a capital commitment with market-based interest.

In the reporting period, the expenses for defined contribution plans amounted to EUR 15,309 (14,115) thousand.

Provisions for pension benefits are determined in accordance with IAS 19 on the basis of actuarial assumptions. In the reporting and comparative period, the following weighted financial assumptions were applied:

	2024/2025 reporting period		2023/2024 comparative period	
	Domestic	Foreign	Domestic	Foreign
Discount rate	3.40%	3.20%	3.45%	3.40%
Salary increase	3.00%	2.65%	3.00%	2.55%
Pension increase	2.15%	1.70%	2.15%	1.60%

For domestic companies in the Nordzucker Group, the assumptions for life expectancy are taken from the 2018 G mortality tables by Dr Klaus Heubeck.

With a discount rate of 3.40 (3.45) per cent, the duration of domestic obligations was 14.3 (14.7) years. With a discount rate of 3.20 (3.40) per cent, the duration of foreign obligations was 11 (11) years.

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The following table shows the percentage effect that a change in assumptions would have on the defined benefit obligations at the end of the reporting period, provided the other assumptions remained unchanged:

Sensitivity analysis

		2024/2025 reporting period		2023/2024 comparative period	
		Domestic	Foreign	Domestic	Foreign
Discount rate	+ 0.5%	– 6.18%	– 6.14%	– 6.24%	6.19%
	– 0.5%	6.91%	6.74%	7.01%	6.79%
Salary increase	+ 0.5%	0.14%	1.38%	0.17%	1.25%
	– 0.5%	– 0.14%	– 1.26%	– 0.14%	– 1.14%
Pension increase	+ 0.5%	3.56%	5.84%	3.67%	5.95%
	– 0.5%	– 3.28%	– 5.43%	– 3.37%	– 5.40%
Mortality rate	+ 10.0%	– 3.05%	– 5.34%	– 3.02%	– 5.26%
	– 10.0%	3.43%	5.40%	3.42%	5.31%

Provisions for pensions and similar obligations disclosed in the statement of financial position changed as follows:

Change in pension provisions

in EUR thousands	Defined benefit obligation (DBO) (I)		Fair value of the plan assets (II)		Effects of assets upper limit (III)		Net liability Total (I-II+III)	
	2024/2025	2023/2024	2024/2025	2023/2024	2024/2025	2023/2024	2024/2025	2023/2024
Status at the start of the financial year	229,254	219,267	44,329	47,040	8,936	10,003	193,861	182,230
Service cost	2,750	2,376	/	/	/	/	2,750	2,376
Interest expense/interest income	7,777	8,164	1,465	1,732	308	380	6,620	6,812
Other value changes	/	/	/	/	/	/	/	0
Total recognised on the income statement	10,527	10,540	1,465	1,732	308	380	9,370	9,188
Return on plan assets	/	/	– 406	791	/	/	406	– 791
Actuarial gains/losses	4,111	11,710	/	/	/	/	4,111	11,710
Total remeasurements (not recorded in the income statement)	4,111	11,710	– 406	791	/	/	4,517	10,919
Payments made for reinsurance	/	/	189	236	/	/	– 189	– 236
Reimbursements from reinsurance	/	/	– 3,939	– 4,195	/	/	3,939	4,195
Pension payments made	– 12,053	– 11,894	/	/	/	/	– 12,053	– 11,894
Exchange rate differences and other adjustments	– 213	– 369	1,682	– 1,275	1,697	– 1,447	– 198	– 541
Status at the end of the financial year	231,626	229,254	43,320	44,329	10,941	8,936	199,247	193,861
Germany	202,638	200,646	42,212	43,062	10,941	8,936	171,367	166,520
Sweden	27,294	26,618	/	/	/	/	27,294	26,618
Finland	1,317	1,583	1,108	1,268	/	/	209	315
Poland	377	406	/	/	/	/	377	406
Total	231,626	229,254	43,320	44,330	10,941	8,936	199,247	193,860

Actuarial gains in the reporting period were primarily due to changes in the actuarial assumptions regarding the discount rate.

For the 2025/2026 reporting period, contributions to plan assets are expected to amount to EUR 377 (429) thousand.

Of the net debt of EUR 199,248 thousand, EUR 181,964 thousand is recognised under non-current provisions. A portion totalling EUR 17,284 thousand has a term of less than one year.

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33. Other provisions

Provisions for litigation risks and other risks were mainly made to reflect antitrust risks (damages and interest payments) and the risks of various ongoing legal proceedings. While Nordzucker assumes that the nature of the agreements during the infringement period identified was not sufficient to have an effect on the market, a court could find that Nordzucker is required to pay compensation. No further

explanatory information is provided on the content of the antitrust risks, as these concern ongoing legal proceedings (reference to IAS 37.92). Any further information could have a detrimental effect on the future course of proceedings. The provisions made for litigation risks and other risks have a term of more than one year.

Other provisions are made up as follows:

Staff-related provisions consist mainly of provisions for profit-sharing, bonuses and other gratuities, holiday and flexitime entitlements and partial early retirement, as well as for early retirement and severance pay obligations. Of these, provisions totalling EUR 2,193 thousand have a term of more than one year.

Provisions for suppliers and customers were made for purchased and unbilled services whose amounts are still uncertain.

The provisions for the return of carbon certificates are made for certificates that have already been used but cannot be returned to the issuing authority until 30 September 2025. Provisions for contingent losses were made for future and not yet realised losses from existing sales and purchase agreements. Miscellaneous other provisions include provisions for recultivation obligations that cover the forecast expenses for the demolition of buildings and recultivation of land used for operations as well as demolition obligations at former production sites. Of these, provisions totalling EUR 1,264 thousand have a term of more than one year.

Other provisions

in EUR thousands	As of 29/2/2024	Currency effects	Addition	Usage	Reversal	As of 28/2/2025
Litigation risks and risk provisions	82,336	0	3,268	– 2,681	0	82,923
Staff-related provisions	37,441	58	6,753	– 9,568	– 667	34,017
Provisions for suppliers and customers	13,438	1	20,761	– 11,996	– 1,442	20,762
Provisions for return of carbon certificates	0	103	12,783	0	0	12,886
Provisions for contingent losses	1,716	0	4,754	– 945	– 11	5,514
Miscellaneous other provisions	11,228	– 51	3,824	– 6,673	– 564	7,763
Amount in statement of financial position	146,159	111	52,143	– 31,863	– 2,684	163,865

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34. Financial liabilities and cash and cash equivalents

in EUR thousands	2024/2025	Remaining term	
		Up to one year	More than one year
Liabilities to banks	281,552	207,602	73,950
Lease liabilities	16,964	5,561	11,403
Financial liabilities	298,516	213,163	85,353
Securities	0		
Cash and cash equivalents	– 43,791		
Securities and cash and cash equivalents	– 43,791		
Net financial position	254,725		

in EUR thousands	2023/2024	Remaining term	
		Up to one year	More than one year
Liabilities to banks	171,923	91,743	80,180
Lease liabilities	14,295	4,780	9,515
Financial liabilities	186,218	96,523	89,695
Securities	0		
Cash and cash equivalents	– 43,075		
Securities and cash and cash equivalents	– 43,075		
Net financial position	143,143		

In order to secure its access to liquidity, in December 2022 the Nordzucker Group signed a syndicated loan agreement with a term until 20 December 2027 to cover its operations in Europe. This provides the company with access to EUR 350.0 million of credit. The option to increase the existing syndicated loan agreement by EUR 100.0 million was exercised in February 2024 and the term was extended until December 2028. In addition, two further bilateral credit lines were concluded with Norddeutsche Landesbank and DZ-Bank for EUR 50 million each in December 2023 and January 2024 respectively. The Nordzucker Group therefore has access to total credit of EUR 550 million.

Loans of this type include financial covenants that require the Group to maintain agreed financial ratios over the entire term of the loan. The agreed financial ratio of EBITDA to net debt was met on all test dates.

The banks have special rights of cancellation essentially for the following circumstances:

- Failure to comply with financial covenants
- Change of control at the Nordzucker Group
- Failure to comply with obligations to provide information to lenders

Mackay Sugar Limited is financed independently of the syndicated loan for the remainder of the Group. In addition to a maturity loan of AUD 143.8 million with a term expiring in May 2026, MSL also has short-term current account credit lines to cover its seasonal liquidity requirements. These loans are secured by assets. For some of these credit lines, agreed key financial ratios must be complied with (EBITDA to net debt and a minimum volume of net assets).

Of this amount, EUR 111,545 thousand had been drawn down as of the reporting date.

Further details regarding the maturity of non-derivative financial liabilities can be found in Note 41.

35. Trade payables

Trade payables are made up as follows:

in EUR thousands	Trade payables	
	28/2/2025	29/2/2024
Liabilities towards raw material suppliers	378,634	418,895
Other trade payables	191,085	153,559
Amount in statement of financial position	569,719	572,454

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36. Liabilities towards related parties

Liabilities towards related parties are made up as follows:

Liabilities towards related parties

in EUR thousands	28/2/2025	29/2/2024
Liabilities towards joint ventures	5,312	5,494
Liabilities towards other related parties	42,464	34,090
Amount in statement of financial position	47,776	39,584

Liabilities towards other related parties concern in particular Nordzucker Holding AG, which is the majority shareholder of Nordzucker AG, and Union-Zucker Südhannover GmbH, which also holds a stake in Nordzucker AG.

37. Other financial liabilities

Other financial liabilities are made up as follows:

Other financial liabilities

in EUR thousands	28/2/2025	29/2/2024
Negative fair value of derivative financial instruments	46,163	101,293
Miscellaneous financial liabilities	20	2,484
Amount in statement of financial position	46,183	103,777

The decrease in the negative fair value of financial instruments compared with the previous year is primarily attributable to developments in the energy price markets and to exchange rates as of the balance sheet date.

38. Other liabilities

Other liabilities are made up as follows:

Other liabilities

in EUR thousands	28/2/2025	29/2/2024
Outstanding social security contributions	17,436	18,505
Investment grants, subsidies and other support payments	3,338	3,578
Deferrals	6,393	6,459
Advance payments received for orders	96	97
Miscellaneous other liabilities	15,276	19,918
Amount in statement of financial position	42,539	48,557

Liabilities from investment grants, subsidies and other support payments are in connection with government grants awarded for the purchase or production of subsidised property, plant and equipment. They are reversed through the income statement over the useful life of the subsidised assets.

Within miscellaneous other liabilities, there was a year-on-year decrease in liabilities from value added taxes and liabilities to banks in connection with derivative transactions in particular.

Notes to the consolidated cash flow statement

39. Components of cash and cash equivalents

Cash and cash equivalents in the cash flow statement comprise all cash and cash equivalents in the statement of financial position (i. e. cash in hand, cheques and bank balances) which can be converted into cash at any time and are only subject to insignificant fluctuations in value, provided that they are available for use within three months. Cash is not subject to any restrictions on availability.

40. Other disclosures regarding the cash flow statement

There were no significant non-cash transactions for investing and financing purposes in the reporting period and the comparative period.

40.1 Cash inflow/outflow from operating activities

The cash inflow/outflow from operating activities decreased mainly due to the lower earnings before taxes, which were partially offset by the addition of depreciation and amortisation, the change in working capital, and other non-cash expenses and income, and totalled EUR 169.2 million compared with EUR 307.2 million in the previous year.

The other non-cash expenses and income mainly comprise EUR 71,187 thousand from the loss-free valuation of inventories.

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40.2 Cash inflow/outflow from investing activities

Investments in property, plant and equipment and intangible assets totalled EUR 195.6 (179.8) million. These were mainly attributable to investments to replace existing assets, the fulfilment of official requirements and stipulations, as well as the conversion of equipment in relation to sustainable energy use.

40.3 Cash inflow/outflow from financing activities

In July 2024, the Annual General Meeting of Nordzucker AG resolved to pay a dividend of EUR 2.00 (1.20) per share. Consequently, profit distributions in the current 2024/2025 financial year totalled EUR 99.4 (59.3) million.

The cash flow statement shows borrowings of EUR 110.3 (0) million and loan repayments, including lease liabilities, of EUR 0 (66.7) million.

Other disclosures

41. Measurement at fair value

The following tables show the carrying amounts and fair values of the financial assets and liabilities. The relevant measurement categories pursuant to IFRS 9 Financial Instruments and the relevant levels of the fair value hierarchy for determining fair value pursuant to IFRS 13 Fair Value Measurement are also presented:

Fair value hierarchy for assets

in EUR thousands	Measurement category in accordance with IFRS 9	Measurement in accordance with IFRS 9				
		Carrying amount 28/02/2025	Fair value 28/02/2025	of which level 1	of which level 2	of which level 3
Non-current assets						
Other financial investments	FA_AC	30,802	30,802	0	0	0
Other financial investments	FA_FVOCI	23,574	23,574	0	0	23,574
Non-current financial assets (derivative financial instruments)		7,640	7,640	2,304	5,336	0
Derivatives for hedging against exchange rate risks (sugar sale price)	FA_FVOCI	38	38	0	38	0
Derivatives for hedging against risks related to sugar sales	FA_FVOCI	2,304	2,304	2,304	0	0
Derivatives for hedging against risks related to the procurement of energy (gas, oil)	FA_FVOCI	5,267	5,267	0	5,267	0
Derivatives for hedging against interest rate risks	FA_FVOCI	31	31	0	31	0
Derivatives for hedging against exchange rate risks (sugar sale price)	FA_FVPL	1	1	0	1	0
Current assets						
Trade receivables	FA_AC	295,877	295,877	0	0	0
Receivables from related parties	FA_AC	2,667	2,667	0	0	0
Current financial assets (derivative financial instruments)		103,067	103,067	6,729	33,144	0
Derivatives for hedging against exchange rate risks (sugar sale price)	FA_FVOCI	157	157	0	157	0
Derivatives for hedging against risks related to sugar sales	FA_FVOCI	6,729	6,729	6,729	0	0
Derivatives for hedging against risks related to the procurement of energy (gas, oil)	FA_FVOCI	12,214	12,214	0	12,214	0
Derivatives for hedging against exchange rate risks (sugar sale price)	FA_FVPL	2,817	2,817	0	2,817	0
Derivatives for hedging against exchange rate risks (beet purchasing)	FA_FVPL	2,876	2,876	0	2,876	0
Derivatives for hedging against exchange rate risks (internal Group financing)	FA_FVPL	10,683	10,683	0	10,683	0
Derivatives for hedging against risks related to sugar sales (accumulator/sugar options)	FA_FVPL	4,396	4,396	0	4,396	0
Other financial assets	No category	6,331	6,331	0	0	0
Insurance claims/claims for damages	FA_AC	13,073	13,073	0	0	0
Cash and cash equivalents	FA_AC	43,791	43,791	0	0	0
Total financial assets		463,627	463,627	9,032	38,480	23,574

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in EUR thousands	Measurement in accordance with IFRS 9					
	Measurement category in accordance with IFRS 9	Carrying amount 28/2/2025	Fair value 28/2/2025	of which level 1	of which level 2	of which level 3
Non-current liabilities		100,217	100,217	0	0	0
Financial liabilities		85,353	85,353	0	0	0
Liabilities to banks	FL_AC	73,950	73,950	0	0	0
Lease liabilities	Measurement in accordance with IFRS 16	11,403	11,403	0	0	0
Liabilities towards related parties	FL_AC	5,313	5,313	0	0	0
Non-current financial liabilities (derivative financial instruments)		9,551	9,551	0	3,413	6,118
Derivatives for hedging against exchange rate risks (sugar sale price)	FL_FVOCI	39	39	0	39	0
Derivatives for hedging against risks related to sugar sales	FL_FVOCI	2,025	2,025	0	2,025	0
Derivatives for hedging against risks related to the procurement of energy (gas, oil)	FL_FVOCI	1,113	1,113	0	1,113	0
Derivatives for hedging against interest rate risks	FL_FVOCI	236	236	0	236	0
Derivatives for hedging against exchange rate risks (sugar sale price)	FL_FVPL	0	0	0	0	0
Derivatives for hedging against risks related to the procurement of energy (PPA)	FL_FVPL	6,118	6,118	0	0	6,118
Other financial assets	No category	20	20	0	0	0
Current liabilities		861,978	861,978	3,522	31,561	0
Financial liabilities						
Liabilities to banks	FL_AC	207,602	207,602	0	0	0
Lease liabilities	Measurement in accordance with IFRS 16	5,561	5,561	0	0	0
Trade payables	FL_AC	569,719	569,719	0	0	0
Liabilities towards related parties	FL_AC	42,464	42,464	0	0	0
Current financial liabilities (derivative financial instruments)		36,632	36,632	3,522	31,561	0
Derivatives for hedging against exchange rate risks (sugar sale price)	FL_FVOCI	1,390	1,390	0	1,390	0
Derivatives for hedging against risks related to sugar sales	FL_FVOCI	7,801	7,801	0	7,801	0
Derivatives for hedging against risks related to the procurement of energy (gas, oil)	FL_FVOCI	599	599	0	599	0
Derivatives for hedging against exchange rate risks (sugar sale price)	FL_FVPL	4,693	4,693	0	4,693	0
Derivatives for hedging against exchange rate risks (beet purchasing)	FL_FVPL	45	45	0	45	0

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	Measurement category in accordance with IFRS 9	Carrying amount 28/2/2025	Fair value 28/2/2025	of which level 1	of which level 2	of which level 3
Derivatives for hedging against exchange rate risks (internal Group financing)	FL_FVPL	17,033	17,033	0	17,033	0
Derivatives for hedging against risks related to sugar sales (accumulator/sugar options)	FL_FVPL	3,522	3,522	3,522	0	0
Financial liabilities	No category	1,549	1,549	0	0	0
Total financial liabilities		962,195	962,195			
of which aggregated by measurement category in accordance with IFRS 9						
Financial assets FA_AC		386,210	386,210			
Financial assets FA_FVOCI		50,313	50,313			
Financial assets FA_FVPL/FL_FVPL		20,773	20,773			
No measurement category		6,331	6,331			
Financial liabilities FL_AC		899,048	899,048			
Financial liabilities FL_FVOCI		13,203	13,203			
Financial liabilities FL_FVPL/FL_FVPL		31,410	31,410			
Measurement in accordance with IFRS 16		16,964	16,964			
No measurement category		1,569	1,569			

Fair value hierarchy for assets

in EUR thousands	Measurement in accordance with IFRS 9					
	Measurement category in accordance with IFRS 9	Carrying amount 29/2/2024	Fair value 29/2/2024	of which level 1	of which level 2	of which level 3
Non-current assets						
Other financial investments	FA_AC	21,141	21,141	0	0	0
Other financial investments	FA_FVOCI	23,655	23,655	0	0	23,655
Non-current financial assets (derivative financial instruments)		292	292	0	292	0
Derivatives for hedging against risks related to the procurement of energy (gas, oil)	n/a	292	292	0	292	0
Current assets						
Trade receivables	FA_AC	382,916	382,916	0	0	0
Receivables from related parties	FA_AC	660	660	0	0	0

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in EUR thousands	Measurement in accordance with IFRS 9					
	Measurement category in accordance with IFRS 9	Carrying amount 29/2/2024	Fair value 29/2/2024	of which level 1	of which level 2	of which level 3
Current financial assets (derivative financial instruments)		43,661	43,661	13,700	24,955	0
Insurance claims/claims for damages	FA_AC	5,005	5,005	0	0	0
Derivatives for hedging against risks related to the procurement of energy (gas, oil)	n/a	319	319	0	319	0
Derivatives for hedging against risks related to sugar sales	n/a	6,820	6,820	6,820	0	0
Derivatives for hedging against risks related to the procurement of energy (carbon certificates)	FA_FVPL	6,880	6,880	6,880	0	0
Derivatives for hedging against interest rate risks	n/a	1,318	1,318	0	1,318	0
Derivatives for hedging against exchange rate risks	n/a	122	122	0	122	0
Derivatives for hedging against exchange rate risks	FA_FVPL	23,196	23,196	0	23,196	0
Financial assets	No category	16,787	16,787	0	0	0
Cash and cash equivalents	FA_AC	43,075	43,075	0	0	0
Total financial assets		532,187	532,187			

Fair value hierarchy for liabilities

in EUR thousands	Measurement in accordance with IFRS 9					
	Measurement category in accordance with IFRS 9	Carrying amount 29/2/2024	Fair value 29/2/2024	of which level 1	of which level 2	of which level 3
Non-current liabilities		124,595	124,595	0	0	0
Financial liabilities		89,696	89,696	0	0	0
Liabilities to banks	FL_AC	80,181	80,181	0	0	0
Lease liabilities	Measurement in accordance with IFRS 16	9,515	9,515	0	0	0
Liabilities towards related parties	FL_AC	5,443	5,443	0	0	0
Non-current financial liabilities (derivative financial instruments)		29,456	29,456	11,647	11,508	6,301
Derivatives for hedging against risks related to the procurement of energy (gas, oil)	n/a	11,486	11,486	0	11,486	0
Derivatives for hedging against risks related to sugar sales	n/a	11,647	11,647	11,647	0	0
Derivatives for hedging against risks related to the procurement of energy (PPA)	FL_FVPL	6,301	6,301	0	0	6,301
Derivatives for hedging against interest rate risks	n/a	22	22	0	22	0

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Fair value hierarchy for liabilities

in EUR thousands	Measurement in accordance with IFRS 9					
	Measurement category in accordance with IFRS 9	Carrying amount 29/2/2024	Fair value 29/2/2024	of which level 1	of which level 2	of which level 3
Current liabilities		775,354	775,354	0	0	0
Financial liabilities						
Liabilities to banks	FL_AC	91,743	91,743	0	0	0
Lease liabilities	Measurement in accordance with IFRS 16	4,780	4,780	0	0	0
Trade payables	FL_AC	572,454	572,454	0	0	0
Liabilities towards related parties	FL_AC	34,141	34,141	0	0	0
Current financial liabilities (derivative financial instruments)		72,236	72,236	25,561	46,675	0
Derivatives for hedging against risks related to the procurement of energy (gas, oil)	n/a	20,572	20,572	0	20,572	0
Derivatives for hedging against risks related to the procurement of energy (carbon certificates)	n/a	677	677	0	677	0
Derivatives for hedging against risks related to sugar sales	n/a	25,561	25,561	25,561	0	0
Derivatives for hedging against exchange rate risks	n/a	116	116	0	116	0
Derivatives for hedging against exchange rate risks	FL_FVPL	24,153	24,153	0	24,153	0
Derivatives for hedging sales prices/accumulator	FL_FVPL	1,157	1,157	0	1,157	0
Total financial liabilities		899,948	899,948			
of which aggregated by measurement category in accordance with IFRS 9						
Financial assets FA_AC		452,797	452,797			
Financial assets FA_FVOCI		32,526	32,526			
Financial assets FA_FVPL/FL_FVPL		30,077	30,077			
No measurement category		16,787	16,787			
Financial liabilities FL_AC		783,962	783,962			
Financial liabilities FL_FVOCI		70,081	70,081			
Financial liabilities FL_FVPL/FL_FVPL		31,612	31,611			
No measurement category/measurement in accordance with IFRS 16		14,295	14,295			

In accordance with IFRS 9, financial instruments are defined as contracts that give rise to financial assets of one entity and financial liabilities of another entity.

Accordingly, financial assets and financial liabilities are assigned to one of the following three measurement categories:

- Financial asset at cost/**FA_AC** or financial liability at cost/**FL_AC**

- Financial asset – Fair value through profit and loss/**FA_FVPL** or Financial liability – Fair value through profit and loss/**FL_FVPL**

- Financial asset – Fair value through other comprehensive income / **FA_FVOCI** or Financial liability - Fair value through other comprehensive income/**FL_FVOCI**.

Financial assets and financial liabilities are classified on the basis of the Nordzucker Group's business model for managing financial assets/liabilities and the characteristics of the contractual cash flows.

The financial instruments recognised at cost are mainly non-derivative financial instruments such as trade receivables and payables, contract assets, other receivables and financial assets, other financial liabilities, financing liabilities as well as cash and cash equivalents.

The financial assets and liabilities recognised at fair value through profit or loss are stand-alone derivatives for hedging price risks for sugar (accumulators), for energy (power purchase agreements for renewable energy) and for hedging currency risks.

Financial assets and liabilities are recognised at fair value through other comprehensive income if they are part of an effective hedging relationship and hedge accounting is applied. These concern the hedging of price risks for sugar, energy, carbon certificates and interest rate risks. The investments in Sugar Terminals Limited and Racecourse Projects Pty Ltd are also reported here. The fair values have been calculated approximately on the basis of the pro rata ownership share of the company's net assets.

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The measurement of financial assets and liabilities is made in accordance with the availability of relevant information on the basis of the three levels of the fair value hierarchy detailed in IFRS 7 and IFRS 13. The measurement levels are subdivided hierarchically according to their input factors:

Level 1: quoted (unadjusted) market prices in active markets for identical assets or liabilities,

Level 2: inputs other than quoted market prices that are observable for the asset or liability, either directly (as prices) or indirectly (derived from prices),

Level 3: input factors used that are not based on observable market data for the measurement of the asset or liability.

The market values of sugar futures traded on liquid markets are determined on the basis of prices quoted on the reference date (measurement level 1).

For the market values of the energy price hedges and accumulators, the measurement by the counterparty is based on prices derived from market prices used on active gas markets (measurement level 2).

Currency forwards are measured on the basis of reference rates, taking into account forward premiums and discounts (measurement level 2).

Interest rate derivatives entered into are exclusively interest rate swaps. The market values of these interest rate hedges were determined on the basis of discounted expected future cash flows (measurement level 2).

In the case of stand-alone derivatives for power purchase agreements, the fair values are determined on the basis of measurement factors whose influencing factors are not based solely on observable market data (measurement level 3).

The net gains or net losses by measurement category (IFRS 9) are as follows:

Net gains or losses from financial instruments

in EUR thousands	1/3/2024 – 28/2/2025	1/3/2023 – 29/2/2024
Financial assets measured at amortised cost (FA_AC)	6,110	5,712
Financial assets measured at fair value through other comprehensive income (FA_FVOCI)	– 8,348	– 143,870
Financial assets/liabilities measured at fair value through profit or loss (FA_FVPL/FL_FVPL)	4,246	20,822
Financial liabilities measured at amortised cost (FL_AC)	– 14,655	– 13,404
Total	– 12,647	– 130,740

The net income from financial assets measured at amortised cost includes impairments on receivables, interest from receivables and loans granted, as well as gains or losses from currency translation for receivables. Impairments on receivables and gains or losses from currency translation for receivables are recognised in the income statement under “Other income” or “Other expenses”. Interest from receivables and loans granted is presented under “Financial income”.

Sensitivities of the input factors on fair value for power purchase agreements

Assessment method	Material observable measurement factors	Mean	Sensitivities of the input factors on fair value as of 28/2/2025
DCF method	Quantity	Wind: 30.54 GWh Solar: 130.62 GWh	Increase of 10% would result in a reduction in fair value of EUR 86,233.72 (wind) and EUR 525,523.29 (solar). Decrease of 10% would result in an increase in fair value of EUR 86,233.72 (wind) and EUR 525,523.29 (solar).
DCF method	Capture price	Wind: 76.63 EUR/MWh Solar: 38.72 EUR/MWh	Increase of 10% would result in an increase in fair value of EUR 218,764.38 (wind) and EUR 419,899.44 (solar). Decrease of 10% would result in a reduction in fair value of EUR 218,764.38 (wind) and EUR 420,534.01 (solar).
DCF method	Interest rate	Wind: 1.97% Solar: 2.07%	Increase of 100 bps would result in an increase in fair value of EUR 14,124.76 (wind) and EUR 242,532.93 (solar). Decrease of 100 bps would result in a reduction in fair value of EUR 14,124.76 (wind) and EUR 257,447.65 (solar).

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The net income from financial assets measured at fair value through other comprehensive income includes dividends, which are recognised in the income statement under “Financial income” or “Financial expenses”.

Changes in the market value of derivative financial instruments are recognised under financial assets/liabilities measured at fair value through profit or loss. They are presented in the income statement under “Other operating income” or “Other operating expenses”, and also under “Revenues” and “Production costs” if hedge accounting is applied.

Interest on loans received is recognised within “Financial liabilities measured at amortised cost”. This is presented in the income statement under “Financial expenses”.

Within the income statement, the “Financial income” and “Financial expenses” items include interest income of EUR 5,391 (5,398) thousand and interest expenses of EUR 14,654 (13,404) thousand from financial instruments not measured at fair value through profit and loss.

No interest income was received from impaired financial assets in the reporting period or in the comparative period.

42. Risk management of financial instruments

42.1 General remarks

The Nordzucker Group is exposed to potential risks such as credit risks (default and creditworthiness risks) and various market price risks on account of its business activities. In terms of operations, this mainly relates to commodity price risks from sugar and ethanol sales, as well as energy price risks from the purchase of energy sources and the currency risk associated with sales and procurement. In terms of financing, there are similar price risks for interest rates and exchange rates. The following sections describe the management of these risks.

The Group also uses hedging instruments, the use of which is subject to Group-wide rules and guidelines.

Further explanations on the risks presented below and on risk management can be found in the opportunity and risk report in the Group management report.

42.2 Default risks

The default risks on trade receivables, contract assets or other financial assets include the risk that outstanding receivables are settled late or become irrecoverable if a customer or other contracting party fails to fulfil their contractual obligations. The sum of the positive carrying amounts of financial assets is equal to the maximum default risk of the Nordzucker Group.

Trade receivables

As part of its risk management strategy, the Nordzucker Group has put in place the following processes to reduce the default risk of trade receivables/loans:

- Credit checks for new customers and ongoing credit checks for existing customers
- Conclusion of commercial credit insurance per customer under an international credit insurance programme, supplemented where necessary by additional collateral such as bank guarantees
- Automatic credit limit checks for every order in the operational systems
- Standardised dunning procedure

Each operational unit is responsible for implementing and monitoring the relevant processes. The Group-wide reporting and controlling system ensures that the responsible decision makers are continually informed.

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For remaining residual risks, expected credit losses for the default risk are calculated at the end of each reporting period (in accordance with the impairment requirements of IFRS 9). The impairment item calculated in this way reduces the respective receivable/loan in the statement of financial position; an impairment expense is recognised in the income statement. If the expected credit losses decrease over time, the impairment item is reduced, while impairment income is simultaneously recognised.

Nordzucker limits the default risk for receivables/loans by obtaining commercial credit insurance. Since this type of insurance is taken into account when calculating expected credit losses in accordance with IFRS 9, the expected credit loss for each individual item is usually extremely low. For information on the development of impairment losses on trade receivables and their terms, please refer to Note 28.

Liquidity surpluses/derivatives

In the area of finance, counterparty risks exist when liquidity surpluses are invested and derivatives are held. The Nordzucker Group selects banks as business partners and pays particular attention here to their short-term rating in conjunction with their long-term rating.

42.3 Liquidity risk and liquidity management

Liquidity risk is the risk that the company cannot meet its payment obligations at the contractually agreed time. To ensure the Nordzucker Group's liquidity, its liquidity needs are monitored and planned centrally. Sufficient cash and short-term credit lines are readily available to meet all obligations when they are due.

Within the Nordzucker Group, Nordzucker AG in particular possesses the financing framework of the syndicated loan. The cash requirements of the European Group companies are predominantly covered by Nordzucker AG and, in association, by corresponding cash pooling agreements. The Australian Group subsidiary MSL has its own credit line, which it uses to finance itself. In addition, Nordzucker AG has a shareholder loan which could also be used for financing purposes as of the reporting date.

Liquidity planning is integrated into corporate planning and takes account of seasonal financing requirements due to the sugar campaign. Corporate planning is updated during the year by means of forecast planning, and strategic financial planning is part of the Nordzucker Group's five-year planning. In order to be able to cover seasonal liquidity requirements and payment obligations at short notice, credit facilities are available from the syndicated loan and bilateral credit lines, which are based on the maximum demand plus headroom (see also Note 34).

The following table shows contractually agreed (undiscounted) interest and capital repayments – also categorised by remaining term – for the non-derivative financial liabilities and for derivative financial instruments.

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Payments from financial instruments by remaining term

in EUR thousands	Carrying amount	Gross inflow / outflow	Remaining term of up to one year	Remaining term of one to five years	Remaining term of more than five years
As of 28/2/2025					
Financial liabilities	298,516	- 307,609	- 221,984	- 83,062	- 2,563
Liabilities to banks	281,552	- 287,699	- 215,497	- 72,202	0
Lease liabilities	16,964	- 19,910	- 6,487	- 10,860	- 2,563
Trade payables	569,719	- 569,719	- 569,719	0	0
Other financial liabilities, liabilities towards related parties	47,777	- 47,777	- 42,464	- 5,313	0
Derivative financial liabilities	44,613	- 44,613	- 35,083	- 3,413	- 6,118
Derivative financial liabilities – payments made related to the procurement of energy (gas, oil)	1,712	- 1,712	- 599	- 1,113	0
Derivative financial liabilities – payments made related to the hedging of energy procurement (PPAs)	6,118	- 6,118	0	0	- 6,118
Derivative financial liabilities – payments made related to the hedging of sugar sales	13,348	- 13,348	- 11,322	- 2,025	0
Derivative financial liabilities – payments made related to the hedging of interest rate risks	236	- 236	0	- 236	0
Derivative financial liabilities – payments made related to the hedging of exchange rate risks	23,201	- 23,201	- 23,161	- 39	0
Derivative financial assets	- 60,585	60,585	52,945	7,640	0
Derivative financial assets – cash inflows related to the procurement of energy (gas, oil)	- 17,481	17,481	12,214	5,267	0
Derivative financial assets - cash inflows related to the hedging of sugar sales	- 13,428	13,428	11,124	2,304	0
Derivative financial assets – cash inflows related to the hedging of exchange rate risks	- 16,572	16,572	16,534	39	0
Derivative financial assets – cash inflows related to the hedging of interest rate risks	- 31	31	0	31	0
Other financial assets – cash inflows from insurance payouts	- 13,073	13,073	13,073	0	0
Total	900,040	- 909,133	- 816,304	- 84,148	- 8,680

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Payments from financial instruments by remaining term

in EUR thousands	Carrying amount	Gross inflow / outflow	Remaining term of up to one year	Remaining term of one to five years	Remaining term of more than five years
As of 29/2/2024					
Financial liabilities	186,218	- 210,638	- 97,653	- 110,408	- 2,577
Liabilities to banks	171,923	- 194,010	- 92,145	- 101,865	0
Lease liabilities	14,295	- 16,628	- 5,508	- 8,543	- 2,577
Trade payables	572,454	- 572,454	- 572,454	0	0
Other financial liabilities, liabilities towards related parties	39,584	- 39,584	- 34,141	- 5,443	0
Derivative financial liabilities	101,692	- 101,692	- 72,236	- 23,155	- 6,301
Derivative financial liabilities – payments made related to the procurement of energy (gas, oil)	32,058	- 32,058	- 20,572	- 11,486	0
Derivative financial liabilities – payments made related to the procurement of energy (carbon certificates)	677	- 677	- 677	0	0
Derivative financial liabilities – payments made related to the procurement of energy (PPAs)	6,301	- 6,301	0	0	- 6,301
Derivative financial liabilities – payments made related to the hedging of sugar sales	38,364	- 38,364	- 26,717	- 11,647	0
Derivative financial liabilities – payments made related to the hedging of interest rate risks	22	- 22	0	- 22	0
Derivative financial liabilities – payments made related to the hedging of exchange rate risks	24,270	- 24,270	- 24,270	0	0
Derivative financial assets	- 38,952	38,952	38,660	292	0
Derivative financial assets – cash inflows related to the procurement of energy (gas, oil)	- 611	611	319	292	0
Derivative financial assets – cash inflows related to the hedging of sugar sales	- 13,822	13,822	13,822	0	0
Derivative financial assets – cash inflows related to the hedging of interest rate risks	- 1,318	1,318	1,318	0	0
Derivative financial assets – cash inflows related to the hedging of exchange rate risks	- 23,196	23,196	23,196	0	0
Other financial assets – cash inflows from insurance payouts	- 4	4	4	0	0
Total	860,997	- 885,417	- 737,824	- 138,714	- 8,878

The analysis of remaining terms includes all instruments held for which payments have been contractually agreed as of the end of the reporting period. Floating-rate interest payments on financial instruments are determined using the last interest rates set before the end of the reporting period. Financial liabilities repayable at any time are categorised in accordance with the remaining term according to their estimated repayment dates.

42.4 Market risks/Management of price risks

Management of price risks covers the areas of exchange rates and changes to interest rates and commodity prices. Details about risks and their management in relation to the aforementioned sub-areas are explained in more detail below.

Exchange rate risk

Exchange rate risks exist due to the international focus of the Nordzucker Group, which carries out business activities that are not part of the eurozone. As such, both the operating business and the financial result as well as cash flows are exposed to risks from exchange rate fluctuations.

The exchange rate risk arises in the operating business when revenues or the cost of materials or goods are incurred in a currency other than the Group currency, the Euro. The exchange rate risk in the net financial income results primarily from the internal Group financing of subsidiaries that have a different national currency.

Currency management

The aim of currency management is to reduce exchange rate risks. The Corporate Finance department decides on the nature and scope of operational currency hedging in coordination with central Group Sales and Group Procurement. The natural hedge approach is used to hedge operating exchange rate risks. Hedging is also carried out through the targeted use of derivatives in the form of foreign currency forwards.

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Sensitivity analysis

The sensitivity analysis shows the effects on the consolidated net income and consolidated equity before taxes if the foreign currency receivables and liabilities existing as of the balance sheet date had to be translated at different exchange rates.

The currency exposure is equal to the net amount of financial receivables and liabilities that are exposed to exchange rate risks. These comprise in particular trade receivables and trade payables, as well as financing activities and include internal Group balances. This analysis does not include currency hedges; an excess of liabilities is shown as a negative amount.

Sensitivity analysis: currencies

in EUR thousands 28/2/2025	Exposure		Sensitivity (+)		Sensitivity (-)	
	2024/2025	2023/2024	2024/2025	2023/2024	2024/2025	2023/2024
USD	21,259	16,379	- 1,933	- 1,297	2,362	1,591
EUR	63,382	69,295	- 5,762	- 6,097	7,042	7,452
PLN	148,855	129,471	- 13,532	- 11,770	16,539	14,386
SEK	50,756	95,735	- 4,614	- 8,703	5,640	10,637
AUD	39,365	42,583	- 3,579	- 3,871	4,374	4,731
NZD	24,608	25,858	- 2,237	- 2,351	2,734	2,873
Other currencies	9,284	11,806	- 844	- 1,073	1,032	1,312

Foreign currency positions in Danish kroner are only exposed to an insignificant exchange rate risk, as the country is part of the European Union's exchange rate mechanism, and are therefore not analysed.

The effects are determined by applying a hypothetical change of +/-10% in the exchange rates to the amount of the relevant items in foreign currencies (the net risk position in the foreign currency) as of the end of the reporting period. It is assumed that the exposure at the end of the reporting period is representative of the whole reporting period.

The table below shows the currency exposure and the hypothetical impact on consolidated income before taxes as income (+) or expense (-).

Interest rate risk

Due to its borrowing activities, the Nordzucker Group is exposed to interest rate risk arising from variable-interest financial liabilities and cash investments. These interest rate risks are associated with liquidity fluctuations typical during the campaign season or with existing or planned variable-interest borrowing.

Interest risk management

The Nordzucker Group secures its liquidity requirements primarily through a syndicated loan and bank loans at the regional level. Details can be found in Note 36.

Derivative financial instruments such as interest rate swaps are used to a limited extent for risk management purposes (currently only at MSL).

Sensitivity analysis

A hypothetical change of one percentage point in the interest rates applicable to the variable interest-bearing instruments would have led to an increase in interest expenses as shown in the table below, based on the variable interest-bearing liabilities to banks as of 28 February 2025 and excluding interest rate swaps. A drop in market interest rates correspondingly leads to a reduction in the interest expense.

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Sensitivity analysis: interest rates

	2024/2025			2023/2024		
	Total	of which at variable interest rates	Effect from interest rate sensitivity	Total	of which at variable interest rates	Effect from interest rate sensitivity
in EUR thousands						
Liabilities to banks	281,552	281,552	– 2,816	171,923	171,923	– 1,719

Risks resulting from commodity prices

In terms of operations, the Nordzucker Group is exposed to significant price risks on the sales and procurement side due to volatile prices on the commodity markets, which relate in particular to changes in the world sugar market price and prices for energy sources, as well as the associated carbon emissions.

Management of commodity prices

The basis for risk-appropriate handling of these risks is the standardised and continuous monitoring of risk exposures and changes in risk, differentiated according to exposure for sugar, bioethanol and energy. Current developments are regularly presented and discussed by the Heads of Sales, Procurement and Corporate Finance. A decision is then made on the specific risk hedging according to the defined hedging strategy. The hedging ratios are tracked on an ongoing basis by means of regular reports.

Sugar sales and the associated exchange rate risks, as well as the purchase of energy were identified as significant sources of risk in the Nordzucker Group. Further details are provided in the following section on derivative financial instruments.

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Derivative instruments for hedging price risks

The Nordzucker Group uses typical derivative instruments (OTC and exchange-cleared transactions) to hedge exchange rate, interest rate and commodity price risks arising from operating activities and from financing activities. Commodity derivatives such as sugar futures and derivatives on gas and oil futures are used in operations. Financial risks

are hedged by means of typical currency forwards and interest rate swaps (MSL only). These instruments are used within the framework of the existing rules and in compliance with the limits set by the Executive Board. This also serves to exclude over-hedging. The following table shows the standardised volumes and market values of the derivative instruments as of the respective reporting date:

With regard to interest rate, exchange rate and energy derivatives (OTC derivatives), the Nordzucker Group is exposed to a credit risk in the event of positive market values. Credit risks are limited by only entering into derivatives with banks and partners with excellent credit ratings. Derivatives (such as sugar derivatives) entered into on futures exchanges do not give rise to any credit risks.

Nominal volumes and market values of derivative instruments

in EUR thousands 28/2/2025	Nominal volumes		Positive market values		Negative market values	
	2024/2025	2023/2024	2024/2025	2023/2024	2024/2025	2023/2024
Currency forwards	140,608	62,925	195	122	1,430	116
Commodity derivatives – sugar sale prices	278,185	263,115	9,032	6,820	9,826	37,207
Commodity derivatives – energy procurement prices	155,136	119,209	17,481	611	1,712	32,058
CO ₂ derivatives	0	6,297	0	0	0	677
Interest rate derivatives	65,707	65,931	31	1,318	236	22
Total in cash flow hedges	639,636	517,477	26,739	8,871	13,203	70,080
Currency forwards	1,301,232	1,736,708	16,377	23,196	21,771	24,153
Commodity derivatives – sugar sale prices	9,125	44	4,396	6,880	3,522	1,157
Commodity derivatives – energy procurement prices (PPA)	0	0	0	0	6,118	6,301
Total freestanding derivatives	1,310,357	1,736,753	20,773	30,077	31,410	31,612
Total	1,949,993	2,254,230	47,512	38,948	44,613	101,692
of which change in equity	639,636	517,477	26,739	8,871	13,203	70,080
of which change in earnings before income taxes	1,310,357	1,736,753	20,773	30,077	31,410	31,612

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Sensitivity analysis

The following table (sensitivity) shows how the market value of the derivatives held as of 28 February 2025 would change in the event of a 10-percentage-point reduction or increase in the market interest rate, a 10% appreciation or depreciation of the currencies under consideration against the Euro and a 10% reduction or increase in the prices for sugar or energy.

An appreciation or depreciation of one per cent was used to calculate the interest rate sensitivity. Depending on the inclusion in a hedging relationship, a change would have affected equity and, with no hedging relationship, would have affected earnings before income taxes as shown in the following table

Sensitivity of derivatives

in EUR thousands 28/2/2025	Net market values		Change in market price		Change in FX EUR:USD	
			Δ Market value Sensitivity (+)	Δ Market value Sensitivity (–)	Δ Market value Sensitivity (+)	Δ Market value Sensitivity (–)
	2024/2025	2023/2024	2024/2025	2024/2025	2024/2025	2024/2025
Currency forwards	– 1,430	– 116	– 1,043	– 1,261	0	0
Commodity derivatives – sugar sale prices	– 9,826	– 37,207	– 21,032	22,951	1,505	292
Commodity derivatives – energy procurement prices	– 1,712	– 32,058	33,244	– 866	– 3	3
CO ₂ derivatives	0	– 677	0	0	0	0
Interest rate derivatives	– 236	– 22	– 82	– 364	– 49	– 217
Total in cash flow hedges	– 13,203	– 70,080	11,087	20,461	1,453	78
Currency forwards	– 21,771	– 24,153	8,968	– 23,747	0	0
Commodity derivatives – sugar sale prices	– 3,522	– 1,157	– 6,551	2,801	4,007	– 8,282
Commodity derivatives – energy procurement prices (PPA)	– 6,118	– 6,301	639	– 639	0	0
Total freestanding derivatives	– 31,410	– 31,612	3,055	– 21,585	4,007	– 8,282
Total	– 44,613	– 101,692	14,143	– 1,125	5,460	– 8,204
of which change in equity	– 13,203	– 70,080	11,087	20,461	1,453	78
of which change in earnings before income taxes	– 31,410	– 31,612	3,055	– 21,585	4,007	– 8,282

In particular, commodity derivatives and in some cases currency forwards (MSL only) are also recognised as hedging relationships using cash flow hedge accounting, with the main characteristics of the underlying and hedging transactions being the same and therefore offsetting each other in terms of value. Changes in the value of these

hedging instruments are initially recognised directly in equity without affecting income and are only recognised in revenue for sales transactions, or in the cost of materials for procurement transactions, at the time the underlying transaction affects profit or loss.

43. Related party transactions

For the Nordzucker Group, related parties within the meaning of IAS 24 are individuals and companies which control the Group or exercise significant influence over it or are controlled or significantly influenced by the Group or are under common control. The first category includes the active members of the Executive Board and Supervisory Board at Nordzucker AG and its majority shareholder Nordzucker Holding AG and their relatives. In addition, the subsidiaries, parent company, joint ventures and associated companies of the Nordzucker Group are defined as related parties.

The supply of sugar beet, animal feed, seed, carbolime and fertilizer in particular is associated with supply and service agreements with the affiliated persons listed above, which result in receivables from and liabilities to related parties. The value of goods and services supplied in the reporting period amounted to less than one per cent of manufacturing costs, as did the outstanding items as of the reporting date. All transactions are agreed at standard market conditions. Receivables from and liabilities towards related parties are based on arm's length transactions.

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The following commercial relationships existed with related parties in addition to those existing with fully consolidated subsidiaries:

Related party transactions

in EUR thousands	28/2/2025	29/2/2024
Statement of financial position		
Receivables from related parties	2,667	660
Liabilities towards related parties	47,776	39,583
Income statement		
Services provided to related parties	90	90
Net financial result	11,182	9,961

In the period under review and in the previous year, receivables from related parties in the amount of EUR 2,667 (660) thousand were owed mainly by August Töpfer Zuckerhandelsgesellschaft mbH & Co. KG.

Of the liabilities towards related parties in the reporting period, EUR 12,582 thousand was owed to Nordzucker Holding AG, Braunschweig, EUR 5,313 thousand to MEF Melasse-Extraktion Frellstedt GmbH, Frellstedt, and EUR 29,434 thousand to Union-Zucker Südhannover GmbH, Nordstemmen. Of the liabilities towards related parties in the comparative period, EUR 9,582 thousand was owed to Nordzucker Holding AG, Braunschweig, EUR 5,443 thousand to MEF Melasse-Extraktion Frellstedt GmbH, Frellstedt, and EUR 24,106 thousand to Union-Zucker Südhannover GmbH, Nordstemmen. There is no reason to recognise impairments for doubtful receivables or write-downs of receivables.

Nordzucker Holding AG and Union Zucker Südhannover GmbH are shareholders of Nordzucker AG; the liabilities relate to loans and current accounts. These bear interest at standard market conditions. The remaining liabilities relate to other related parties and result largely from loans and trade in goods and services.

The net financial result is from associated companies and joint ventures. For information on changes, please refer to Note 24.

44. Contingent liabilities

As of the end of the reporting period and comparative period, there were no contingent liabilities towards third parties outside the Group.

45. Other financial obligations and contingent receivables

The Nordzucker Group's other financial obligations are made up as follows:

Other financial obligations

in EUR thousands	28/2/2025	29/2/2024
Purchase commitments for property, plant and equipment	46,202	72,070
Purchase commitments for intangible assets	1,757	1,117
Queensland subsidy	0	4,229
Total	47,959	77,416

46. Auditors' fees

Companies in the Nordzucker Group purchased services for EUR 990 (960) thousand from PricewaterhouseCoopers GmbH, Wirtschaftsprüfungsgesellschaft, Hannover, and other affiliated group companies in connection with the statutory audit of financial statements for the Nordzucker Group and Nordzucker AG and other services for EUR 523 (152) thousand.

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47. Supervisory Board and Executive Board

In the reporting period, the Supervisory Board was made up as follows:

Supervisory board

Shareholder representatives

Jochen Johannes Juister,
Farmer, Nordhastedt
Chairman

Helmut Bleckwenn,
Farmer, Garmissen
Deputy Chairman

Alexander Heidebroek,
Farmer, Gevensleben

Friedrich Christoph Heins,
Farmer, Uehrde

Eckhard Hinrichs,
Farmer, Wrestedt-Wieren

Christoph Klöpper,
Managing Director of Deutsche Tiernahrung Cremer GmbH & Co. KG,
Hirschberg a. d. Bergstrasse

Henrik Madsen, until 1 October 2024
Chief Commercial Officer Emmelev A/S,
Otterup (DK), Padborg, Denmark

Bernd Schliephacke,
Farmer, Rohrsheim

Oliver Seidl, from 2 October 2024
Independent management consultant /
former CFO of DB Schenker AG, Stuttgart

Dr Carin-Martina Tröltzsch,
Member of the Executive Board of K+S Aktiengesellschaft,
Bad Homburg v.d. Höhe

Grit Worsch,
Chair of the Executive Board of VR PLUS Altmark-Wendland eG,
Woltersdorf

Employee representatives
Sigrun Krussmann,
Laboratory Technician, Seelze
Deputy Chairwoman

Steffen Blümel,
Energy Facility Electrician, Uelzen

Irmhild Börner,
Industrial Manager, Sehnde

Ulf Gabriel,
Electrician, Gronau (Leine)

Olaf Joern,
Mechatronics Engineer, Uelzen

The members of the Executive Board in the reporting period were as follows:

Executive Board

Dr Lars Gorissen,
Braunschweig, Chief Executive Officer

Alexander Bott,
Düsseldorf, Chief Financial Officer

Alexander Godow,
Hannover, Chief Operating Officer

48. Remuneration report

In the following section, the principles of remuneration for members of the Executive Board and Supervisory Board of Nordzucker AG are described and the amount of their remuneration disclosed, together with disclosures on shares held by members of the Executive Board and Supervisory Board.

48.1 Remuneration of the Executive Board

The structure and amount of Executive Board remuneration are determined and regularly reviewed by the full Supervisory Board following a proposal from the Human Resources Committee of the Supervisory Board.

The criteria for determining the remuneration of individual Executive Board members are their responsibilities, personal performance, the economic situation, business success, future prospects, sustainable corporate development and also the extent to which the remuneration is generally accepted considering the sphere of comparison and remuneration structures applicable elsewhere in the company.

The total remuneration of Executive Board members includes monetary payments, benefit commitments and other commitments such as the provision of a company car. The monetary remuneration components consist of a fixed basic annual salary, paid in twelve equal monthly instalments, as well as a variable earnings and performance-related payment. The variable portion, plus any special remuneration, can be up to a maximum of 50 per cent of total compensation (total compensation is made up of the fixed basic annual salary and the variable remuneration, as well as any special remuneration). The variable remuneration paid to Executive Board members is calculated based on several components and taking account of key indicators that are relevant for control purposes as well as strategic objectives. When taking account of the key indicators that are relevant for control purposes, a three-year period is used to ensure that a calculation basis over several years can be formed. The figures for the current financial year are compared with the calculation basis, so that only short-term benefits arise. Furthermore, strategic targets which are related to each Executive Board member's area of responsibility and which contribute to the company's value creation are agreed for each financial year.

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This results in the following remuneration for individual members of the Executive Board for the 2024/2025 reporting period and for the 2023/2024 comparative period:

Remuneration of Executive Board members 2024/2025

in EUR	Cash payments		Pensions	Other ¹	Total
	Fixed salary	Variable annual bonus			
Dr Lars Gorissen	690,000	145,950	125,000	19,759	980,709
Alexander Bott	550,000	85,138	125,000	13,183	773,321
Alexander Godow	550,000	85,138	125,000	25,460	785,598
Total	1,790,000	316,226	375,000	58,402	2,539,628

¹ Monetary benefits in line with tax regulations, e.g. from the provision of company cars etc.

Remuneration of Executive Board members 2023/2024

in EUR	Cash payments		Pensions	Other ¹	Total
	Fixed salary	Variable annual bonus			
Dr Lars Gorissen	690,000	300,000	125,000	19,418	1,134,418
Alexander Bott	540,000	175,000	125,000	12,661	852,661
Alexander Godow	441,667	175,000	125,000	25,236	756,618
Total	1,671,667	650,000	375,000	57,315	2,753,982

¹ Monetary benefits in line with tax regulations, e.g. from the provision of company cars etc.

The members of the Executive Board are assured pension commitments in the form of defined benefit commitments and defined contribution commitments.

No members of the Executive Board received loans or advances from the company in the reporting and comparative period.

Former Executive Board members received pension payments of EUR 875 (930) thousand. Nordzucker AG recognised provisions of EUR 9,955 (9,959) thousand for pension commitments to former Executive Board members.

48.2 Remuneration of the Supervisory Board

The remuneration of the Supervisory Board is based on the size of the company, the duties and responsibilities of the members of the Supervisory Board and the economic situation of the company. The remuneration includes a dividend-related component in addition to a fixed payment. The chairs and deputy chairs of the Supervisory Board and the chairs of committees as well as those participating in them receive additional remuneration (with the exception of the Nomination Committee).

The remuneration of the Supervisory Board is defined in Sec. 12 of the Articles of Association of Nordzucker AG.

In accordance with these rules, members of the Supervisory Board receive fixed remuneration of EUR 27,500 and a dividend-related payment of EUR 50 for every EUR 0.01 of dividend paid out per share on average over the past three years. Subject to approval by the Annual General Meeting, the dividend for the 2024/2025 reporting period will be EUR 0.40 per share (2023/2024 reporting period: EUR 2.00; 2022/2023 reporting period: EUR 1.20). The amount of variable remuneration is limited to the amount of one fixed salary. The Chairman of the Supervisory Board receives 3.0 times the total remuneration, while the Deputy Chairman and chairs of the committees receive 1.6 times the total remuneration. If a member of the Supervisory Board occupies more than one of these positions, the increased rate of remuneration only applies once. For each Supervisory Board committee that they are a member of, committee members received 0.2 times the total remuneration up to a maximum increase rate of 1.4. Membership of the Nomination Committee is an exception to this remuneration framework. In addition, each Supervisory Board member is reimbursed for their expenses with a fixed amount of EUR 1,000, which is increased in accordance with the factors above. Meeting attendance fees are not paid.

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Subject to the approval of the dividend proposal at the Annual General Meeting, the following payments will be made for the 2024/2025 reporting period:

Remuneration of Supervisory Board members 2024/2025

Figures in EUR	Fixed remuneration ¹	Variable remuneration ¹	Fixed expense reimbursement ¹	Total	Factor	Pro rata 1	Pro rata 2	Total remuneration	Total previous year
Jochen Johannes Juister (Chairman)	27,500.00	6,000.00	1,000.00	34,500.00	3.0	365.00	365.00	103,500.00	105,600.00
Helmut Bleckwenn (Deputy Chairman)	27,500.00	6,000.00	1,000.00	34,500.00	1.6	365.00	365.00	55,200.00	56,320.00
Sigrun Krussmann (Deputy Chairwoman)	27,500.00	6,000.00	1,000.00	34,500.00	1.6	365.00	365.00	55,200.00	56,320.00
Steffen Blümel	27,500.00	6,000.00	1,000.00	34,500.00	1.2	365.00	365.00	41,400.00	42,240.00
Irmhild Börner	27,500.00	6,000.00	1,000.00	34,500.00	1.2	125.00	365.00	14,178.08	
				34,500.00	1.4	240.00	365.00	31,758.90	
						365.00	365.00	45,936.99	42,240.00
Dr Karl-Heinz Engel (until 6 July 2023)	0.00	0.00	0.00	0.00	0.0	0.00	365.00	0.00	12,310.38
Ulf Gabriel	27,500.00	6,000.00	1,000.00	34,500.00	1.2	365.00	365.00	41,400.00	42,240.00
Alexander Heidebroek	27,500.00	6,000.00	1,000.00	34,500.00	1.4	365.00	365.00	48,300.00	46,817.92
Friedrich Christoph Heins	27,500.00	6,000.00	1,000.00	34,500.00	1.6	365.00	365.00	55,200.00	56,320.00
Eckhard Hinrichs	27,500.00	6,000.00	1,000.00	34,500.00	1.2	125.00	365.00	14,178.08	
				34,500.00	1.4	240.00	365.00	31,758.90	
						365.00	365.00	45,936.99	42,240.00
Olaf Joern	27,500.00	6,000.00	1,000.00	34,500.00	1.2	365.00	365.00	41,400.00	42,240.00
Christoph Klöpper	27,500.00	6,000.00	1,000.00	34,500.00	1.0	365.00	365.00	34,500.00	22,889.62
Henrik Madsen (until 1 October 2024)	27,500.00	6,000.00	1,000.00	34,500.00	1.2	215.00	365.00	24,386.30	42,240.00
Bernd Schliephacke	27,500.00	6,000.00	1,000.00	34,500.00	1.2	125.00	365.00	14,178.08	
				34,500.00	1.6	240.00	365.00	36,295.89	
						365.00	365.00	50,473.97	46,817.92
Oliver Seidl (since 2 October 2024)	27,500.00	6,000.00	1,000.00	34,500.00	1.2	150.00	365.00	17,013.70	
Dr Carin-Martina Tröltzsch	27,500.00	6,000.00	1,000.00	34,500.00	1.2	365.00	365.00	41,400.00	42,240.00
Grit Worsch	27,500.00	6,000.00	1,000.00	34,500.00	1.4	365.00	365.00	48,300.00	49,280.00
Total	440,000	96,000	16,000					749,548	748,356

¹ Does not include the VAT paid on behalf of Supervisory Board members for their work.

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No members of the Supervisory Board received loans or advances from the company in the reporting and comparative period.

48.3 Shares held by members of the Executive Board and Supervisory Board

Members of the Executive Board hold no significant amounts of shares.

As of 28 February 2025, members of the Supervisory Board and related parties held less than one per cent of the issued share capital of Nordzucker AG. The shares bear no relation to the remuneration of the Supervisory Board.

48.4 Other

Board members of Nordzucker AG are insured by Nordzucker AG against third-party claims as allowed by law.

For this purpose, the company has taken out Group-wide uniform D&O insurance that includes the members of the Boards of Nordzucker AG. The insurance policy is taken out or renewed annually and covers the personal liability of Board members for claims for damages arising in the course of their work.

49. Dividend proposal

The dividends that can be distributed to shareholders are defined in the German Stock Corporation Act (AktG) as the net distributable profit as determined under German commercial law and disclosed in the annual financial statements of Nordzucker AG. The annual financial statements of Nordzucker AG for the 2024/2025 reporting period show a net distributable profit of EUR 19,321 thousand. The Executive Board proposes to use EUR 19,320,520 for the payment of a dividend for the reporting period 2024/2025 (representing a dividend of EUR 0.40 per qualifying share). The previous year's dividend was EUR 96,602,600 (EUR 2.00 per qualifying share).

50. Events after the reporting period

Significant events after the end of the reporting period relate to the extension of the syndicated loan agreement. There were no other significant events.

Braunschweig, 12 May 2025

The Executive Board

Dr Lars Gorissen

Alexander Bott

Alexander Godow

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List of shareholdings

of Nordzucker AG, Braunschweig, as of 28 February 2025

	Shortened form	Shareholding		
		direct	indirect	
		%	%	via companies
Consolidated subsidiaries				
Norddeutsche Flüssigzucker GmbH & Co. KG (Braunschweig, Germany)	NFZ KG	100		
Norddeutsche Flüssigzucker Verwaltungs-GmbH (Braunschweig, Germany)	NFZ GmbH	100		
Nordzucker GmbH & Co. KG (Braunschweig, Germany)	NZ KG	100		
Nordzucker Plant Based Ingredients GmbH (Braunschweig, Germany)	NZ PBI GmbH	100		
Nordzucker Captive GmbH (Braunschweig, Germany)	NZ Captive	100		
Lime Street Insurance PCC Limited, SugarBridge Cell (Floriana, Malta)	Sugar Bridge		100	NZ Captive
Nordzucker Polska S.A. (Opalenica, Poland)	NZ Polska	99.87		
Považský Cukor a.s. (Trenčianska Teplá, Slovakia)	Povazsky	96.80		
Nordic Sugar A/S (Copenhagen, Denmark)	NS AS		100	
Nordic Sugar AB (Malmö, Sweden)	NS AB		100	
Arlöv Sockerbruks Depå AB (Malmö, Sweden)	Arlöv SD AB		100	NS AB
Arlövs Sockerbruks Fastighets AB (Malmö, Sweden)	Arlöv SF AB		100	NS AB
AB Nordic Sugar Kėdainiai (Kėdainiai, Lithuania)	NS Kėdainiai		77.02	NS AS
UAB Nordzucker Business Services (Kaunas, Lithuania)	NBS	100		
Nordic Sugar Oy (Kantvik, Finland)	NS Oy		100	NS AS
Sucros Oy (Säkylä, Finland)	Sucros Oy		80	NS Oy
Suomen Sokeri Oy (Kantvik, Finland)	Suomen Oy		80	Sucros Oy
Nordzucker Ireland Limited (Dublin, Ireland)	NZ Ireland	100		
Nordzucker Cane Sugar Holding GmbH (Braunschweig, Germany)	NZCS	100		
Mackay Sugar Ltd. (Mackay, Australia)	MSL		70.94	NZCS
Queensland Commodity Service Pty Ltd (Mackay, Australia)	QCS		70.94	MSL
Mackay Commodity Trading Pty Ltd. (Mackay, Australia)	MCS		70.94	MSL
NZ Cane Sugar Brazil Ltda. (Sao Paulo, Brazil)			100	NZCS

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	Shortened form	Shareholding		
		direct	indirect	
		%	%	via companies
Joint ventures accounted for using the equity method				
MEF Melasse-Extraktion Frellstedt GmbH (Frellstedt, Germany)	MEF		50	NZ KG
Norddeutsche Zucker-Raffinerie Gesellschaft mit beschränkter Haftung (Frellstedt, Germany)	NZR		50	NZ KG
Associated companies accounted for using the equity method				
Sugar Australia Pty Ltd (Yarraville, Australia)	Sugar Aust		25	MSL
Sugar Australia JV (Yarraville, Australia)	Sugar Aust		25	MSL
August Töpfer Zuckerhandelsgesellschaft mbH & Co. KG (Hamburg, Germany)	ATZU	25		
New Zealand Sugar Company Ltd (Auckland, New Zealand)	NZSC		25	MSL
Oriana Shipping Co Pte. Ltd. (Singapore, Singapore)	Oriana		25	MSL
Non-consolidated subsidiaries				
Nordzucker Verwaltungs-GmbH (Braunschweig, Germany)	NZ GmbH		100	NZ KG
NZ Zweite Vermögensverwaltungsgesellschaft mbH (Braunschweig, Germany)	NZ 2. VVG	100		
Nordic Sugar SIA (Riga, Latvia)	NS SIA		100	NS AS
Non-consolidated associated companies				
August Töpfer Verwaltungs GmbH (Hamburg, Germany)	ATV	25		
Other non-consolidated investments				
Tereos TTD, a.s. (Dobruvce, Czech Republic)	TTD	35.38		
Tropical Cubes Co. Ltd. (Morcellement St André, Mauritius)	TC		50	ATZU
C.I. Food Colombia S.A.S (Yumbo, Colombia)	CIF		50	ATZU
H.S.T. Hamburg Sugar Terminal GmbH & Co. KG (Hamburg, Germany)	HST		66.67	ATZU
Verwaltungsgesellschaft H.S.T. Hamburg Sugar Terminal mbH (Hamburg, Germany)	VHST		66.67	ATZU
Racecourse Projects Pty Ltd. (Balberra, Australia)			5.40	MSL
Sugar Terminal Limited (Brisbane, Australia)			9.10	MSL

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Jochen Johannes Juister (Chairman of the Supervisory Board)

Report by the Supervisory Board of Nordzucker AG

for the 2024/2025 financial year

Dear shareholders,

Despite the challenging situation on the EU sugar market, Nordzucker AG can look back on a successful 2024/2025 financial year. After a period of unusually high sugar prices, prices fell sharply during the past financial year. Despite this, Nordzucker AG was able to achieve a significantly positive result, which benefitted our shareholders. The Supervisory Board and Executive Board will propose to the Annual General Meeting the distribution of a dividend of EUR 0.40 per share. This will mean that you, our shareholders and owners, will receive an appropriate return on your capital and will benefit directly from the positive financial result.

The Supervisory Board and Executive Board focused their discussions on further developing and sharpening the corporate strategy in order to adapt the Group to market developments. The Supervisory Board welcomes these measures and supports the emphasis on sustainability and excellence in our existing business while keeping costs as low as possible in order to position the Group as competitively as possible and to secure its future viability.

The EU sugar business is facing several challenges, which the Supervisory Board is following closely and has discussed with the Executive Board: the European sugar market is volatile and generally declining. At the same time, the company's customers and society in general as well as legal regulations are increasingly requiring us to pursue sustainability targets. In this context, the Supervisory Board is supporting Nordzucker's commitment to implementing the decarbonisation targets of the Science Based Targets initiative.

From the perspective of the Supervisory Board and Executive Board, growth and diversification are key elements of minimising our dependence on price fluctuations in the EU sugar market while stabilising and boosting the company's earnings over the long term. Nordzucker continues to aim for further growth and diversification, particularly by expanding its Cane business unit. The Supervisory Board sees the successful majority shareholding in Australia as evidence that Nordzucker has successfully taken advantage of global growth opportunities. The excellence and optimisation projects already underway in Australia are supported by the Supervisory Board and are viewed as an important contribution towards boosting efficiency and profitability.

Following the decision of the Executive Board not to build the pea protein plant in Groß Munzel as planned due to market developments, another strategic module is to forge ahead with the company's entry into the growth market for alternative proteins. The specific strategy for entering the market is currently being revised by the Executive Board and will then be discussed with the Supervisory Board.

To counter the rising costs and challenges facing beet cultivation, the Supervisory Board advocates for major cost-cutting measures and optimisations along the entire value chain. The aim of the excellence initiatives and other optimisations defined by the Executive Board is to substantially reduce costs.

The Supervisory Board is positive that Nordzucker will strengthen its competitiveness and assert its strong position on the sugar market with the systematic implementation of these measures.

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Personnel matters

According to the Nordzucker AG Articles of Association, the Supervisory Board consists of 15 members. Of these 15 Supervisory Board members, ten are shareholder representatives and five are employees elected in accordance with the German Act on One-third Representation. At the Annual General Meeting on 4 July 2024 the shareholders again elected Jochen Johannes Juister to the Supervisory Board for a four-year term of office. Henrik Madsen stepped down from the Supervisory Board effective 1 October 2024. Upon the initiative of the Supervisory Board, Oliver Seidl was appointed to the Supervisory Board by Braunschweig Local Court effective 2 October 2024.

The work of the Supervisory Board: Supervisory Board meetings and resolutions

In the 2024/2025 financial year, the Supervisory Board of Nordzucker AG carried out the duties required of it by law, the company's Articles of Association and rules of procedure, as well as advising and monitoring the Executive Board of Nordzucker AG and the Nordzucker Group on an ongoing basis. This monitoring and advising took place in particular in meetings of the Supervisory Board and its committees.

The Supervisory Board held four ordinary meetings and two extraordinary meetings in the 2024/2025 financial year. Furthermore, in July 2024, the Supervisory Board held a constitutive meeting following the Annual General Meeting. The Executive Board of Nordzucker AG also attended each of the meetings – with the exception of meetings to discuss internal affairs.

At its first ordinary meeting in the year under review held on 5/6 March 2024, the Supervisory Board adopted the budget for the Nordzucker Group for the 2024/2025 financial year and extensively discussed and debated the long-term financial planning. The Supervisory Board also received training on the framework conditions for the upcoming Corporate Sustainability Reporting Directive (CSRD), its implementation at Nordzucker and on the tasks of the Supervisory Board.

The annual and consolidated financial statements for the 2023/2024 financial year and the dependent company report were the main subject of the second ordinary Supervisory Board meeting held on 22 May 2024 (financial statements meeting). After hearing the auditors' report and holding an in-depth discussion, and on the recommendation of its Audit and Finance Committee, the Supervisory Board endorsed the annual financial statements of Nordzucker AG and approved the consolidated financial statements. The Supervisory Board also prepared for the Annual General Meeting.

The inaugural meeting of the Supervisory Board took place immediately after the Annual General Meeting on 4 July 2024 and focused on personnel matters. The members of the Supervisory Board unanimously re-elected Jochen Johannes Juister as the Chairman of the Supervisory Board until the close of the Annual General Meeting that votes on discharging the Board for financial year 2027/2028. The shareholder representative Helmut Bleckwenn was confirmed as the Deputy Chairman. At the proposal of the employee representatives, Sigrun Krussmann was re-elected as a further Deputy Chairperson of the Supervisory Board.

The following members were elected to the Executive Committee chaired by the Chairman of the Supervisory Board, Jochen Johannes Juister: Helmut Bleckwenn, Eckhard Hinrichs, Alexander Heidebroek and Dr Carin-Martina Tröltzsch as shareholder representatives, and Sigrun Krussmann and Steffen Blümel as employee representatives.

Friedrich-Christoph Heins remains Chairman of the Audit and Finance Committee, while Jochen Johannes Juister, Henrik Madsen, Bernd Schliephacke, Grit Worsch, Ulf Gabriel and Olaf Joern were elected as members of the Audit and Finance Committee. Following the fact Henrik Madsen stepped down, Oliver Seidl was elected a member of the Audit and Finance Committee.

Alexander Heidebroek, Sigrun Krussmann, Irmhild Börner, Bernd Schliephacke and Grit Worsch were elected as members of the Human Resources Committee and Eckhard Hinrichs, Bernd Schliephacke and Christoph Klöppler were elected to the Nomination Committee. Jochen Johannes Juister chairs the Human Resources Committee and Nomination Committee in his role as Chairman of the Supervisory Board.

A new Agriculture Committee was established with Bernd Schliephacke as its Chairman. The committee also includes Irmhild Börner and Eckhard Hinrichs, as well as Jochen Johannes Juister as a permanent guest of the committee.

In its third ordinary meeting held on 17 September 2024, the Supervisory Board, after careful consideration and on the recommendation of its Audit and Finance Committee, adopted the investment budget for the upcoming financial year as proposed by the Executive Board and was also informed in detail about the long-term financial planning. In this regard, the Supervisory Board discussed potential measures to reduce carbon dioxide in the sugar production process – the move away from fossil fuels will require enormous efforts within the Group over the next few years. Nordzucker has signed up to the Science Based Targets initiative as part of its sustainability strategy and has aligned its Group-wide goal of lower greenhouse gas emissions with the objectives of the Paris Agreement on an independent and scientific basis.

The fourth ordinary Supervisory Board meeting was held on 19/20 November 2024 in the form of an excursion to Nykøbing (DK) and Örtöfta (SE).

In an extraordinary meeting held on 4 December 2024, the Supervisory Board discussed the current status of the implementation of the Corporate Sustainability Reporting Directive (CSRD) reporting requirements.

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During an extraordinary meeting that took place via video conference on 11 February 2025, the Executive Board informed the Supervisory Board about the latest status of the “Plant-Based Ingredients” project. As a result of the current market situation, a decision was made to delay the start of construction of the pea protein plant in Groß Munzel for the time being. The discussion mentioned that the market for plant-based proteins is currently growing more slowly than expected. Added to this are additional imports to Europe and new production capacities. This is leading to significant overcapacity in Europe and historically low prices.

At all its meetings in the reporting year, the Supervisory Board also discussed the consequences and risks of the antitrust proceeding concerning Nordzucker, the company’s financial status and the forecasts and budgets for Nordzucker AG and the Nordzucker Group. It discussed the Nordzucker Group’s strategy, continued development and corporate planning with the Executive Board on a regular basis. Also discussed at Supervisory Board meetings were the course of business, risk exposure, risk management, the internal control system and conformity with compliance regulations as well as transactions of considerable importance.

The Executive Board fulfilled its obligations as defined by statute, the Articles of Association and the rules of procedure and regularly informed the Supervisory Board about events of importance for the company, promptly and comprehensively, both in the course of and outside Supervisory Board meetings. The Executive Board presented to the Supervisory Board all matters requiring its authorisation. After thorough review and discussion, the Supervisory Board gave its approval to the Executive Board proposals.

The Chairman of the Supervisory Board was in regular close contact with the Executive Board, also in-between Supervisory Board meetings. He was informed of the current state of business and major transactions and discussed with the Executive Board matters of strategy, planning, corporate development, risk exposure, risk management and compliance with company standards.

In the 2024/2025 financial year, the Supervisory Board was not informed of any conflict of interest by any of its members – in particular of any conflicts of interest which may result from a consultant or directorship function with clients, suppliers, lenders or other business partners. The members of the Supervisory Board regularly participated in the meetings of the Supervisory Board and its committees.

Supervisory Board committees

The Nordzucker AG Supervisory Board has formed five committees for the efficient exercise of its duties: the Steering Committee, Audit and Finance Committee, Human Resources Committee, Nomination Committee and Agricultural Committee. The committee chairs reported on the main elements of the committee meetings at the Supervisory Board meetings.

The Supervisory Board Presidential Committee met four times in the 2024/2025 financial year (7 May 2024, 3 September 2024, 5 November 2024 and 26 February 2025). The Executive Committee discussed the latest key topics concerning the Nordzucker Group, important projects and the company’s strategic direction. In addition, the Steering Committee prepared the Supervisory Board meetings (including planning the dates and agenda items) and the Annual General Meeting.

The Audit and Finance Committee met five times in the 2024/2025 financial year (7 May 2024, 28 June 2024, 3 September 2024, 5 November 2024 and 26 February 2025). It looked regularly at the financial situation and forecasts, company funding, investment planning, quarterly and half-year results for the Nordzucker Group and Nordzucker AG, risk management, the internal control system and the effectiveness, resources and findings of the Internal Audit department. The committee also reviewed the annual report from Compliance Coordination. The committee is also responsible for monitoring the preparations for future sustainability reporting requirements. In this context, the committee discussed the progress of the relevant preparations with the Executive Board and the auditor.

In the presence of the auditor, the committee discussed the financial statements and management reports for the Nordzucker Group and Nordzucker AG for the 2024/2025 financial year. For the first time, the audit firm PricewaterhouseCoopers was commissioned with the audit of the annual and consolidated financial statements. Its work also included commissioning the auditors for the 2025/2026 financial year and verifying their independence.

The examination and approval of the annual and consolidated financial statements and the dependent company report for the completed 2024/2025 financial year as well as the proposal for election of the auditors for the 2025/2026 financial year and the proposal to the Annual General Meeting for the appropriation of net profit were prepared at an additional meeting held outside the period under review on 13 May 2025.

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The Human Resources Committee met twice during the reporting year: on 26 April 2024 and on 13 January 2025. It prepared the Supervisory Board's decisions on the variable remuneration paid to the Executive Board.

The Nomination Committee met three times in the 2024/2025 financial year (21 March 2024, 7 June 2024 and 7 January 2025). It discussed the requirements profile for membership of the Supervisory Board as a shareholder representative, the target composition and also made proposals to the full Supervisory Board on candidates for the chair and deputies as well as the Supervisory Board committees.

The newly established Agriculture Committee met five times during the 2024/2025 financial year. These meetings took place on 10 July 2024, 12 July 2024, 2 October 2024, 24 October 2024 and 11 December 2024. The Agriculture Committee is tasked with advising the Executive Board on matters related to the procurement of agricultural raw materials (e. g. sugar beet, sugar cane, peas), as well as with discussing the developments on the commodities markets.

During the meetings, the committee intensively discussed the contractual models and the status of the signing of cultivation agreements. The Executive Board also reported on the framework conditions and the status of the signing of pea cultivation contracts. The committee also intensively discussed the challenges and approaches to leaf diseases caused by bacteria spread by Cixiidae and that may lead to the beet diseases SBR (Syndrome Basses Richesses) and stolbur.

Annual financial statements 2024/2025

The Executive Board presented to the Supervisory Board in good time the annual financial statements of Nordzucker AG and the Group, the management report and the Group management report, the proposal for the use of profits and the report on related party transactions. Audit firm PricewaterhouseCoopers was elected as auditor at the Annual General Meeting on 4 July 2024 at the Supervisory Board's proposal. They audited the 2024/2025 annual financial statements for Nordzucker AG including the management report, the consolidated financial statements and the Group management report and issued each with an unqualified audit opinion. The auditors also audited the dependent company report, presented it to the Supervisory Board in good time and gave the following opinion: "Following our professional audit and assessment we confirm that 1. the factual statements in the report are correct, and 2. that the consideration paid by the company in the transactions listed in the report was not inappropriately high."

The aforementioned documents were presented in good time, examined thoroughly by the Audit and Finance Committee and the Supervisory Board, and were discussed in detail in the presence of the auditors following their report on the main findings of the audit. The Supervisory Board concurs with the result of the audit and concluded from its own examination at the meeting held on 26 May 2025 that it has no objections to make. The Supervisory Board approved the annual and consolidated financial statements as prepared by the Executive Board. The annual financial statements are thereby adopted. The Supervisory Board also approved the Executive Board's proposal to recommend to the Annual General Meeting that the net distributable profit be used to pay a dividend of EUR 0.40 per bearer share for the 2024/2025 financial year.

On behalf of the entire Supervisory Board, we would like to extend our warmest thanks and appreciation for the exceptional work of all our employees during the last, unusually long campaign. Your tireless commitment, professionalism and dedication played a key role in Nordzucker's success.

Particularly in challenging times, you showed that we can rely on your skill and commitment. Your hard work is what drives our shared success and strengthens Nordzucker's position in a highly competitive market.

Braunschweig, Germany, 26 May 2025

Jochen Johannes Juister
Chairman of the Supervisory Board

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To Nordzucker AG, Braunschweig

Audit Opinions

We have audited the consolidated financial statements of Nordzucker AG, Braunschweig, and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at 28 February 2025, and the consolidated statement of comprehensive income, consolidated statement of profit or loss, consolidated statement of changes in equity and consolidated statement of cash flows for the financial year from 1 March 2024 to 28 February 2025, and notes to the consolidated financial statements, including material accounting policy information. In addition, we have audited the group management report of Nordzucker AG for the financial year from 1 March 2024 to 28 February 2025.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) (the IFRS Accounting Standards) as adopted by the EU and the additional requirements of German commercial law pursuant to § [Article] 315e Abs. [paragraph] 1 HGB [Handelsgesetzbuch: German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as at 28 February 2025, and of its financial performance for the financial year from 1 March 2024 to 28 February 2025, and

- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development.

Pursuant to § 322 Abs. 3 Satz [sentence] 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the Audit Opinions

We conducted our audit of the consolidated financial statements and of the group management report in accordance with § 317 HGB in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions on the consolidated financial statements and on the group management report.

Responsibilities of the Executive Directors and the Supervisory Board for the Consolidated Financial Statements and the Group Management Report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position, and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

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Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our audit opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with § 317 HGB and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our audit opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an audit opinion on the effectiveness of the internal control and these arrangements and measures (systems), respectively.

- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.
- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective audit opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB.

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- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming audit opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinions.
- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with German law, and the view of the Group's position it provides.
- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate audit opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Hannover, 13 May, 2025

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Dr Thomas Ull
Wirtschaftsprüfer
[German Public Auditor]

Norbert Niedenhof
Wirtschaftsprüfer
[German Public Auditor]

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This Annual Report for the Nordzucker Group is also available in German and can be downloaded online as a PDF in German or English at www.Nordzucker.com from the Download Centre.

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